6.1.3. Compliance and criminal risk prevention systems

GRI 2-9; 2-12; 2-15; 2-18; 2-24; 2-26; 205-2; 205-3; 3-3; AF4

Strategy and governance

Inditex's Compliance System involves the entire company and its employees. In other words, it is transversal, meaning that it is a corporate function encompassing all our commercial formats.

The Compliance function manages the Group's global compliance system and liaises with all the Company areas and departments with compliance responsibilities.

The **Ethics Committee** and the **General Counsel's Office – Compliance Office** make up the so-called **Compliance function.** The General Counsel's Office – Compliance Office is tasked with managing the Compliance System of Inditex and its Group in general, and, in particular, the Model of Criminal Risk Prevention. The Ethics Committee is the internal body in charge of overseeing compliance with the Codes of Conduct, the Model of Criminal Risk Prevention and all other corruption prevention models, and monitoring the effectiveness of the controls.

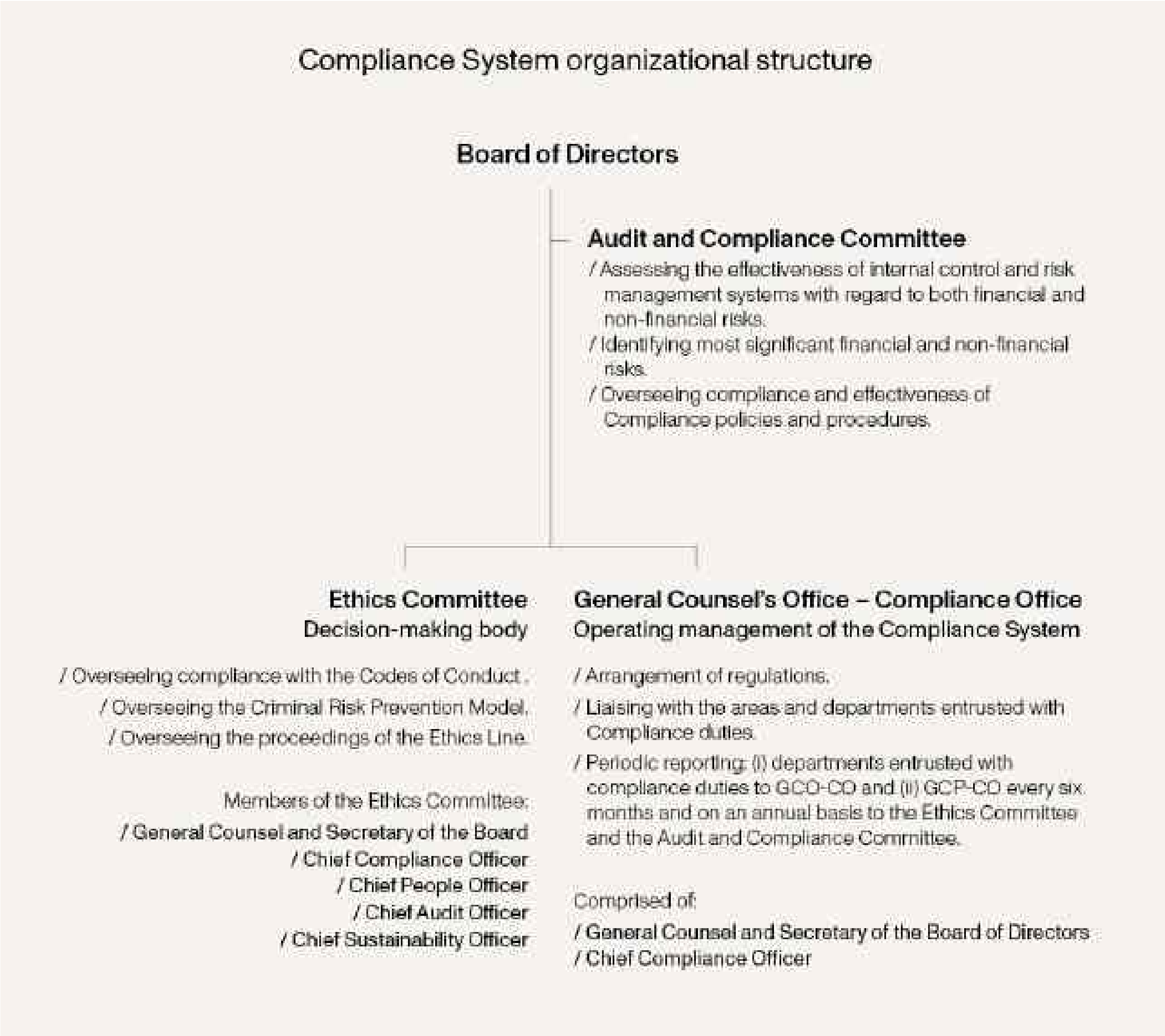
The independence of the Compliance function from Senior Managers is guaranteed by the direct dialogue between the Compliance Office and the Board of Directors, through the Audit and Compliance Committee, ensuring that the ultimate control of the Compliance System efficiency is exclusively incumbent on the Board.

For its part, the **Ethics Committee** submits, at least every six months, a **report to the Audit and Compliance Committee** to review its activities and the enforcement of the Code of Conduct and Responsible Practices, as well as the results of the supervision of the Model of Criminal Risk Prevention.

The Chief Compliance Officer reports to the Audit and Compliance Committee which, in turn, keeps the Board of Directors apprised on a quarterly basis and whenever the Board so requests, on the operation of the key elements of the Compliance System and on how the Company manages compliance risks. The Audit and Compliance Committee may submit proposals for adopting measures to improve the effectiveness of the Compliance System.

In this regard, in 2022, the methodology of the Compliance function's reporting system was revised, focusing on identifying the most significant potential compliance risks, by means of new severity criteria, and gathering more comprehensive information on the action plans devised to avoid and mitigate these risks.

Thus, the management and oversight of the Compliance System and, in particular, the Criminal Risk Prevention Model, is entrusted to the following bodies:



This Compliance System is based on a **structure of core (high-level) standards,** approved by the Board of Directors that apply globally, and a series of organisational documents.

Moreover, the Inditex Group's Compliance System is specifically regulated through the following standards:

/ The Group's **Codes of Conduct** (detailed in the above section).

/ The **Compliance Policy:** which sets out the commitments that all our employees must undertake, regardless of their location and position.

/ The **Compliance Management Procedure,** which develops the contents of the Policy and sets out the organisational measures to prevent, detect and manage Non-Compliance Risks, reinforcing a culture of ethical compliance.

/ Anti-corruption regulations: our **Integrity Policies.**

Inditex has a set of internal rules, approved by the Board of Directors, which enshrines our firm commitment against any form of corruption, fraud, money laundering or illegal financing.

In particular, in order to ensure that the activities performed by Inditex, as well as the work carried out by all our employees and the third parties with which we are engaged in business relations, comply with the **provisions of the anti-bribery and anti-corruption regulations** in place in Spain and in the rest of the markets in which the Group is present. The Integrity Policies are linked to the ethical values of our Group and consist of:

/ The Policy on Donations and Sponsorships.

/ The Policy on Gifts and Business Courtesies.

/ The Policy on Dealings with Public Officials.

/ The **Conflicts of Interest Policy.** It establishes the principles and criteria to be taken into consideration to prevent, detect, report and manage any conflicts of interest that might arise in the performance of the professional activities of Inditex employees, and which could compromise the objectivity or professionalism required in the performance of their duties.

/ The **Anti-Money Laundering and Terrorist Financing Policy.** It defines the due diligence processes implemented within the Company, taking into account the different types of business activities we conduct, namely:

- The process to limit cash payments in stores, whereby certain mechanisms are developed to monitor payments in cash by customers in stores; and
- The identification and review of potential risks from our business partners, suppliers and other third parties, in accordance with due diligence measures outlined in our internal regulations, shown below.

/ The **Due Diligence Policy:** Inditex is firmly committed to controlling and preventing compliance risks at the third parties with which it deals. For this purpose, a third-party control system has been implemented, which is described in the Due Diligence Policy and its implementing regulations. The aforementioned Policy includes the principles and action criteria that aim to align Inditex's relationships with our business partners, suppliers and large customers:

- the processes described in the international standard ISO 37001 on Anti-Bribery Management Systems in organisations;
- anti-corruption regulations; and
- applicable anti-money laundering regulations.

It also aims to ensure compliance with trade sanctions and restrictions adopted and implemented in, at least, the European Union, the United States, the United Kingdom and the United Nations.

Key Internal Regulations

Core regulations

2012
/ Code of Conduct and Responsible Practices
/ Code of Conduct for Manufacturers and Suppliers

2016
/ Zero Standard
/ Compliance Policy

Integrity and Transparency

2016-2017
/ Policy on Gifts and Business Courtesies
/ Policy on Dealings with Public Officials
/ Policy on Donations and Sponsorships

2018-2020
/ Anti-Money Laundering and Terrorist Financing Policy

Ethics Line

2012-2019
/ Ethics Line Procedure (approved in 2012 and reviewed in 2019)
/ Regulations of the Ethics Committee (approved in 2012 and amended in 2022)

Criminal Risk Prevention Model

As part of its Compliance System, Inditex also relies on an **organisational and management model for crime prevention** or the Model of Criminal Risk Prevention, aimed at preventing **and managing the risks** related to the potential commission of offences under Spain's Criminal Code, in particular corruption, fraud and bribery. This Model, which is constantly evolving and adapting, comprises the following documents:

Model of Criminal Risk Prevention

Policy on Criminal Risk Prevention

Which associates commitments to an ethical behaviour undertaken under the Code of Conduct and Responsible Practices with such offences whose perpetration the Policy intends to prevent.

It expressly forbids offering, granting, soliciting or accepting, directly or indirectly, gifts or handouts, favours or compensation in cash or in kind, irrespective of their nature, to or from any authorities or public officials and includes specific guidelines to deal with public officials.

Criminal Risk Prevention Procedure

Which establishes, among other things, the roles and responsibilities of the areas tasked with controlling and verifying the Model, as well as reporting on it, and the functions of the Ethics Committee regarding criminal risk prevention, as well as the Company's organisational measures on the matter.

Risk and Control Matrix

/ Lists the criminal risks;
/ Details risk events applicable to Inditex's operations;
/ Establishes the controls in place to prevent risk events from occurring;
/ Designates the area that owns the controls and reports the evidence of their implementation;
/ Allocates the frequency with which they must be reported.

The Model of Criminal Risk Prevention, approved by the Board of Directors in 2016 and reviewed periodically**, is subject to a continuous assessment and improvement process** to adapt it to the growth of the Group and to statutory requirements, recommendations and best practices applicable in the field at any given time, thus ensuring its effectiveness.

In 2022 the Risks and Controls Matrix was fully updated. This update consisted of analysing and reviewing potential criminal risks inherent in the Group's activities, in accordance with new legislation and the Group's processes and controls. As a result of this review, the risks and controls contained in the Matrix have been updated, focusing on those key controls that prevent or mitigate the risks identified.

Likewise, in order to reduce criminal risks inherent in the business carried out by Inditex, and in particular the offences of public corruption and/or corruption in business identified in the Matrix, the controls in place have been monitored based upon risk prioritisation as determined in the risk map (the '**Map**').

Main corruption risks identified in the Criminal Risk Map:

	2022
Corruption risks	Corruption in business
	Corruption in international transactions - Bribery
	Influence peddling - Bribery

Towards a Global Compliance model

In 2022, the review and transformation of the Model of Criminal Risk Prevention and the local Compliance models into a Global Compliance Model has commenced, with the aim of integrating the existing risk and control matrices into a corporate Matrix.

This new global and integrated Compliance Model will be based on statutory requirements and international best practices and, where necessary, adapted to local regulations.

In 2022, we have continued implementing **local compliance models,** in keeping with the regulatory requirements in each jurisdiction where we operate.

Due diligence

Inditex has a solid control system defined in its **Due Diligence Policy** and the implementing regulations thereof.

The due diligence process regulated by the aforementioned Policy consists of the **identification and analysis of all the suppliers, business partners and third parties** with which Inditex has commercial relations, as well as, in certain cases, their main shareholders, directors and beneficial owners. This process identifies potential risks related to corruption, fraud, tax evasion, money laundering, international trade sanctions and/or any other reputational or similar risks that may pertain to these third parties. The identified risks will lead to the implementation of an action plan coordinated by the Compliance function, which may range from remedial measures to the termination of the business relationship with the third party in question. The Policy and its implementing regulations describe the responsibilities of the areas involved in the various procedural review flows, as well as in the design, execution and monitoring of any action plans established.

The due diligence process, for which the Compliance function is responsible, is separate from but aligned with any other analysis of a social, environmental, operational, financial, commercial or any other nature which the Group may be engaged in with suppliers and other third parties.

ⓘ More information in the section *5.6 Suppliers* of this Report.

This due diligence process is developed and implemented based on a number of principles:

/ It sets forth the obligation to submit all **business partners, large customers, suppliers and third parties** with whom Inditex engages in business relations to this due diligence process.

/ It is a **necessary prerequisite** in order to commence business relations with third parties.

/ It prohibits **any business dealings** with third parties for whom **compliance risks have been detected**, when no action plan to mitigate or remedy such risks is under way.

/ It shall be carried out in accordance with the **principles of reasonableness and proportionality,** by applying different levels of analysis based on criteria such as business turnover, industry or market risk or other factors.

This process is carried out over two phases:

1) At the outset of the commercial relationship with Inditex: all suppliers and other third parties that enter into commercial and/or professional relations with the Group are subject to the scheduled due diligence process. This is increasingly demanding in accordance with certain factors, including: (i) the third party's total estimated business with Inditex; (ii) the market in which the third party is based and carries out its main business; (iii) the sector to which it belongs; and (iv) its degree of interrelation with the authorities and public officials.

2) Over the course of the commercial relationship with Inditex: in addition, all existing suppliers are periodically assessed, submitting them to the flow that may be applicable to them, in accordance with Inditex's due diligence regulations.

Inditex has also implemented the **Procedure for Limiting Trade Relations with Suppliers,** approved in 2017, which establishes restrictions on hiring suppliers, only allowing those based in markets authorised by the Group to be hired (i.e., those who meet legal and business operation criteria); and on making and receiving payments only to and from those suppliers which, having met the foregoing requirement, have a bank account opened in such markets.

Furthermore, Inditex guarantees that, via the implementation of the Inditex Minimum Requirements (IMRs), all the product suppliers with whom it works agree to comply with certain social, environmental and product health and safety standards, among others.

Grievance Mechanisms: the Ethics Line

The **Ethics Line** is a strictly confidential channel through which all Group employees, manufacturers, suppliers or third parties with direct dealings or legitimate commercial or professional interest may, regardless of their hierarchical level and geographic or functional location, and even anonymously:

Raise questions and/or doubts

on the **construction or enforcement** of the Code of Conduct and Responsible Practices and the Code of Conduct for Manufacturers and Suppliers, and of any **other internal conduct regulations** that fall within the purview of the Ethics Committee.

Report breaches

by employees, manufacturers or third parties engaged in an employment, business or direct professional relationship with Inditex, of the **Codes of Conduct** and **other internal conduct regulations** that fall within the purview of the Ethics Committee affecting Inditex they may be aware of

Any **corruption, fraud and bribery-related breach and/or irregularity** may also be reported.

The **Ethics Committee** is the internal body in charge of overseeing the proceedings of **the Ethics Line** and compliance with its procedure, pursuing any investigations that may be necessary. This internal body operates in accordance with the provisions of the **Regulations of the Ethics Committee,** which was updated in 2022 for the purposes, inter alia, of strengthening supervisory and management functions with respect to the Ethics Line, including certain changes to its operating procedures and conferring on the Committee, where necessary pursuant to applicable regulations, the power to set up local counterpart committees. The operation of the Ethics Line is set out in the **Ethics Line Procedure.**

This Procedure, which was amended by the Board of Directors in December 2019, is aligned with the principles of Directive (EU) 2019/1937 on the protection of persons who report breaches of Union law and, in particular, with the regulatory requirements regarding the **protection of personal data** and the **rights of users of whistleblowing mechanisms,** as well as with international best practices in the field of human rights. In this regard, in 2022 subsequent transpositions of the Directive into national Law have been monitored and analysed to ensure that the Ethics Line is compliant with the applicable requirements. This Procedure offers the following **guarantees and protection measures** to the parties involved in the process:

/ Utmost **confidentiality**.

/ **Presumption of innocence** and preservation of **the right to honour of the accused.**

/ **Non-retaliation.**

/ **Appropriate use** of **personal data** processed.

/ The parties' **right to be heard**.

All the information regarding the Ethics Committee and the Ethics Line is available on our **intranet** and on our **corporate website** (www.inditex.com), under the Ethical Commitment tab, which provides direct access to this channel.

How the Ethics Line works

The decisions of the Ethics Committee, as a collegiate and independent body, are **binding** upon the Inditex Group and, as the case may be, on the persons to whom they are addressed.

How the Ethics Line works

1. Concerns
The party concerned reports an incident. canaletico@inditex.com / ethicsline@inditex.com / postal mail.

2. Management
The Ethics Committee acknowledges receipt and decides whether to accept or disregard the concern.

3. Investigation
The Ethics Committee launches an investigation, in collaboration, where applicable, with other areas.

4. Measures

After hearing the party concerned, the Ethics Committee will resolve:

/ To close proceedings where no breach exists; or

/ The existence of an infraction, deciding on its severity and the advisability of adopting disciplinary measures and/ or complementary actions.

In the event of breach and, unless the Ethics Committee decides to directly exercise this power, the measures will be determined by the competent department or area based on the severity of the infraction and other circumstances. Such measures may consist of:

/ Immediate correction of the breach and adoption of measures to remedy and prevent future breaches;

/ Disciplinary measures (from a simple warning or admonishment, to dismissal).

Local Ethics Lines

In addition to the Ethics Line, Inditex has local Ethics Lines in the United States, Puerto Rico and Canada, as well as in Croatia and Sweden (the latter since 15 July 2022), in order to comply with the requirements and/or best practices applicable in those markets.

In keeping with local best practices, the management of the **Ethics Line for Canada, the United States and Puerto Rico** has been entrusted to an external supplier. It can be accessed by telephone and via the website and is available 24/7.

Breakdown of concerns by topic[55]

2022		2021	
209	HR, Diversity and Workplace Respect	159	HR, Diversity and Workplace Respect
90	deal with potential situations of harassment, discrimination and/ or violation of fundamental rights	54	deal with potential situations of harassment, discrimination and/ or violation of fundamental rights
119	are about disagreement with working conditions, the grounds for dismissal or staff selection processes	105	are about disagreement with working conditions, the grounds for dismissal or staff selection processes
73	Business Integrity*	72	Business Integrity*
6	Environment, Health and Safety	3	Environment, Health and Safety
0	Misuse, Misappropriation of Corporate Assets	7	Misuse, Misappropriation of Corporate Assets
0	Accounting, Auditing and Financial Reporting	0	Accounting, Auditing and Financial Reporting
24	Others	16	Others
80	Cases beyond the authority of the Committee	132	Cases beyond the authority of the Committee
392	Total number of concerns received	389	Total number of concerns received

* Includes cases related to potential behaviors of taking advantage of the position in Inditex to obtain business opportunities for one's own benefit or other benefits, conflicts of interest and/or fraud or breach of procedures.

[55] In accordance with the Navex classification.

In 2022, the Ethics Committee processed a total of 312[56] cases (257, 315, 310 and 302 cases in 2021, 2020, 2019 and 2018, respectively).

	2022	2021
Concerns received	392	389
Concerns processed	312	257
Concerns classified as beyond the scope of its authority	80	132
(i) Disciplinary measures or termination of employment due to confirmed cases of corruption	3	2
(ii) Total number of confirmed cases where contracts with business partners have been terminated or not renewed due to corruption-related offences	0	0
Confirmed cases of discrimination	1[1]	0
Disciplinary measures or termination of employment due to confirmed cases of discrimination	1	0
Confirmed cases of harassment	1	0
Disciplinary measures or termination of employment due to confirmed cases of harassment	1	0

1. In two (2) of the cases processed by the Ethics Committee over the course of 2022 in relation to discrimination and harassment, the existence of inappropriate conduct was confirmed, although in neither cases evidence of discriminatory behaviour and/or harassment was found; the appropriate measures were taken, which in both cases resulted in the termination of the employees concerned.

In any event, of the cases currently being examined concerning potential cases of mobbing, sexual harassment, discrimination or other potential violations of human rights, 15 of them relate to situations potentially experienced by employees of suppliers of goods and service providers. With regard to the confirmed cases of corruption, no relevant aspects affecting the Company have been observed in any of them.

During 2022, 2021, 2020, 2019 and 2018, the Group has not been aware, either through its Ethics Committee or through other means, of any court proceedings for corruption or bribery that affect the Company.

In 2022, no significant (firm) legal actions have been registered in the Inditex Group, either through the Ethics Line or through other available channels, in connection with unfair competition and monopolistic and anti-trust practices.

In 2022, the Ethics Line processed a total of 149 cases (77, 74 and 76 in 2021, 2020 and 2019, respectively), 135 concerning the United States, and 14 concerning Canada (72, 59 and 64 concerning the United States, and 5, 15 and 12 concerning Canada in 2021, 2020 and 2019, respectively).

No potential breaches were reported through the Croatian and Swedish Ethics Lines in the reporting period.

Training, communication and awareness-raising

Internal and external communication and dissemination

Educating our employees and suppliers is key to building and growing our Compliance System. We trust them fully to uphold the **values, principles and ethical standards of conduct** that make up our corporate ethical culture.

At Inditex we promote **the communication and dissemination of internal regulations** linked to the Group's Compliance System and we facilitate the knowledge and disclosure of the rules of conduct adopted to all the parties affected by them, keeping them informed about the way in which Inditex pursues its compliance objectives. Likewise, in order to ensure our **formal commitment** at the highest level, to ethical and responsible behaviour, **the Compliance function,** which is managed by the **General Counsel's Office – Compliance Office,** is responsible for:

- **Adequately informing** and updating the members of the **Board of Directors of Inditex**, by means of quarterly follow-up reports, in relation to (i) the work carried out by the Compliance function, (ii) specific projects underway, (iii) the activities and results of the supervision of the Model of Criminal Risk Prevention of the Group, and (iv) the status of the cases processed by the Ethics Committee. Moreover, prior to the meetings of the Board of Directors, the General Counsel's Office provides the members of the Board with those internal regulations that have been amended or drawn up during the quarter.

- **Promptly communicating** the **compliance regulations** to all the **officers and other supervisors of the Group's areas and activities,** reminding them of their duty to disclose the content of the regulations to all staff under their respective areas of responsibility.

During fiscal year 2022, the Board of Directors has approved the Global Sexual Harassment and Sex or Gender Identity-Based Harassment at the Workplace Prevention Policy and has reviewed and/or updated the Policy on statutory auditor contracting for the provision of non-audit services, the Indirect Procurement Policy, the Sustainability Policy, the Occupational Health and Safety Policy, the Community Investment Policy and the Internal Regulation of Conduct in the Securities Markets (IRC). In addition, 4 procedures and 9 terms of reference of committees statutes of internal functions have been approved and/or revised.

In particular, with regard to anti-corruption, the General Counsel's Office has communicated and published the following internal regulations:

(a) Donations and Sponsorship Management Procedure: the General Counsel's Office has approved a new Procedure governing the process of managing, approving and documenting the Group's Corporate Community Investment initiatives (e.g. donations), as well as patronage and sponsorships. Its purpose is to ensure that all initiatives are commensurate with the Group's ethical principles and values and, in particular, to prevent and avoid any corrupt practices.

[56] The total number of cases handled by the Ethics Committee does not include such cases that were not admitted on account of being beyond the scope of its authority. Considering all such cases, the total number of cases seen amounts to 392.

(b) Indirect Procurement Policy: in September 2022, the Board of Directors approved the new Group Indirect Procurement Policy, which replaces and supersedes the one approved in 2015. The Policy establishes a global framework for procurement management, aligned with the Group's strategic objectives, as well as for mitigating the Company's risks. The Policy follows the general principles of transparency, coordination, segregation of duties, flexibility and simplification.

The policies, procedures and instructions that make up the Compliance System of the Group are available to all employees on the corporate intranet (INET) and can be accessed from any device. Furthermore, the main compliance regulations, publicly available to all our stakeholders can be found in the 'Ethical Commitment' tab on Inditex corporate website.

In addition, every year the Ethics Committee sends out an e-mail to all employees with an Inditex Group corporate e-mail address to remind them of the provisions of the Code of Conduct and of the **Policy on Gifts and Business Courtesies,** regarding the acceptance and receipt of gifts from suppliers, along with a standard letter form to be sent to the Group's suppliers reminding them of such prohibitions.

Listed below are the persons to whom the above Anti-Corruption Policies and Procedures were communicated in 2022, by professional category and region:

Procedure for donations and sponsorships management	
Job classification	**No. of people**
Management	230
Supervisors	35
Specialist	85
Total	**350**
Region[1]	**No. of people**
America	27
Asia and rest of the world	45
Spain	171
Europe (ex- Spain)	107
Total	**350**
Indirect Procurement Policy	
Governance body	**No. of people**
Board of Directors	11
Job classification	**No. of people**
Management	648
Supervisors	1,658
Specialist	1,015
Total	**3,321**
Region[1]	**No. of people**
America	233
Asia and rest of the world	369
Spain	1,881
Europe (ex- Spain)	838
Total	**3,321**
Gifts reminder	
Job classification	**No. of people**
Management	1,137
Supervisors	10,188
Specialist	3,319
Total	**14,644**
Region[1]	**No. of people**
America	685
Asia and rest of the world	1,012
Spain	10,122
Europe (ex- Spain)	2,825
Total	**14,644**

1. Without Russia and Ukraine: due to the situation during the 2022 fiscal year in both markets, they have not been taken into account for the purposes of calculating the data.

Lastly, all of the Group's product suppliers can use the supplier extranet to consult the IMRs applicable to them. Notable among all these regulations are the Code of Conduct and Responsible Practices and the Code of Conduct for Manufacturers and Suppliers, which set out the anti-corruption obligations binding upon all suppliers.

Training actions

The promotion of the corporate ethical culture and the Compliance System of the Inditex Group is based on the implementation of training actions adapted to the risk profile of the different groups of employees that form part of Inditex. In this regard, in 2022, the Criminal Compliance Training Plan, that meets training requirements in the area of criminal risk prevention, was reshaped, resulting in a holistic Compliance Training Plan (the **Training Plan**), which includes training and awareness-raising measures aimed at covering the priority Compliance risks to which the Group is potentially exposed. The Training Plan, addressed to both Group employees and third parties (e.g. suppliers), primarily covers the following topics:

/ Code of Conduct and Responsible Practices

/ Code of Conduct for Manufacturers and Suppliers

/ Ethics Line

/ Anti-corruption and integrity (Integrity Policies and Conflict of Interest Policy)

/ Criminal risk prevention

/ Due diligence

/ Prevention of market abuse and protection of inside and/or confidential information

The Training Plan also covers the role of the Compliance function in the coordination and management of the so-called Compliance Training Framework Plan, launched in 2022. This Plan aims to organize, under a single umbrella, all training provided by the main corporate areas exposed to compliance risks. The goal is to ensure a homogeneous and robust oversight of training to mitigate priority compliance risks and contribute to building a corporate ethical culture.

Employee compliance training

Within the framework of the Compliance Training Plan, in 2022, specific training (either in person or online) was provided to groups who, on account of their position and responsibilities or because of the type of activity they carry out, are exposed to a **greater risk of compliance breaches** and, in particular, to **crimes related to corruption in business.**

In 2022, a new compliance training course was created in "Tra!n", the corporate e-learning platform, which has a specific area dedicated to "Culture and values".

Listed below are the persons who received anti-corruption training (either in person or online) in 2022, by professional category and region:

Priority group

Professional category	No. of unique people trained	% (of the annual average staff in 2022)
Management	4,373	70.63
Supervisors	2,882	72.18
Specialist	12,317	69.26
Total	**19,525**	**69.82**
Region[1]		
America	1,044	87.19
Asia and rest of the world	1,253	74.02
Spain	7,513	75.43
Europe (ex- Spain)	9,717	64.28
Total	**19,525**	**69.82**

1. Excluding Russia and Ukraine: due to the situation in both these markets in 2022, they were not included for the purpose of calculating the figure, as no communication and dissemination measures have been carried out in connection with this training.

Likewise, at the end of 2022, a Compliance e-learning training course has been made available to more than 3,700 ITX Trading suppliers in 50 markets, which will allow to convey the principles and behaviour guidelines we expect from the main product suppliers within the framework of our commercial or professional relations with them.

6.2. Tax responsibility and transparency

GRI 3-3; 201-2; 201-4; 207-1; 207-2; 207-3; 207-4

Related material topics: Value creation.

For Inditex, **strict compliance with our tax obligations in all the markets where we operate** is a fundamental principle of our tax policy. We see the application of good tax practices as an extension of our commitment to sustainability and corporate social responsibility.

It is also consistent with our **philosophy of value creation** and our determination to bring about **positive social transformation** wherever we are present, as the payment of taxes, by companies and individuals, enables the economic and social development of a community. Moreover, it fosters the construction and consolidation of infrastructures and public services that benefit the well-being of citizens and society in general.

Inditex's Tax Policy, approved by the Board of Directors in 2015, establishes that, in its tax practices, Inditex shall apply the fiscal legislation of the markets where it is present and, preferably, the interpretative criteria established by the authorities or courts of those markets. Due to the heterogeneity of this regulatory framework, Inditex approaches its tax management by taking the standards of best practice in each territory as a reference.

The Inditex Group is based upon a vertical organisation which takes part in all stages of the value chain of the textile industry (design, production, procurement, distribution and sale). Since all such activities are carried out in different territories, the part of profit created in the value chain attributed to each one needs to be determined. Profit attribution is done pursuant to the arm's length principle, in accordance with local regulations and OECD Transfer Pricing Guidelines.

The principles of **collaboration, mutual trust and good faith** govern Inditex's relationship with the tax authorities. Furthermore, we are part of *Foro de Grandes Empresas* ("Large Companies Forum") in Spain, whose primary objective is to promote greater collaboration among large companies and the State Taxation Administration. We also comply with the Code of Good Tax Practices promoted in the Forum, and have followed its recommendations and subsequent developments. Specifically, it is important to note that the Group has presented the Tax Transparency Report in accordance with the recommendation contained in section 2.4 of the Code.

Below is a breakdown of profit before taxes by market for 2022 (millions of euros)[57]

Markets	2022	2021	2020	2019	2018
Americas	**1,141**	**645**	**(129)**	**359**	**294**
Brazil	122	61	(30)	63	74
Canada	91	33	(9)	27	17
United States	424	253	(48)	84	50
Mexico	376	213	(43)	146	116
Other	128	85	1	39	37
Asia & Rest of the world	**376**	**393**	**60**	**657**	**561**
Australia	33	14	(2)	13	11
China	105	198	1	375	364
South Korea	50	34	6	57	24
Japan	11	44	17	83	56
Kazakhstan	48	23	14	22	15
Other	129	80	24	107	91
Spain	**1,422**	**1,083**	**640**	**1,805**	**1,650**
Spain	1,422	1,083	640	1,805	1,650
Europe	**1,919**	**1,785**	**388**	**1,720**	**1,417**
Germany	64	44	1	51	14
Belgium	34	36	(2)	26	83
France	145	127	28	101	139
Greece	27	30	15	41	31
The Netherlands	586	202	9	328	274
Hungary	7	7	(2)	11	12
Italy	127	121	(48)	93	83
Poland	9	25	3	44	38
Portugal	47	62	(1)	77	63
United Kingdom	154	98	30	78	34
Romania	75	66	31	67	67
Switzerland	493	409	145	307	257
Other	151	558	179	497	322
Profit/(loss) before taxes	**4,858**	**3,906**	**959**	**4,541**	**3,922**
Consolidation	500	293	442	140	506
Consolidated profit/(loss) before taxes	**5,358**	**4,199**	**1,401**	**4,681**	**4,428**

[57] Profit before tax results from the application of the International Financial Reporting Standards (IFRS), including the application of the accounting standard for leases IFRS 16 and excludes the result of the dividend distribution of other subsidiaries of the Group, capital gains from the sale of intra-group holdings, as well as provisions for portfolio impairments in Group subsidiaries. Profit before tax is conditioned by the 'headquarters effect' and compliance with international regulations on transfer pricing (OECD Guidelines) whereby the result derived from design, supply, logistics and distribution functions is allocated to certain markets and, therefore, does not represent the Group's profitability in each market.

In 2022, the effective overall income tax rate was 22,6%, and the accrued income tax expense (in million euros) was as follows:

Markets	2022	2021	2020	2019	2018
Americas	**326**	**164**	**38**	**120**	**93**
Brazil	51	17	0	14	18
Canada	22	2	6	6	5
United States	99	64	6	41	20
Mexico	113	49	15	42	38
Other	41	32	11	17	12
Asia & Rest of the world	**58**	**59**	**62**	**123**	**119**
Australia	11	1	4	4	3
China	(6)	20	20	56	71
South Korea	15	10	7	14	6
Japan	4	10	19	28	21
Kazakhstan	10	4	5	5	4
Other	24	14	7	16	14
Spain	**267**	**195**	**103**	**372**	**360**
Spain	267	195	103	372	360
Europe	**479**	**383**	**222**	**392**	**383**
Germany	18	7	(6)	12	5
Belgium	5	7	(1)	6	24
France	42	27	15	30	52
Greece	5	7	1	10	12
The Netherlands	190	106	84	127	101
Hungary	1	1	1	1	1
Italy	20	3	6	21	25
Poland	3	10	18	14	12
Portugal	12	14	5	16	14
United Kingdom	22	18	8	15	7
Romania	10	7	1	9	10
Switzerland	92	79	48	58	60
Other	59	98	42	73	60
	1,130	**800**	**425**	**1,007**	**955**
Consolidation	95	80	42	116	110
Income tax[1]	**1,225**	**880**	**467**	**1,123**	**1,065**

1. 2022 income tax corresponds to the obligation to pay corporate income tax, or any other, similar tax, paid in the current year, or to be paid in the following year, linked to pre-tax profit by market, in accordance with the provisions of the Information Guide on Non-Financial Information and Diversity published by the Spanish Accounting and Auditing Institute. This year, the payment obligation may be conditioned in some markets by the tax effect associated with tax losses generated in previous years.

The relation between profit/(loss) before tax and corporate income tax in each market is obtained by applying the prevailing tax rate to the taxable income. This, in turn, is the result of performing certain permanent or temporary adjustments to the accounting profit/(loss) before tax.

These adjustments relate mainly to avoiding double taxation on income, to non-deductible expenses and to differences in the criteria for temporary allocation of income and expenditure between tax and accounting legislation (depreciation, impairment, etc.).

The Group is committed to not using structures of a shady nature for tax purposes, putting shell companies located in territories considered as tax havens or uncooperative territories by the Spanish tax authorities. In this regard, the incorporation of companies located in territories considered as tax havens is limited to situations where it is absolutely indispensable for the development of the Group's own commercial activities, as is the case with the companies which operate the stores located in Macao SAR and Monaco.

	Sale of goods and services (thousands of euros)	Number of stores
Macao SAR	5,097	2
Monaco	7,538	1
Total	**12,635**	**3**

This year, taking into account all the markets in which it operates, the group has received 10 million euros (31 million in the previous year) in public subsidies, mainly from China.

Likewise, section **6.1.3. Compliance and criminal risk prevention system** of this Report, sets out the measures that Inditex has adopted within the framework of stopping money laundering and the financing of terrorism.

In the financial year 2022, and in compliance with our tax obligations, Inditex's total tax contribution amounted to 7,479 million euros, of which 3,200 million euros were direct taxes paid and 4,279 million euros were taxes collected on behalf of third parties in the territories and markets where the Company operates. In order to standardise the tax disclosures and denominations of these territories, PwC's Total Tax Contribution methodology is used. In it, taxes are divided into five categories:

/ **Income tax.** This includes tax payable on profits earned by companies (such as corporate income tax or business tax), as well as taxes collected and some withholdings on payments to third parties.

/ **Property tax.** Tax payable on the ownership, sale, transfer or occupation of property.

/ **Personal tax.** Tax related to employment, paid and collected. This includes employees' personal income tax withholdings or social security contributions payable by the employee or the Company.

/ **Tax on products and services.** Indirect taxes on the production and consumption of goods and services, such as VAT or customs duties, among others.

/ **Environmental tax**. Duties relating to the supply, use or consumption of products and services that, in one way or another, affect the environment.

Direct tax		**Taxes collected**	
Income tax	1,185	Income tax	156
Property tax	102	Property tax	10
Personal tax	781	Personal tax	811
Tax on products and services	1,119	Tax on products and services	3,301
Environmental tax	13	Environmental tax	1
Total	**3,200**	**Total**	**4,279**
Total tax contribution			**7,479**

With respect to the tax contribution by markets, as Inditex's home market, Spain is home to the main product activities and resulting business. For this reason, and because it represents 14.4% of global sales, it is the Group's largest direct tax contribution market. In 2022, 1,809 million euros in tax were paid in Spain, i.e., 24% of the overall total.

Tax contribution

€7,479 M
total tax contribution

€3,200 M
direct taxes

€4,279 M
taxes collected

€1,809 M
Spain

2022 Taxes	Dir*	Coll**
Total	**949**	**860**

€3,962 M
Europe
(does not include Spain)

2022 Taxes	Dir*	Coll**
Germany	50	296
Belgium	14	120
France	152	465
Greece	22	140
Netherlands	205	131
Hungary	2	46
Italy	67	450
Poland	13	116
Portugal	52	225
United Kingdom	144	255
Romania	12	89
Switzerland	110	21
Other	288	478
Total	**1,131**	**2,831**

€1,252M
Americas

2022 Taxes	Dir*	Coll**
Brazil	146	82
Canada	54	52
United States	304	163
Mexico	268	79
Other	80	24
Total	**852**	**400**

€456M
Asia & rest of the world

2022 Taxes	Dir*	Coll**
Australia	11	26
China	42	64
South Korea	36	15
Japan	40	41
Kazakhstan	32	7
Other	107	35
Total	**268**	**188**

* Direct taxes
** Taxes collected

	Own taxes paid in the years 2022-2018 (in million euros)					Taxes collected in 2022-2018 (in million euros)				
Markets	**2022**	**2021**	**2020**	**2019**	**2018**	**2022**	**2021**	**2020**	**2019**	**2018**
Americas	**852**	**592**	**357**	**623**	**489**	**400**	**318**	**177**	**320**	**271**
Brazil	146	90	53	108	100	82	47	34	84	79
Canada	54	50	41	53	43	52	36	23	35	33
United States	304	259	129	213	151	163	166	88	129	107
Mexico	268	141	101	194	136	79	48	22	52	35
Other	80	52	33	55	59	24	21	10	20	17
Asia & Rest of the world	**268**	**257**	**248**	**345**	**359**	**188**	**208**	**144**	**189**	**187**
Australia	11	15	11	12	10	26	19	17	25	21
China	42	66	79	138	173	64	108	59	96	109
South Korea	36	32	31	32	27	15	12	10	12	12
Japan	40	51	59	66	64	41	40	40	34	28
Kazakhstan	32	19	12	14	14	7	4	3	4	3
Other	107	74	56	83	71	35	25	15	18	14
Spain	**949**	**780**	**620**	**1,049**	**928**	**860**	**721**	**581**	**825**	**764**
Spain	949	780	620	1,049	928	860	721	581	825	764
Europe	**1,131**	**794**	**691**	**1,023**	**988**	**2,831**	**2,423**	**1,871**	**2,375**	**2,180**
Germany	50	26	18	32	33	296	252	189	228	201
Belgium	14	9	7	18	35	120	101	107	99	97
France	152	84	117	190	229	465	360	300	347	324
Greece	22	16	12	31	23	140	107	80	135	124
The Netherlands	205	85	117	166	108	131	113	97	85	86
Hungary	2	3	4	4	4	45	29	23	35	31
Italy	67	37	44	75	82	450	385	246	384	356
Poland	13	17	24	22	11	116	85	82	111	98
Portugal	52	14	20	29	46	225	165	151	203	191
United Kingdom	144	120	16	65	72	255	173	91	132	129
Romania	12	6	2	10	13	89	73	56	78	73
Switzerland	110	62	66	94	70	21	19	15	17	15
Other	288	315	244	287	262	478	561	434	521	455
Own taxes	**3,200**	**2,423**	**1,916**	**3,040**	**2,764**	**4,279**	**3,670**	**2,773**	**3,709**	**3,402**

6.3. Responsible risk management

Related material topics: Risk management and control systems; Climate change.

6.3.1. Risk management and control framework

GRI 3-3

6.3.1.1. Integrated Risk Management System

Inditex's **Integrated Risk Management System (IRMS)** establishes the Group's risk management and control framework. The IRMS, based on the COSO Enterprise Risk Management[58] (ERM) framework, encompasses our entire Group, both at the corporate level and in the various business units and subsidiaries, regardless of their geographic location. It is incorporated in our strategic planning process, in the definition of business objectives, as well as in the Group's day-to-day operations. The IRMS entails both financial and non-financial risks (including tax, operational, technological, cybersecurity, legal/regulatory, social, environmental, climate change, political, reputational, corruption-related and other risks). We define a risk to be any potential event, regardless of its nature, that may have a negative impact on the achievement of the business objectives.

The **Risk Management and Control Policy** establishes the basic principles, risk factors and the general action guidelines for managing and controlling the risks that affect our Group. The determination of this Policy is a non-delegable power of the Board of Directors. It is the responsibility of this body and the Group's Senior Management to promote it, although its implementation is the responsibility of each and every individual forming part of Inditex. Its application may be extended, in whole or in part, to any individual and/or legal person linked to the Group. The purpose of the Policy is to provide reasonable assurance in regard to the achievement of the objectives set by the Group in response to the various challenges it faces, providing all stakeholders with an adequate level of assurance to ensure the protection of the value generated.

The IRMS is based on this Policy and is developed and supplemented by internal regulations of different levels that govern the management of different risks and apply to different units or areas of the Group. This system coexists with other functions tasked with monitoring specific risk areas. Other relevant risk management policies and regulations are detailed below. Our IRMS is based on the 'COSO ERM' methodological framework and the relevant ISO standards, adapted to our own needs and specific characteristics. Furthermore, specific evaluation and quantification methodologies are used to tackle specific risks, in particular those relating to the climate.

6.3.1.2. Bodies responsible for preparing and implementing the Risk Management System

The IRMS ensures adequate segregation of duties between the various elements of which it is comprised, i.e., between the areas or business units that assume and manage the risks, and those responsible for coordination, control and supervision. Responsibilities between the units and bodies involved are based on a **three-lines-of-defence model**. The responsibilities of the areas and bodies involved in the IRMS are specified below:

[58] Marco COSO ERM, Enterprise Risk Management - Integrating with Strategy and Performance, published on September 2017 by the Committee of Sponsoring Organizations of the Treadway Comission (COSO).

Risk management

Board of Directors

Approval of the Risk Management and Control Policy, which establishes the basic principles, key risk factors and the general framework of action for their management.

Audit and Compliance Committee

Supervision
of risk control and management, verifying their proper functioning on the basis of the policy approved by the Board.

Assessment
of the effectiveness of financial and non-financial risk internal control and management systems, as well as the measures envisaged to mitigate the impact of the risks identified.

Identification and re-assessment,
at least annually, of the main financial and non-financial risks and their tolerance levels.

Risk Map
identifying the main risks by category and an assessment thereof as a function of their potential impact, probability and the Group's preparedness for tackling them.

Senior Management

Awareness and dissemination
of the importance of the Integrated Risk Management System and its value for all the Group's stakeholders.

Definition and validation
of roles, attributions and responsibilities the framework of Integrated Risk Management System.

Approval of action plans
and work plans derived from the risk management process itself, and activity monitoring.

Setting the level of risk
that the Company considers acceptable, based on the objectives and interests of the Company and its stakeholders.

Three lines of defence

1. Business units *(continuous reporting)*
Reporting of the risks to which the Group is exposed in its respective responsibility areas, including those related to climate.

2. Risk management / Compliance function *(quarterly reporting)*
Responsible for coordinating and updating the Integrated Risk Management System to maintain maximum quality levels.

3. Internal Audit *(quarterly reporting)*
Independently and objectively supervises the Integrated Risk Management System.

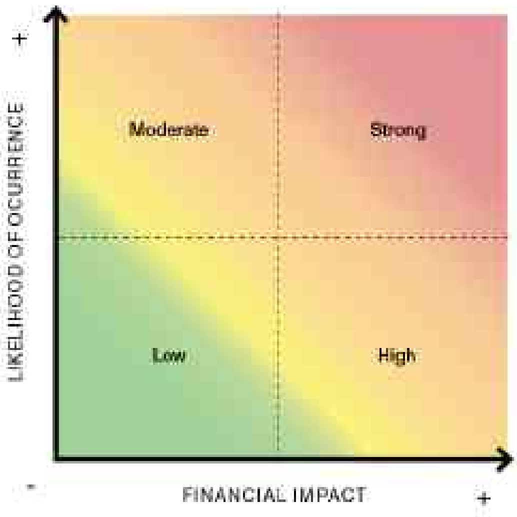
6.3.1.3. Risk identification, assessment and prioritisation

Uniform, standardised and systematic risk identification, assessment and prioritisation processes are in place, based on the concepts of risk appetite, risk tolerance and target risk. The risk factors to which the Group is subject are classified into six categories, which are subdivided into lower hierarchical classifications according to their causality: financial, geopolitical, technological, environmental, social and governance risks.

The risk identification process aims to pinpoint, recognise and describe the risks that may prevent the organisation from achieving its objectives. In the identification process, every effort is made to have the best information available, taking as a foundation the knowledge and experience of the areas directly responsible for risk management, complemented, where appropriate, by relevant external sources. Emerging risks are also considered, i.e., those risks that are new, in the process of transformation, or are a novel combination of risks, whose impact, probability of occurrence and cost are not yet well understood. In any event, the scope of geographic dimension of the risks is taken into account, especially of those that are specific to certain geographies and those linked to climate.

Risk criteria must be set by Senior Management, in keeping with the Group's objectives and interests, as well as those of our various stakeholders, and are updated periodically. Risks are assessed in terms of residual risk, i.e., the risk remaining after appropriate measures are taken.

The assessment considers three magnitudes for each of the risks: impact, likelihood of occurrence and level of preparedness. The Risk Management department periodically (at least annually) asks the various management units to assess and review the different risks and the mitigation measures in place and planned, by means of a system of interviews and questionnaires. A risk register is kept, represented in a risk map, weighing risks according to their overall impact (strong, high, moderate and minor risks). The map is periodically reported to the Board of Directors and contains the critical risks, meaning those which, if they were to materialise, could compromise the achievement of our strategic objectives.



Risk management and control framework

Impact

Effect that a risk would have if it were to materialise. Risk managers consider the worst-case impact scenario for risk materialisation and assess the impact on each strategic objective based on their own calculations, except for the 'Corporate image and reputation' variable, for which they use a standard questionnaire. To obtain the total risk impact assessment, the result of the variable with the highest impact is considered and increased according to the other affected variables on a weighted basis.

Likelihood

Risk managers use an average scenario to assess the probability of occurrence. The estimated probability of the risk materialising is measured, taking into account the track record of the past five years as well as the one-year expectations. The various possible scenarios are documented in terms of impact and likelihood of occurrence.

Preparation

The level of preparedness is measured using a questionnaire on aspects related to response capacity, existing mechanisms and controls, scenario analysis and contingency plans.

These assessments are transferred to the tolerance scales defined by Senior Management for each of the variables to obtain the total impact level. Various thresholds are currently assessed for the following financial variables: change in sales, change in gross margin, change in net profit and change in cash flow generated from operating activities.

To assess climate change-related risks, we also used methods for the financial assessment of (acute and chronic) physical and transitional risks in the short, medium and long term based on **scenario methodology**.

ⓘ More information in section *6.3.4.Climate change: risks and opportunities* of this Report.

The scenario methodology is also used to assess risks in categories not related to climate change. To analyse each scenario increasing levels of severity are factored in, so as to simulate its likelihood of occurrence, its timing, its recovery curve and its aggregate and separate impact. The purpose is to calculate 'Earning Value at Risk' over a time frame of five years discounted to obtain its present value. This enables the Group to assess risks in intrinsic and residual terms, after taking into account risk mitigation and transfer measures. This method is part of the process of evolution and development of the IRMS.

6.3.2 Risk map

GRI 3-3; 201-2; 308-2

The risk map represents the inventory of critical risks for the Group. There are also maps for specific risk categories that offer greater granularity.

Critical risk map

	# Risks	Strong	High	Moderate	Minor
Social	4	25%	50%	25%	0%
Financial	8	50%	0%	50%	0%
Geopolitical	3	33%	33%	33%	0%
Governance	7	57%	14%	14%	14%
Environmental	4	50%	0%	25%	25%
Technology	5	20%	60%	20%	0%
Total	**31**	**39%**	**26%**	**28%**	**7%**

There follows a description of the main risk factors, and their main mitigation measures and the trend with respect to the previous year.

SOCIAL RISKS
Risks arising from socio-economic trends, including evolving societal preferences, social norms and demographics, as well as the prevalence of diseases and the development of public healthcare systems.

Main risks	Description and impact	Main mitigations	Risk trend
Human capital	Risks relating to **talent and people management** pertain to the necessity to adapt our organisational culture to the needs of staff in a new and complex environment, where the sustainability of human capital becomes more relevant and which aims to ensure the quality of employment, health and well-being of staff, work-life balance, diversity, and other factors. Today's labour market is becoming increasingly demanding in terms of corporate social responsibility, which determines a company's appeal as a preferred employment destination. Accordingly, the content and impact of human capital risks are evaluated every year. Furthermore, we are more exposed to the potential risk resulting from the shutdown of critical operational processes (logistics activity, transport, administrative services, among others) as a result of **labour disputes**, strike action, riots or protests that curb or disrupt corporate productivity.	/ Knowledge transfer and the involvement of all our people in our culture and way of operating / Team development, growth opportunities for top talent and retention of key employees through career development, training and compensation policies. / Recruitment of new staff to ensure a continuous inflow of talent / Measures to develop the Diversity and Inclusion Policy / Development of equality plans, establishing measures to promote the commitment to and effective application of equality between men and women, preventing discrimination in the workplace, guaranteeing a healthy working environment and helping to maintain a work-life balance. / Implementation of community programmes and projects ⓘ More information in section *5.1. Our people* of this Report.	↑

Infectious and contagious diseases	This category includes the risks posed by infectious and contagious diseases. It corresponds to the potential disruption caused by a local, regional or global pandemic as a result of infectious diseases against which there is little or no pre-existing immunity in the human population. As covid-19 has taught us, the impacts of a pandemic can be multiple, unpredictable and of varying intensity, both in time and scope. They can become systemic because of how their consequences manifest.	/ Establishment of an information system to ensure better knowledge of the guidelines issued by public authorities and bodies / Mechanisms aimed at ensuring the continuity of our operations / Flexibility of the business model and strengthening of the online channel ⓘ With regard to the impact and the mitigation measures, see section *6.3.3 Risks that have materialised* during the year analysed in this Report. / Maintenance and updating of measures established by the health authorities: creating emergency management committees, compiling data on the epidemiological situation, regular information to employees, installing protective screens in workplaces, adapting capacity, etc. ⓘ Regarding the management of the impact on people, see section *5.1.6 Our people's health, safety and well-being* of this Report.
Brand perception	Risks which have a direct influence on the perception of stakeholders (customers, employees, shareholders and suppliers) and society in general regarding our Group.	/ Monitoring of the Group's image in all areas, carried out by various departments, including Communications and Institutional Relations / Establishment of the necessary procedures and protocols by the Communications and Institutional Relations, and Sustainability departments / Management of the relationship with the regulatory bodies by the General Counsel's Office – Office of the Chief Compliance Officer. Investor and Analyst Relations Management by the Capital Markets Department / Code of Conduct and Responsible Practices / Code of Conduct for Manufacturers and Suppliers / Social Media Policy ⓘ More information in section *5.4 Our shareholders* and *6.1 Good governance, corporate ethics culture and solid compliance architecture* of this Report.

FINANCIAL RISKS
Threats originating in the macroeconomic sphere, in global value chains and in industry- or company- specific events that may prevent the proposed objectives from being achieved.

Main risks	Description and impact	Main mitigations	Risk trend
Competition	The **competitive environment** may result in risks from difficulties in adapting to the environment or market in which we operate, as regards both the procurement processes and the product retailing and sale activities. These risks are inherent to the fashion retailing business and consist of our Group's potential inability to continue operating and react to changes in the target market or to adapt to new situations in its supply or distribution countries. These risks derive from the possible difficulties involved in recognising and taking on board the ongoing changes in fashion trends, and in manufacturing, supplying and putting up for sale new articles that meet customer expectations.	/ Business model through management that seeks to improve the efficiency and effectiveness of markets, business lines and stores, rationalising and diversifying the sales network / Internationalisation policy / The Group's multi-brand format based on omni-channelling, through the full integration of channels and new technologies as alternatives for communication and sales / Feasibility analysis of each new market, business line or store, plus subsequent follow-up ⓘ More information in sections *3. Get to know Inditex* and *4. Our strategy* of this Report.	→
	Competition may also surface in the infringement of **industrial and intellectual property**	/ Code of Conduct and Responsible Practices / Existence of an Industrial Property (IP) Department to supervise the use of industrial and intellectual property rights and protect the Group's IP assets, as well as of specialist staff integrated in the commercial areas. / Industrial and intellectual property training / Industrial and Intellectual Property Product Control Policy	→
Counterparty	The Group is exposed to **counterparty risk** from our suppliers of goods and services, especially those that are more strategic for the continuity of our operations, as well as from our customers and business partners, which could impact the normal performance of some of our operations. The Group is also exposed to the risk that financial counterparties fail to comply with their obligations in relation to investing our liquidity, credit policies or other funding and guarantee vehicles, as well as the derivative instruments arranged to hedge financial risks.	/ Analysis and monitoring of the financial solvency of the most important third parties for the Group, including legal, technological, operational, reputational and regulatory compliance aspects, among others / The Group's Financial Investment Policy, whose aim is to ensure the safety, integrity and liquidity of the Company's financial assets / Financial Risk Management Policy, which determines the caps on counterparty exposure / Flexibility and diversification of the value chain ensure the resilience and continuity of our operations in the event of potential disruptions owing to the behaviour of third parties ⓘ More information in section *5.6.1. Supply chain management* of this Report.	→

Market crisis	The euro is the Group's functional currency. Our international transactions require the use of numerous currencies, giving rise to foreign **currency exchange risk**. Currency exposure manifests itself in terms of net investment, translation and transaction risks. We have investments overseas whose assets are exposed to the **foreign currency exchange risk**. Given that we consolidate the annual accounts of our companies in euros, we are exposed to foreign exchange translation risk resulting from all our entities located outside the Eurozone. We are also exposed to the risk arising from the volatility in currencies other than the euro of payment and collection flows in relation to the acquisition and provision of goods and services in both Group and non-Group transactions.	/ Financial Risk Management Policy ⓘ More information in note *26. Financial instruments and risk management policy* of the Consolidated Annual Accounts	→
	Supply and distribution shipping is critical to our business. There is a risk of **paralysis** or delay **in the movement** and customs clearance of **goods** as a result of changes in the political/social situation and stability in countries where goods are produced and sold, regulatory changes, trade frictions—whether tariff or non-tariff related, and saturation of logistics infrastructures, among others.	/ In-house teams specialised in market customs regulations, which are in permanent contact with customs agencies / Diversification of shipping points and establishment of alternative routes. / Continuous tracking of the product until it arrives at the store / Monitoring of relevant regulations and regulatory changes	→
Economic outlook	Our activity is subject to the risk of a potential downturn in sales as a result of **economic contraction** or other macroeconomic headwinds generated by external factors.	/ Flexible business model based on multi-brand omni-channelling. / Territorial diversification by means of an internationalisation strategy ⓘ More information in sections *3. Get to know Inditex* and *4. Our strategy of this Report.*	↑
Economic variables	The Group is exposed to the risk of inflation affecting costs linked to the acquisition of the goods and services necessary to conduct our business. Notable is the impact of the increase in the price of the multiple raw materials, (textile and non-textile) consumed directly and indirectly in the Group's operations, and in the procurement of goods, primarily of our products and services, in particular in connection with the transportation of supplies and distribution. ⓘ More information in note *26. Financial instruments and risk management policy* of the Consolidated Annual Accounts and in section *5.3.2. Design and selection of materials* of this Report.	/ Flexibility of the manufacturing and procurement model, allowing production to be adapted to market demand and to possible changes in the supply market environment. / Permanent contact with stores and online teams by our team of designers, through the Product Management department, helping them to learn about customer preferences. / Selective price adjustments to safeguard our margins. / Vertical integration of operations makes it possible to shorten production and delivery lead times and to reduce inventory volumes, while keeping sufficient manoeuvring room to introduce new products over the course of the season. / Monitoring of raw material markets and strategic promotion of circularity and recycling of raw materials ⓘ More information in section *4. Our strategy* of this Report.	↑

GEOPOLITICAL RISKS

Geopolitical risks arise from a deterioration in the political situation, a society's crime levels, changes in the ideology, leadership and regulation of its authorities, politically motivated conflicts at home or in nation states that threaten operations or expected prospects.

Main risks	Description and impact	Main mitigations	Risk trend
Business environment and political violence	Potential instability in the territories where our **supply chain** is located, as well as where products are marketed, poses a significant risk. **Socio-political instability** arising from social uprisings or other causes of political violence, as well as their potential spread to other countries, may affect our ability to operate in affected territories, with the ensuing impact on value chains, sales and expansion, or damage to our facilities. These circumstances may result in **frictions** that **hinder the normal movement of goods** due to political instability, infrastructure saturation, or constraints, especially on key routes, which generate bottlenecks due to supply-demand imbalances that limit access to transport and/or erode business margins.	/ Value chain with multiple geographic origins which provides the necessary flexibility and adaptation to demand, ensuring alternatives should it become necessary to switch between different manufacturing markets in case of severe, continuous disruptions. / Diversification of points of sale. / Monitoring of country risk and proximity to the local market. / Continued tracking of the unfolding conflict and its complex repercussions closely, putting in place plans to mitigate its impact, especially in relation to its workforce in the affected markets. ⓘ More information in sections *3. Get to know Inditex*, *4. Our strategy* *and* *5.6.1. Supply chain management* of this Report.	↑
Government business policies and regulatory framework	As a result of our extensive direct and indirect geographic presence, we are exposed to a wide range and variety of legislation in the countries where we operate. Regulatory changes, which are increasingly frequent and more intense, especially in our sector, as well as the possibility that local authorities might adopt differing or even divergent interpretations from one jurisdiction to the next, expose the Group to potential negative effects of a financial, compliance and/or reputational nature. This includes risks relating to labour, commercial and consumer law, industrial and intellectual property law and personal data protection and privacy regulations , with a particular emphasis on tax and customs regulations, as well as risks pertaining to other legislation. Expectations of significant regulatory or policy changes that may create uncertainty for the normal conduct of the business model and require an effort in financial and operational planning to ensure proper adaptation.	/ Systematic tracking of the impacts and risks of the emerging regulations that affect the business model and the proposal of operable solutions. / A business model based on a firm commitment to good governance, transparency and respect, aimed at promoting social and environmental sustainability, and conveying a corporate ethical culture in the performance of all our activities. / Continuous compliance training. / The existence of an independent body that supervises compliance with the internal standards of conduct (Ethics Committee) and a mechanism to report irregularities and non-compliances (Ethics Line). / Implementation of the model for the organisation, prevention, detection, control and management of legal and reputational risks, deriving from potential breaches. / Policy on Donations and Sponsorships, Policy on Gifts and Business Courtesies, Policy on Dealings with Public Servants. / Tax Policy / Anti-Money Laundering and Terrorist Financing Policy / Continuous assessment of the corporate governance system in order to verify its degree of compliance with and adaptation to new legislation, recommendations, standards and best practices in this respect, and to systematically reinforce good corporate governance practices. ⓘ More information in sections *6.2. Tax responsibility and transparency* and *6.1 Good governance, corporate ethical culture and solid compliance architecture* of this Report	↓

GOVERNANCE RISK
Governance risk includes non-compliance by the Company and, in particular, by its Board of Directors and Senior Management, with the law in a formal and/or material sense, with good governance recommendations, with best practices, and with the commitments that we voluntarily undertake. It also includes risks arising from the tactical and strategic decisions of the Group's management that may result in the non-achievement of business, functional area or Group objectives, as well as risks of corruption or damage to the Company's reputation.

Main risks	Description and impact	Main mitigations	Risk trend
Business model implementation	Risks related to potential **weaknesses in the commercial offer** as a result of not anticipating trends, not being able to react and respond to changes in market trends, not providing sufficient supply to stores or not being able to continue to stand out from our competitors.	/ Agility and flexibility of the business model / Qualified teams geared towards identifying the product wanted by the market and ensuring adequate supply management / Availability of reliable data, with the necessary frequency and level of detail, providing information on how well supply matches demand in the market. / Linking up with customers through social media and having different touch points to ascertain customers' tastes and expectations (stores, online sales). / Proximity supply allowing for swift response to customer demand ⓘ More information in section *4. Our strategy* of this Report.	↑
	Risk of **concentration of logistics operations activity** (procurement, storage and distribution) in a limited number of distribution centres, whether our own or operated by third parties, located across Spain.	/ Logistics Connection Hub in the Netherlands. / Use of smaller logistics centres located in other countries and with third party logistics operators which carry out variable scale distribution operations. / Implementation of our WMS (Warehouse Management System) in all external logistics operators to ensure full operability and compatibility with our systems. / Our RFID and SINT (integrated stock) programmes have been implemented in all retail concepts. ⓘ More information in section *4. Our strategy* of this Report.	↑
Non-compliance	The Group is exposed to the risk of **non-compliance** with its Human Rights Policy and other standards we have established in this regard. In particular, breaches of our Code of Conduct for Manufacturers and Suppliers, defined as the **minimum standards of ethical and responsible behaviour** to be observed by the **manufacturers and suppliers** of the products we market. Furthermore, the requisite ESG (environmental, social and governance) performance in the fashion industry is increasing and is based on **transparency and traceability.**	/ Mandatory compliance with the Code of Conduct for Manufacturers and Suppliers by all those who wish to become part of the Group's supply chain. / Programme for Compliance with the Code of Conduct for Manufacturers and Suppliers by means of different types of audits of the facilities required for production. / The Ethics Line and Ethics Committee (also responsible for the application and interpretation of the Code of Conduct for Manufacturers and Suppliers). / Traceability strategy based on a management system whereby each supplier is required to know and share its supply chain data and report the facilities involved in the productions, and an audit process that confirms that production does in fact take place in declared and authorised factories. ⓘ More information in sections *5.6 Suppliers* and *6.1. Good governance, corporate ethical culture and solid compliance architecture* of this Report and section *F.1.2* of the Annual Corporate Governance Report.	↑

Data protection and privacy	Our Group faces the risk of **failing to comply with the law** in a formal or material sense, or with good governance recommendations, best practices or voluntary commitments. This includes risks relating to tax, customs, anti-bribery and corruption, labour law, commerce and consumption-related regulations, industrial and intellectual property regulations, data protection and privacy and risks relating to other types of legislation, in particular criminal regulatory risks, as well as other regulatory compliance risks.	/ The Company's Compliance System / Criminal Risk Prevention Model, comprising the Criminal Risk Prevention Policy, the Criminal Risk Prevention Procedure and the Scoping Matrix of Criminal Risks and Controls. / The main policies approved within the framework of the Criminal Risk Prevention Model are as follows: Policy on Donations and Sponsorships, Policy on Gifts and Business Courtesies, Policy on Dealings with Public Servants, Conflicts of Interest Policy, Anti-Money Laundering and Terrorist Financing Policy, Due Diligence Policy and the Procedure for Limiting Trade Relations with Suppliers in Restricted or Unauthorised Markets. / Ethics Line and Ethics Committee ⓘ More information in section *6.1.3. Compliance and criminal risk prevention systems* of this Report. / Data protection and privacy compliance model, the basic rule of which is the Personal Data Protection and Privacy Compliance Policy. ⓘ More information in section *6.3.5.2. Personal data protection and privacy* of this Report. / Annual assessment of the corporate governance system in order to verify its degree of compliance with and adaptation to new legislation, recommendations, standards and best practices in this respect, and to systematically reinforce good corporate governance practices / Periodic supervision by the Audit and Compliance Committee of the existence of possible conflicts of interest or transactions with/among related parties, contrary to the interests of the Company and/or its stakeholders.	→
Products and services	We are exposed to risks relating to the **quality, composition** and other aspects linked to the **health and safety of our products.**	/ Checking and verifying product health and safety standards and detailed manufacturing guidelines through the Clear to Wear: Product Health Policy and Safe to Wear: Product Safety Policy. ⓘ More information in sections *5.3.3. Health and safety of products* and *5.6 Suppliers* of this Report	→

ENVIRONMENTAL RISKS
Risks associated with natural disasters, climate change and the interactions resulting from human exploitation of the environment.

Main risks	Description and impact	Main mitigations	Risk trend
Climate change	Our performance is exposed to the potential impacts of climate change in its various manifestations of physical risk, whether chronic or acute, as well as the risks resulting from the transition to a low-carbon economy. With regard to physical risks, seven climate phenomena are taken into consideration: heatwave, freeze, river flooding, coastal flooding, temperature windstorm and tropical storms and water stress in the catchment areas in which our own or third-party facilities are located.	/ Decarbonisation is one of the main axes of our Sustainability Roadmap, in line with the goals of the Paris Agreement. We have set very ambitious decarbonisation targets for our business and for our industry as a whole. / Section 6.3.4. Climate change: risks and opportunities focuses on this risk within the framework of the Task Force on Climate-related Financial Disclosures (TCFD), which the Group joined in June 2020. ⓘ More information in sections *5.5.1. Our approach to energy management and emissions reduction* and *6.3.4. Climate change: risks and opportunities* of this Report.	
Environmental degradation and Scarcity of natural resources	There is a risk of producing adverse effects in the environment through the release of undesirable or hazardous substances (whether biological or chemical) throughout our value chain. There is also a risk that our activities could translate into negative externalities such as the loss of biodiversity, deforestation, soil degradation, scarcity of raw materials, especially those that meet our sustainability requirements, among others. A sufficient and reliable supply of preferred raw materials must be guaranteed to meet the our sustainability commitments.	/ The Sustainability Policy sets out, among others, the environmental commitments, which are applied transversally across all its business areas and throughout the supply chain. / Environmental strategies: Biodiversity Strategy, Global Water Management Strategy and Global Energy Strategy / Forest Product Policy / Commitment to clean energy and the implementation of circular management models in our headquarters, logistics centres, factories and stores (clothes collection project). / Zero Waste Programme, initiative to implement a waste management system that allows waste generated at our own facilities to become an available resource for a new use through their reuse or recycling / Packaging quality standards to introduce recycled materials in packaging, extend its life and facilitate its recycling (Green to Pack Programme) / Research and development of new, more sustainable raw materials and fibres through the use of new technologies via the corporate platform Sustainability Innovation Hub / Collaboration projects with third parties in the field of circularity and innovation (MIT Spain, Ellen MacArthur Foundation, Global Fashion Agenda, Euratex, and so on). / Application of the Green to Wear standard in the supply chain ⓘ More information in sections *5.5.1. Our approach to energy management and emissions reduction* and *6.3.4. Climate change: risks and opportunities* of this Report.	
Extreme weather events	As a result of natural disasters such as floods, fires, earthquakes, etc., key business operations and shipping processes could be halted. Events such as these could potentially affect our Group's critical infrastructure.	Management of these risks, including mitigation measures and resilience plans, has been discussed in the section on **industrial accident** risks. Section 6.3.4. Climate change: risks and opportunities includes a sub-section concerning the physical climate impact on the Group's value chain.	

INDITEX

TECHNOLOGY RISKS
This includes targeted cyberattacks, collapse of critical infrastructure, industrial accidents with direct or indirect impacts, as well as the inability to adapt to technological advances.

Main risks	Description and impact	Main mitigations	Risk trend
Critical infrastructure	We are more exposed to the risk arising from various contingencies (incidents, sabotage or accidents) that lead to a halt or operational inefficiency of IT services or processes needed to perform the business activity.	/ Ensuring the availability of the systems by deploying technical contingency plans which, together with associated technical recovery procedures and their relevant recovery testing would reduce the consequences of an incident, breakdown or stoppage. / Main data centre certified to TIER IV standard, guaranteeing maximum reliability and high availability. / Availability of certified data centres guaranteeing high availability as well as synchronous data storage in redundant locations or duplication of equipment and lines. / Information Security Procedure Incident Response Plan, which includes the management of incidents affecting personal data from the standpoint of compliance with personal data protection and privacy regulations. ⓘ More information in section *6.3.5 Information security and privacy* of this Report	→
Cybersecurity	This refers to exposures that could compromise the continuity of operations and/or the confidentiality, integrity and/or availability of our information, regardless of whether it is located in our own systems or those of third parties; and third parties' information located in our systems. We are aware that technological risks evolve exponentially, unpredictably and, in some cases, in a very sophisticated way. Thus, although Information Security is a priority, there is the possibility of an undetectable attack which might affect operations or information managed by us.	/ Existence of an Information Security Officer, reporting directly to the Chief Executive Officer. / Availability of a reference framework (Information Security Policy) aimed at ensuring the confidentiality, integrity and availability of information. / Permanent control of the Information Security management system to ensure confidentiality and integrity of information and uninterrupted operations through the Information Security department and with the support of the Information Security Committee. / Continuous review mechanisms, by the Information Security department, evaluated through internal and external audits, for the prevention, detection and response to cyberattacks / Updating the inventory and information technology and security risk map to establish the necessary mitigation measures and ensure continuous improvement by the responsible areas / Development of a strategic plan with international experts in order to maintain and improve the maturity of the Information Security programme / Insurance policies to cover loss of profit, expenses arising from the attack and the Company's civil liability for damage caused to third parties / Compliance with the requirements of the Payment Card Industry Data Security Standard (PCI- DSS) and obtaining the ISO/IEC 27001 certification for Information Security. / Certifications required within international regulatory frameworks, such as the K-ISMS[1] in South Korea and the MLPS[2] in China. / Awareness and skill-building through employee cybersecurity training. / Information Security Procedure Incident Response Plan, which includes the management of incidents affecting personal data from the standpoint of compliance with personal data protection and privacy regulations. ⓘ More information in section *6.3.5 Information security and privacy* of this Report	→

1. K-ISMS is South Korea's information security management system. This standard is managed by the Korean Internet and Security Agency ("KISA"). It was prepared to evaluate whether enterprises and organisations operate and manage their information security system consistently and securely such that they protect key information assets from various threats.

2. MLPS is the multi-layer protection scheme. It is a regulatory classification scheme intended to protect the security of information systems located in China. China's Cybersecurity Law requires the network and system components to be protected against disruptions, damage, unauthorised access using a graded scale to prevent data leakage, manipulation and espionage

Industrial accident	We are exposed to the risk arising from the interruption of operations associated with the possible occurrence of extraordinary events beyond our Group's control (fires, transport or key supplier strikes, interruptions in energy and fuel supplies, etc.), which could have a significant effect on the normal functioning of our operations. The main operational risks are concentrated at logistics centres and at third party operators transporting goods.	/ Actions to reduce exposure to this type of risks, maintaining high levels of prevention and protection at all the distribution centres. Existence of insurance policies that cover both property damage and loss of profit resulting from the incident. / Optimisation of the scale and use of all logistics centres according to the volume of each retail concept and the specific needs of the geographic area they serve. / Configuration of the various logistics centres to allow them to take over storage and delivery capacity from other centres in the event of a contingency caused by accidents or stoppages in distribution activities. / Logistics Expansion Plan, which assesses the need and envisages new investments if necessary. Phasing-in of Radio Frequency Identification (RFID) technology in the value chain and development of new mobile robotics technologies. / The search for, validation and control of external logistics operators, at different strategic points, with full integration into the Company's logistics capacity. / Diversification of shipping suppliers. ⓘ More information in section *4. Our strategy* of this Report.	↑
Disruptive technology	We are aware that **technological innovations and evolutions** in a broad sense, both in customer interaction through the development of a satisfactory omni-channel experience, as well as the improvement of all operating and business processes, are indispensable to ensure fulfilment of our strategic objectives.	/ The digital transformation and the drive for digitalisation as a key transformation tool are evident throughout all our Group's operational and business processes. Digitalisation allows a more agile, efficient and accurate management of our operations, from logistics through to in-store transactions. It also fosters sales growth by integrating channels. It ensures immediate availability and accessibility of business data, obtained thanks to our full integration, so as to continue to speed up decision-making processes, manage inventory more efficiently and improve the standard of customer services. / Digitalisation is key to the development of our sustainability strategy as, among other things, it makes it possible to manage supply chain traceability, allowing us to compile sustainability information. / With regard to people management, our digital tilt has enabled us to continue improving our operations, from the initial recruitment to the contract stage. Digitalisation is critical when it comes to the communication and training of our teams all over the world. ⓘ More information in section *4. Our strategy* of this Report.	→

Disruptive technology	The governance, **availability, quality and value of the information generated in** the course of our activities is increasingly becoming a competitive advantage and is essential for normal business operations. The information is varied: transactional and operational, financial and accounting, management and budgeting and control. We ensure the protection of information, regardless of how it is communicated, shared, projected or stored. This protection affects both the information inside the Group and the information shared with third parties.	/ Periodic review of the management information distributed to the various managers, and investment, among other areas, in information transmission systems, data analysis and intelligence for decision-making and process optimisation, business monitoring and budgeting. / Various Group departments, particularly the Management Planning and Control and the Administration departments, which report to the Financial Division, are directly responsible for producing and supervising the quality of this information. The Information Security department is responsible for ensuring that this information is accessible and/or modified only by those authorised to do so, entering parameters into the systems to guarantee the reliability, confidentiality, integrity and availability of critical information. / Information Security Procedure Incident Response Plan, which includes the management of incidents involving personal data from the standpoint of compliance with personal data protection and privacy regulations. ⓘ More information in section *6.3.5. Information security and privacy* of this Report / Establishment of an Internal Risk Management and Control System over Financial Reporting (ICFR), with the aim of continuously monitoring and assessing the main associated risks in order to reasonably ensure the reliability of the Group's public financial information. ⓘ More information in the Report on *Internal Control on Financial Reporting (ICFR) systems*) / Ensuring the reliability of the non-financial information supplied to the market through an internal control on non-financial reporting (ICNFR) system. / The Consolidated Annual Accounts and those of all the relevant companies, as well as the Statement on Non-Financial Information, which forms part of the Directors' Report, are reviewed by the external auditors. For the most significant companies, the external auditors are asked to make recommendations on internal controls. ⓘ More information in the *Independent Verification Report* included in this Report.

6.3.3. Risks that materialised over the course of the year

GRI 3-3

The covid-19 pandemic affected the evolution of the year less intensely, because the situation was normalizing in most of the markets. However, some geographies still suffered continuous or sporadic mobility restrictions of varying intensity that have occasionally affected both the Group's stores and the value chain, both owned and operated by third parties. Our response to the pandemic has had the primary objective of ensuring the health and well-being of our employees, customers and all the people who, directly or indirectly, provide services or provide goods necessary for the operation of the business, undertaking the measures of prevention and, where appropriate, timely mitigations, at all times, in addition to guaranteeing the normal functioning of our operations. The **integrated sales model** has allowed us to continue meeting the demand of our customers in all markets, even at times with stricter mobility restriction measures. Sales in the online channel have continued to develop strongly and have made it possible to complement and offset the impact of the impediments to the physical distribution channel. If the pandemic has occasionally caused disruptions to our value chain, the flexibility and diversification of our supply model has made it possible to mitigate its impact, taking advantage of the agility of our business model to meet demand through the most efficient combination of origins of merchandise of proximity and long cycle. The transport market has tended to gradually normalize during the year, although it has not yet returned, both in prices and availability, to the conditions prior to the pandemic. The restrictions on commercial traffic and the increase in the prices of fossil fuels, mainly the result of geopolitical tensions, have continued to add complexity to an already very difficult environment. The Group has sought versatile and reasonable transport alternatives, adapted to unexpected circumstances, ensuring the availability of the necessary capacity to guarantee the flexibility of our business model.

The uncertain and challenging macroeconomic and geopolitical environment were hallmarks of the year. The conflict in Ukraine forced the suspension of the Group's operations in Ukraine and the Russian Federation. Operations in Ukraine remain temporarily suspended. The Group continues to analyse developments in the conflict and its complex implications on an ongoing basis and to put plans in place to mitigate its impact.

More information at *Note 33* of the Consolidated Annual Accounts.

During the year many markets continued to experience accused inflationary processes. The inflationary spiral has affected many of the costs of goods and services that make up our value chain. In particular, commodity markets, especially energy and certain textile fibres, experienced a generalised uptick in the year. Energy costs, both in the sales markets and in supplying countries linked to the transformation processes in our value chain, have risen sharply. Although price levels have tended to moderate as the year has progressed, we are still far from pre-pandemic levels. Especially, in these exacting circumstances, spending has been systematically and rigorously controlled. In addition, in anticipation of potential supply chain stress, and harnessing the flexibility of our business model, the Group has brought inventory inflows forward. Although the Group's commercial and operational performance has been very positive, it should be noted that the economic outlook in many of the markets where we operate is challenging. This is a result of multiple factors (fragile economies still in the process of recovering from the crisis caused by the various waves of Covid-19, inflationary trends, the end of monetary stimulus packages, the beginning of fiscal consolidation, high levels of public debt, etc.).

The economic and geopolitical environment has generated instability and volatility in financial markets. Foreign currency exchange risk has been particularly concentrated in the US dollar and the Turkish lira. During 2022, the movements of non-euro currencies had a negative impact on the Company's sales growth and a slightly positive impact on the cost of sales. Foreign exchange rate risk continued to be pro-actively managed in accordance with Group guidelines based on centralising management, optimising foreign exchange exposures, maximising the benefit of diversifying the risk portfolio and monitoring risk continuously.

Although the Group has a **strong cash position**, measures have been taken to guarantee and safeguard the Company's liquidity. The Group also has external sources of financing through credit facilities, mostly committed, totalling 8,083 million euros.

ⓘ More information at Note 21 of the Consolidated Annual Accounts.

At the time of drafting this document, Türkiye and Syria are under the effects of the catastrophic earthquakes that have been occurring since February 6, 2023. Inditex's priority has been to join the humanitarian emergency through its contribution that allows it to collaborate to cover the basic needs of people affected by earthquakes. Türkiye plays a central role in the Group's value chain. Despite the fact that a significant part of the factories of the Turkish cluster are concentrated in the area affected by the earthquakes, the impact on the Group's global supply chain is not material. Our operations in the affected area tend to normalize.

6.3.4. Climate change: risks and opportunities

GRI 201-2

Assessing and managing climate change-related risks and opportunities is a key component of our progress towards decarbonisation. Assessing potential climate-related impacts, in their various manifestations, is a very important factor in the Group's strategic decision-making. The current climate situation requires collaboration and joint action, so we are in favour of disclosing our key climate risks and opportunities through this Report.

Our climate-related management and disclosure framework is based on the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD). We also closely adhere to the recommendations and standards that international accounting standard bodies are developing in connection with the transparency of the climate risks.

TCFD framework:

Physical risks

Acute
Caused by natural events, including more severe extreme weather events, like cyclones, hurricanes and floods.

Chronic
Long-term changes in weather patterns that may cause an increase in sea level or chronic heat waves.

These physical risks may cause damage to material goods and disrupt the supply chain in the following scenarios:

/ Changes in the availability of water resources.

/ Vulnerability in respect of other specific resources or raw materials on which Inditex depends, such as cotton, viscose, etc.

/ Potential disruption in shipping routes.

/ Employee health and safety.

Transition risks

Market
Technology
Policy and legal
Reputation

The Company's actions on the four TCFD pillars of **governance, strategy, risk management, and metrics and targets** is presented below.

Climate governance

The Group's sustainability strategy and its policy on climate change is approved at the highest level by the Board of Directors of Inditex. The Sustainability Roadmap includes a series of milestones and targets for advancing towards a low-carbon economy, the proper implementation of which is a shared responsibility involving all levels of the Company.

The Board of Directors reviews, on a quarterly basis, the fulfilment of the objectives included in the Strategic Plan, analysing, among others, the indicators related to sustainability and climate change, which are integrated in our business model and in our decision-making processes.

Climate governance at Inditex follows the same processes and is carried out through the same bodies as are the rest of sustainability-related matters.

ⓘ More information on the organisational structure of sustainability and climate change governance, the associated responsibilities and the monitoring and oversight processes in section *6.1.1. Good Corporate Governance* of this Report.

Strategy

Our approach to decarbonisation

At Inditex we are determined to be **agents of change** so as to drive the transformation of the textile sector towards a more resilient and low-emission economy. The Group's Sustainability Roadmap contains our decarbonisation targets, including achieving net zero emissions by 2040 and science-based reduction targets to 2030, which are currently under review to ensure they are aligned with the latest scientific evidence.

ⓘ More information in sections 5.5. Environment and 5.3. Our products of this Report.

We believe it is necessary to adopt a **holistic approach** involving the analysis of future climate scenarios and the identification of associated risks and opportunities in order to guarantee a resilient long-, medium- and and short-term strategy. Building on the work carried out in previous years, the Inditex Group joins forces with Risilience, which harnesses the methodology developed by its academic partner, the University of Cambridge/Centre for Risk Studies to design a climate risk assessment model under different scenarios.

Due to the large scale and long-term challenge posed by climate change, in addition to the Group's planning and business cycles, these risks and opportunities were assessed in the short (0-5 years), medium (5-10 years) and long (more than 10 years) term.

Analysis of the scenarios

The scenario analysis methodology provides us with a better understanding of the potential impacts of climate change on our Company, and is therefore a valuable tool for strategic planning, risk management and assessing our resilience. In 2022, we continued to work with the University of Cambridge to advance different aspects of resilience in our value chain. For example, by analysing certain transition risks in greater depth, considering a wider scope of exposure for our value chain or starting to include in the analysis the mitigation measures proposed through our sustainability strategies.

Emissions pathways have been updated in line with the latest ones published in the Sixth Assessment Report from the Intergovernmental Panel on Climate Change (IPCC) in 2022. The models of this Sixth Report tend to show significantly greater climate sensitivity than those of the Fifth Assessment Report, as well as an increase in the range of scenarios and experiments considered.

In 2022 Risilience updated several of the physical and transition risk models to incorporate new and updated data sources, reflecting the latest science and changes in external climate-related trends, and providing more detailed knowledge. These updates, combined with updated proprietary financial and business data, provide a revised view of physical and transition risks.The updates to the Risilience model include:

/ Physical risks: update of the basis for physical climate risk models from Phase 5 to Phase 6 of the Coupled Model Intercomparison Project (CMIP5 to CMIP6). These are the latest generation of climate models and are consistent with the results of the latest IPCC Sixth Assessment Report. Additional emission pathways have been modelled to assess the sensitivity of physical risks to different levels of global temperature increases.

/ Physical risk - Raw material supply: the model has been honed to factor in crop growing seasons and the number of raw materials analysed has been increased.

/ Transition - Regulatory risk: updating global carbon price data to reflect current policies. Improving the methodology used to forecast future carbon prices and updating data from various bodies, such as the Network for Greening the Financial System (NGFS).

/ Transition - Liability risk: update of the likelihood and costs associated with climate-related litigation, classified by emission pathway and industry.

Five emissions pathways were used to assess the potential impacts on the Group of physical and transition risks. Each pathway has its own socio-economic narrative based on assumptions in respect of regulatory changes, energy outlooks and technological advances on the basis of existing data, and a probability of occurrence. For example, emissions pathways are aligned with the Shared Socio-economic Pathways of the Intergovernmental Panel on Climate Change (IPCC's SSPs). The **five emissions pathways** used are described below in more detail:

Analysed Scenarios

Effect on GHG emissions

>4ºC	3ºC	2.5ºC	2ºC	1.5ºC
200%	-50%	-75%	Net 0	Net 0
In 2100	In 2100	In 2100	In 2070	In 2050
No policies	**Current policies**	**Policies announced**	**Paris Agreement limit**	**Paris Agreement ambition**
Assumes an increase in energy consumption and emissions by the end of the century, with contrary policies	Continuation of the current trend, with no new policies or changes to the existing ones	Includes the current commitments and objectives published, such as those defined in the Nationally Determined Contributions (NDCs)	In line with the Paris Agreement, which requires rapid and global change in the energy system, technology and behaviour.	Urgent and radical political response, requiring a swift and systemic overhaul of the energy system and sweeping changes in society, as well as more investment in technological innovation

In the short term, the most significant impacts relating to climate change stem from **transition risks**. Consequently, in the next five years transition risk is likely to evolve swiftly as a result of regulatory changes, energy supply and demand, legal processes, etc. Transition risks vary widely depending on the emissions pathway. The most ambitious scenarios in terms of emissions reductions result in potentially higher risks.

In the short term (five years), **physical risk** deriving from climate change does not significantly vary across the five emissions pathways and, as a result, its impact is broadly equal in all of them. Since over longer time frames there is more uncertainty with regard to the behaviour of climate change over physical risk, there is a greater divergence between the various pathways, and the probability of the materialisation of these risks increases. These findings evidence the importance of establishing measures in our Sustainability Roadmap in the short, medium and long term.

Method of analysing financial impacts

To quantify the potential impacts of these scenarios, a financial representation (or digital twin) of the Group was created. The **digital twin** is a representation of the Group's business, including its financial statements, key facilities, its value chain, including raw materials (both natural and man-made), a breakdown of the business by market and the greenhouse gas (GHG) emissions. The model captures the geographic presence of our value chain (sources of raw materials, factories, distribution centres, transport hubs, etc.), our commercial presence and our carbon footprint in respect of scopes 1, 2 and 3. The model allows a short-term quantification, over a five-year time frame, and also provides a 20-year outlook.

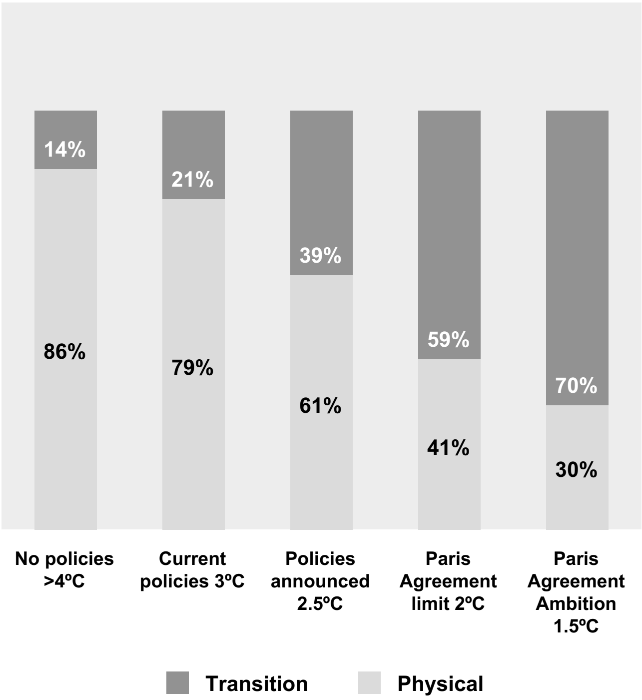
The results show the potential losses in future 'at risk' cash flows. Earning Value at Risk, discounted to obtain its present value, makes it possible to quantify the total financial impact of each scenario. The impacts are assessed from the standpoint of the physical and transition risks facing the Group. Each risk is modelled independently, assuming there are no interdependencies or trade-offs between them.

Earning Value at Risk

The Group's estimated global earning value at risk for the next five years that results from the risks linked to climate was modelled assuming no mitigation actions are undertaken. However, work is ongoing to identify and quantify the mitigation measures of our sustainability strategy so as to be able to gauge the residual risk. In the 'Current policies' emissions pathway, aggregate risk from climate change, in both its manifestations, is considered strong in the Group's critical risk map based on its impact and probability of occurrence. The 'Current policies' scenario is the second least severe in terms of transition risk.

ⓘ More information in sections *6.3.1. Risk management and control framework* and *6.3.2. Risk map* of this Report.

With respect to total estimated risk, the table below shows the profile of each of the risk dimensions of the five pathways used, distinguishing between physical and transition risks in the short term.



There follows a description of the various dimensions of risk under the different greenhouse gas emissions pathways and their relative impact:

Physical Risks

Physical risks resulting from climate change can be owing to extreme weather events (acute risks) or gradual changes in longer-term weather patterns (chronic risks). The analysis of physical risks was conducted for a total of more than 15,000 geolocalised facilities, belonging to both the Group and third parties, throughout our value chain of different types (factories, logistics centres, offices, airports, ports, logistics hubs, stores, etc.). Each type of asset has recovery curves assigned to it, depending on the severity of the scenarios, their vulnerability and resilience to each climate phenomenon. Seven climate phenomena are considered: heatwave, freeze, water stress,, river flooding, coastal flooding, 'extratropical' storm and tropical storm. Flash flooding was not considered this time as a result of the IPCC Assessment Report update, but will be included again in future analyses. The choice of these physical phenomena is based on Cambridge University's relevance criteria for our business.

Each threat is evaluated using a base-case scenario (2000) and a change forecast. The base-case scenario is compiled using the historical meteorological series of the last 40 years, while the forecasts are based on a risk estimate through 2030, 2040 and 2050. In order to weigh the financial impacts of extreme weather events caused by climate change, the changing probability and severity of each event is used to quantify the increase or reduction of the physical impacts expected at facility level. The base-case scenario also makes it possible to assess existing risks, especially water stress in the catchment areas where the Group's own or third-party facilities are located, particularly in Spain, where the Group's main assets are concentrated[59].

[59] More information in CDP Water 2022.

The effect of physical risks is assessed for **four types of key risk**:

Dimension	Description and impact	Main mitigations	Risk trend
Physical Acute	/ **Operations at key facilities:** extreme weather conditions can disrupt production and activities, as well as increasing the costs of operations and processes in key facilities. Impact on earnings: estimated total loss of profit attributed to the risk of market disruption. / **Damage to physical assets:** in addition to the aforementioned disruptions, the assets themselves may be damaged, and the costs of operations and processes may increase. Earnings impact: the disruption of production capacities generates loss of earnings depending on the products and services at each facility. Damage to assets may result in the loss and/or deterioration of facilities and/or stock.	/ Most of the facilities are related to the supply chain and our commercial network so there are technical contingency systems in place that would mitigate the consequences of a disruption or shutdown. / Continuous review systems, along with the insurance policies, would cover loss of profit and resulting expenses. / In the specific case of logistics centres, they have been configured so as to be able to take on storage and distribution capacity for other centres in the event of a contingency caused by extreme weather events. ⓘ More information in chapter *6.3 Responsible risk management* of this Report.	↑
Physical Acute and Chronic	/ **Disruption of earnings:** extreme weather events affect consumers' purchasing patterns so that consumers may alter their behaviour because of the weather. Impact on earnings: extreme weather events can impact short-term normal earnings flows. Sales may be affected by changes to demand if consumers change their behaviour due to the weather, reduced retail traffic or if the value chain experiences local disruptions.	/ All areas of the Group are geared towards satisfying customer needs and guaranteeing the best shopping experience, which is why our activity begins by actively listening to our customers and identifying their demands and expectations. / Flexible, integrated and innovative business model that affords a competitive advantage when it comes to analysis and response in the short, medium and long terms. ⓘ More information in section 4. Our strategy of this Report.	↑
Physical Chronic	/ **Raw materials supply:** agricultural products and water supply are affected by extreme weather phenomena and chronic climate changes, which may render certain crops non-viable or reduce their yield. Revenue impact: companies with agricultural supply chains are vulnerable to rising costs and the unavailability of raw materials due to extreme weather events and chronic climate changes, leading to disruptions in the production chain and potential losses as supply shortfalls cannot be replenished. Raw materials that cannot be replaced pose the greatest risk (e.g. cotton). Cotton, linen, wool, cowhide and cellulosic fibres have been analysed.	/ The Group's collaboration with other organisations and institutions to increase the range of materials with better environmental performance, which make more efficient use of natural resources with recycled content. / We have exacting commitments for the use of materials of preferred origin in the short term (cotton and man-made cellulosic fibres of preferred origin by 2023, and polyester and linen of preferred origin by 2025). / The Group's efforts and work to foster the development of technologies to improve the sustainability of the raw materials and their subsequent recycling.	↑

Transition Risks

Transition risks are financial and reputational risks associated with the nature, speed and trend of changes in policies, legal frameworks, technologies and markets as society transitions to a low-carbon economy. Transition risks vary broadly depending on the level of ambition expressed in the various greenhouse gas emissions pathways and transversally affect all business areas. Five dimensions of transition risks were assessed in accordance with the five GHG emissions pathways in the short, medium and long terms:

Dimension	Description and impact	Main mitigations	Risk trend[1]
Transition Regulatory	/ **Carbon pricing:** carbon pricing policies vary in each of the jurisdictions. They are a pivotal mechanisms for incentivising decarbonisation. Organisations pay a price for emissions throughout their value chain so that the cost of negative externalities is passed on to those responsible for them. / **Carbon markets:** the development of emissions markets, still largely voluntary, is experiencing an increase in demand and in the prices of carbon emissions allowances to reach credible reductions. Earnings and costs impact: the Group's total emissions footprint in each of the jurisdictions is subject to their carbon pricing. The financial impact stems from the increase in production and distribution costs, and the cost of raw material procurements, in terms of the increase per unit of product.	/ Ambitious Group Sustainability Roadmap that reflects Inditex's firm commitment to progressing towards a low-carbon economy model. The goal of net zero greenhouse gas emissions by 2040, science-based decarbonisation targets (SBTs) by 2030, and the commitment to using 100% renewable electricity at our own facilities, achieved in 2022. ⓘ More information in section *4. Our strategy* of this Report.	↓
Transition Legal liability	/ **Lawsuits from emissions and climate damage**: a generalisation of lawsuits against companies for their liability in emissions and the damaging economic and environmental consequences thereof. Cost impact: the intensity of lawsuits related to GHG emissions and climate change that the Group may experience will vary depending on the different emissions pathways. Their probability of occurrence and potential impact will also vary depending on the associated costs (settlement, legal damages, legal costs, etc.).	/ Inditex's Sustainability Policy establishes that all the Group's activities will be conducted in the most environmentally-friendly way possible, fostering the conservation of biodiversity and the sustainable management of natural resources. ⓘ More information in section *4. Our strategy* of this Report. / Solid Compliance System in place and a robust corporate governance system that ensures compliance with regulations, guidelines and best practices in this connection. ⓘ More information in sections *6.1 Good governance, corporate ethics, culture and solid compliance architecture* of this Report and F.1.2 of the Annual Corporate Governance Report.	↓

INDITEX

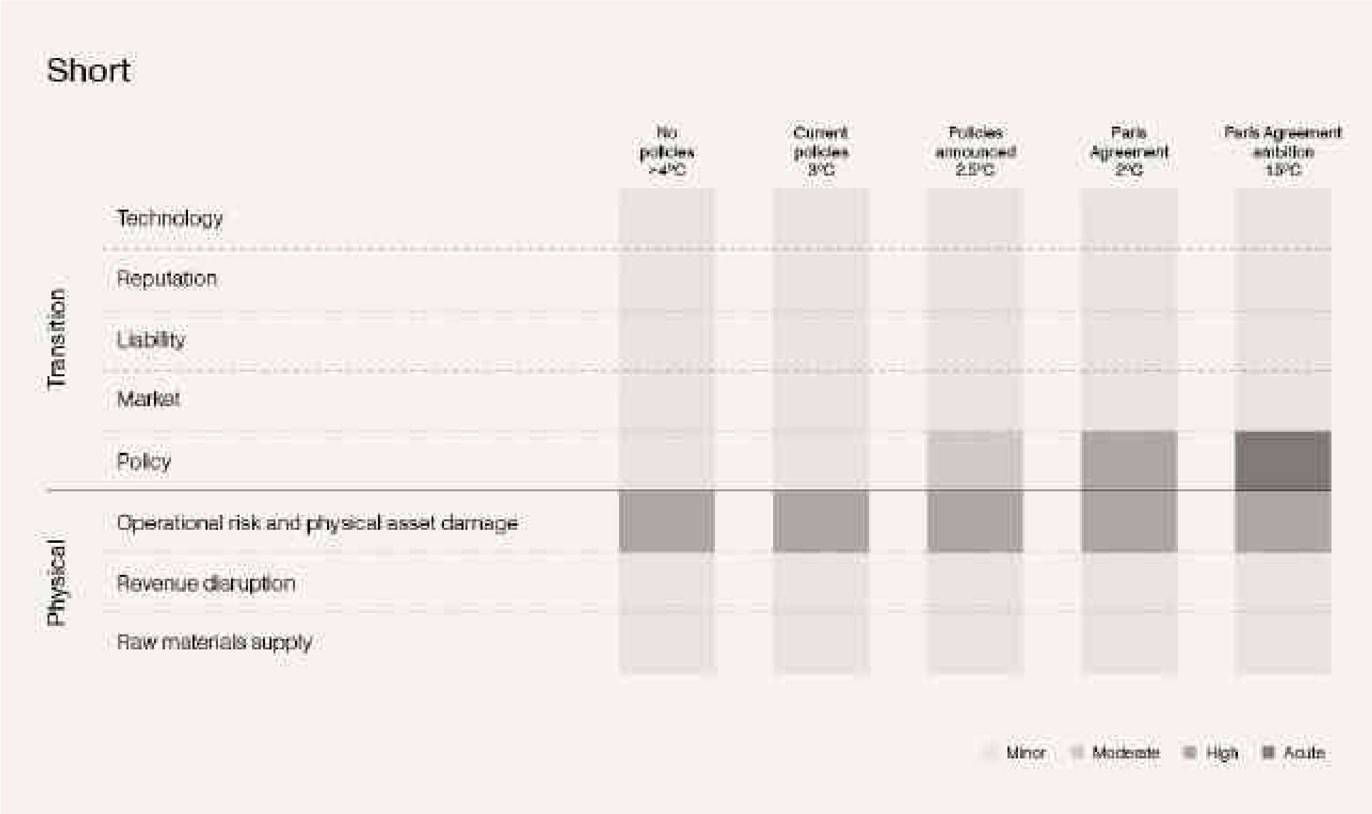
Dimension	Description and impact	Main mitigations	Risk trend[1]
Transition Technological	/ **Disruptive technological innovation:** the pace of adoption of low-carbon technologies, and the resulting 'green premium', may affect the competitiveness of companies as a consequence of the impact in terms of operating expenses and the value of the assets. Investments must seek a balance between innovation and profitability. Impact on cost: the model explores the cost for the Group of investing in these technologies and seeking efficiencies in our operating and distribution assets.	/ Innovation is an inherent and transversal value throughout the Inditex business model, which is why we collaborate with our suppliers and other organisations to find innovative solutions that may be applied throughout the value chain and life cycle of our products. Inditex's Sustainability Innovation Hub is clear evidence that it is seeking to foster the circular economy, contribute to decarbonisation and maximise environmentally-friendly development. Another example is our involvement in projects such as CIRC or the collaboration with Infinited Fiber Company. ⓘ More information in section *5.3.1 A firm commitment to innovation and circularity* of this Report.	↑
Transition Market	/ **Consumers preference for sustainability**: consumers tend to prefer alternative products and services that produce lower emissions. Competitors may emerge who propose innovations that transform demand, jeopardising the market share and cost of capital of established players. Earnings and costs impact: the demand impacts are expressed as the loss of earnings and/or failure to comply with growth targets. Investor sentiment translates into an increase in the cost of capital and in the cost of financing. The various emissions pathways will determine the scale of these impacts.	/ The Group's commitment to customers also implies anticipating their demands in matters such as diversity, sustainability or transparency, issues in which the aim is to involve them in the efforts and progress made.	↓
Transition Reputation	/ **Climate activism and stigmatisation by consumers:** a negative change in public opinion towards companies with carbon-intensive activities. Consumer demand is affected by climate activism, which also affects investor confidence and access to capital.	/ Inditex's Sustainability Roadmap includes ambitious targets and actions aimed at achieving the long-term goal as a lever of transformation. The Group collaborates with all the actors in the value chain and with stakeholders to tackle global challenges from a holistic standpoint.	↑

1. The risk trend reflected here corresponds with the short term

The tables below show the evaluation of the climate change risk dimensions as per the five greenhouse gas emissions pathways for the Inditex Group.

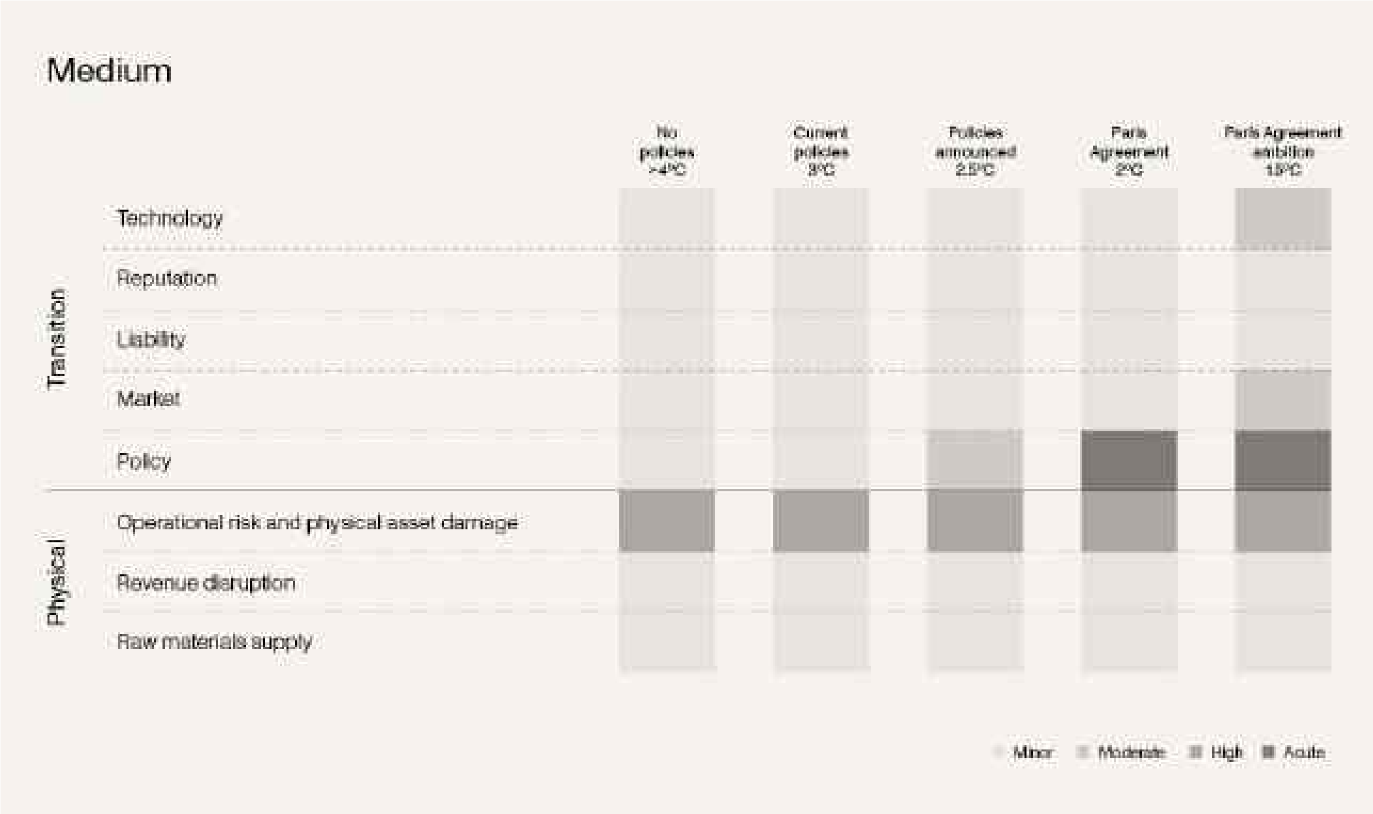
Medium- and long-term risks are estimated by translating the five-year cash flow estimates from the short term to the two corresponding future dates. The aim is to gauge how our business model would perform under climate conditions projected by different emissions pathways. This makes it possible to distinguish the impact of climate change.

In the short term (0-5 years):

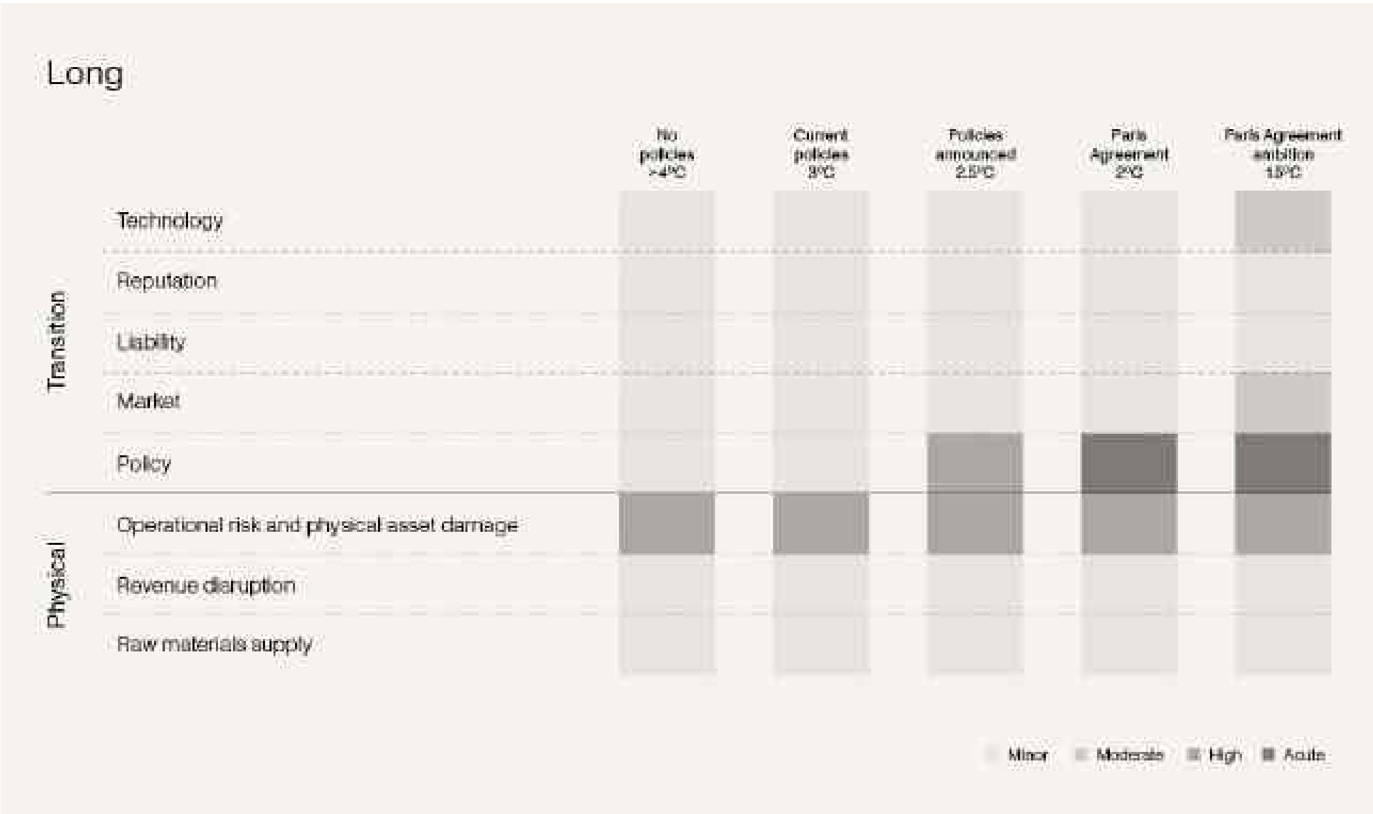


The estimated financial impact of physical risk is relatively limited for the next five years, although higher than reported in the previous year. There is an increase in the frequency and severity of physical risks as a result of the step-up from CMIP5 to CMIP6. The probability that acute events could cause significant losses ('catastrophic physical tail risks') remains low. The most vivid manifestations of physical risks resulting from climate change will, in principle, take longer to emerge. In the short term, around 70% of physical risk, in its various manifestations, comes from our own operations. The remaining risk originates from third-party operations.

In the medium term (5-10 years):



In the long term (more than 10 years):



Opportunities arising from climate change[60]

The sustainability culture that permeates every area of the Group enables us to advance towards a three-pronged objective: minimising potential environmental and social impacts in our value chain, mitigating our exposure to potential climate change risks, and in addition, being able to identify and leverage the opportunities associated with a low-carbon economy.

Our hope is that these benefits and opportunities will benefit not only our Company and our business model, but also the entire industry and society at large.

Opportunity	Description of the opportunity
Integrated business model	All our formats continue to introduce cutting-edge technology into their integrated stores and online platform, creating an efficient, sustainable and integrated economic model. We generate opportunities for improvement for our entire ecosystem while minimising resource consumption. ⓘ More information in section *4. Our strategy* of this Report.
Continuous strategic transformation	Our integrated business model gives us an overview of our customers and their demands at all times. Our strategy harnesses this advantage to evolve our model towards economic, sustainable and inclusive improvements. The starting point is to try to maintain the level of commercial success achieved to date, building on the opportunities afforded by digitalisation and our sustainability ambitions. ⓘ More information in section *4. Our strategy* of this Report.
Innovation	The complexity of the global challenges we face and the path towards a positive impact require an increasingly prominent presence of innovation, science and technology in our actions. For example, through our collaborative platform Sustainability Innovation Hub, we work with numerous startups like Nextevo and Renewcell, and we have signed our first purchase commitment with Infinited Fiber for more than 100 million euros. In 2022, Inditex was recognised by Boston Consulting Group as one of the world's 50 most innovative companies. ⓘ More information in section *5.3.1. A firm commitment to innovation and circularity* of this Report.
Customer orientation	We have a process of interaction with our customers as the main tool to identify the latest trends and create the products they want (clothing, footwear, accessories and household items), maintaining our high standards through a combination of design, quality and sustainability, at affordable prices. This constant connection has also enabled us to pinpoint new needs that we have gradually incorporated in the form of new services, technologies or channels. ⓘ More information in chapter *5.2. Our customers* of this Report.
Transformation of the sector	We have developed a unique business model the hallmarks of which are flexibility and efficiency, ceaseless innovation, the creativity of our staff and our focus on sustainability in every process involved. This is the starting point from which we work to effect, through determination and collaboration, the transformation of the sector, generating a positive impact on society, the industry and our environment. ⓘ More information in section *4. Our strategy* of this Report.
New business models	As part of our commitment to using resources more efficiently, we are working on new solutions that allow our customers to request a repair, or to sell or donate the Zara garments they have at home. In 2022, we launched the new Zara Pre-Owned platform to help our customers extend the useful life of their garments and further our commitment to circularity. ⓘ More information in section *5.3. Our products* of this Report.
Collaboration	To address the paradigm shift needed to face the challenges posed by the fight against climate change, circularity or the sustainable development of communities, we have to join forces with all the actors involved. Hence, we take an open approach in which collaboration is a pillar of transformation. Examples of this are our engagement with entities such as the United Nations Global Compact, The Fashion Pact, Ellen MacArthur Foundation or Zero Discharge of Hazardous Chemicals, among others. ⓘ More information in section *4.2. Stakeholder engagement* of this Report.

[60] More information in our answer to CDP Climate Change questionnaires available at www.cdp.net.

Opportunity	Description of the opportunity
Efficient consumption of natural resources	As part of our commitment to sustainable development, at Inditex we are strongly committed to circularity, an economic, management and production model that enables growth while conserving natural resources and advancing in the decarbonisation of the value chain. For us, circularity represents a differential model for production and consumption that spans every stage of a product from design to end of life, promotes the recycling and reuse of articles to extend their life cycle and thus minimises the use of natural resources, energy consumption and waste generation. ⓘ More information in section *5.3. Our products* of this Report.
Energy efficiency	Energy efficiency is a priority in both our designs and our day-to-day operations. In this regard we are constantly reviewing our standards to guarantee that they are in line with cutting-edge practices and implementing new programmes to advance on the path of continuous improvement and sustainability in our operations. We work closely with our suppliers and other organisations to promote the rational and efficient use of energy throughout the value chain. ⓘ More information in section *5.5.1. Our approach to energy management and emissions reduction* of this Report.
Generation of renewable energies	The generation and acquisition of energy from renewable sources is a core pillar of the architecture of our business model. To achieve this, we invest in generating renewable energy at our own operating centres. We use our own solar thermal, solar photovoltaic and wind energy, as well as facilities to harness geothermal energy, thereby avoiding dependence on third parties and introducing concepts such as additionality in respect of new power generation infrastructure in the grid. ⓘ More information in section *5.5.1. Our approach to energy management and emissions reduction* of this Report.
Sustainable building	We make the necessary investments in all our headquarters, platforms and stores to control the consumption of resources, to reduce it and to mitigate its impact. For example, when building our headquarters, they are designed in accordance with bioclimatic criteria, encouraging the installation of photovoltaic panels, harnessing rain water for non-drinking uses and ensuring that lighting systems are self-regulating in accordance with external light conditions. ⓘ More information in section *5.5 Environment*, of this Report.

Risk management

Inditex has an Integrated Risk Management System (IRMS) which covers the entire Group and which is described in section 6.3.1 Risk management and control framework. Risks arising from climate change are managed in the same way as the rest of risks to which the Group is exposed, taking into consideration its characteristics for the purpose of assessing and quantifying these risks.

ⓘ More information in section *6.3.1. Risk management and control framework* of this Report..

Metrics and targets

Protecting the environment and reducing our impact on it are core pillars of our business strategy. We are actively committed to this, taking action to help our planet to remain below the global warming limit established in the Paris Agreement.

Targets

We have emissions reduction targets approved by the Science Based Target Initiative (SBTi) to reduce scope 1 and 2 GHG emissions by 90% in 2018-2030, and by 20% in the cases of GHG emissions resulting from the acquisition of our goods and services for the same period. These objectives are an initial milestone in Inditex's ambitious emissions reduction strategy, whose purpose is to achieve net zero emissions by 2040.

In section *5.5.1. Our approach to energy management and emissions reduction* provides information on the Group's targets, the programmes in place to advance them and historical metrics related to our progress, including total energy consumption, renewable electricity used, scope 1, 2 and 3 emissions, etc.

ⓘ More information in section *5.5.1. Our approach to decarbonisation and energy management* of this Report.

Mechanisms to incentivise decarbonisation

Variable remuneration

In accordance with our values of transparency, results-orientation and commitment to sustainability, we link our people's variable remuneration to the Company's goals and the sustainability objectives for all employees. The Chief Executive Officer and Senior Management have specific incentives associated with emission reductions.

ⓘ More information in section *6.1.1 Good corporate governance* of this Report.

Climate change risk assessment

Physical risks

Physical asset damage
repair and replacement costs of damage to property, plan, equipment and inventory from extreme weather events.

Key facility operations risks
disruption to output of production and activities from extreme weather events.

Raw materials supply
agricultural production and water supply are affected by extreme weather events and chronic climate changes.

Revenue disruption
extreme weather events affect the purchasing patterns of consumers.

Transition risks

Policy dimension

/ Carbon pricing: carbon pricing policies vary across jurisdictions in order to incentivise decarbonisation. Organisations pay a price for emissions throughout **their entire value chain.**
/ Carbon markets: the development of emissions markets, still largely voluntary, is experiencing an increasement in terms of demand.

Market dimension

/ Preference for sustainability among consumers:
consumers preferences are trending towards alternative products and services of a sustainable nature. Competitors may emerge, coming up with innovations that transform demand and threaten to capture market share from established firms.

Technology dimension

/ The pace of adoption of low-carbon technologies with the resulting 'green premium', may affect the competitiveness of companies as a result of their impact in terms of operating costs and asset value.
Investments should seek a balance between innovation and profitability.

Legal dimension

/ Climate damage and emissions claims:
widespread lawsuits against companies for their responsibility for GHG emissions and the resulting economic and environmental damages.

Reputation dimension

/ Climate activism and consumer stigmatisation: negative change in public opinion towards companies with carbon-intensive activities. Consumer demand is affected by climate activism, which also influences investors' confidence and access to capital.

Summary of climate change risk

TCFD Framework	Dimensions	Upstream raw materials supply	Supply chain and operations	Final stages of the value chain	Group financial risks
Physical risks	Acute risks: extreme weather events	Disruptions in the supply of raw materials in the short term	Business interruption and damage to physical assets	Short-term market demand disruption	
	Chronic: gradual changes in climate patterns	Feasibility of raw materials supply in some geographies	Water stress and heat waves threatens value chain in certain geographies	Dependence on demand for certain products in certain geographies	
Transition risks	Policy: carbon pricing	Increased cost of upstream emission in the value chain	Increased in the cost of fossil fuel-based activities	Elasticity of demand to cost pass through	
	Technology: innovation in low-carbon technologies	Cost of upstream decarbonization in the value chain	Devaluation of carbon-intensive physical assets	Innovative competitors challenge market share	
	Market: preference for sustainability among consumers			Consumer preferences shifting towards sustainable alternatives	
	Reputation: climate activism and stigmatisation			Consumer perception of the Group and its brands	Investor sentiment towards Inditex's climate strategy
	Market: investor sentiment				Market shock resulting from desinvestment in carbon-intensive sectors
	Liability: climate litigation				Demands related to the contribution to climate change

6.3.5. Information security and privacy

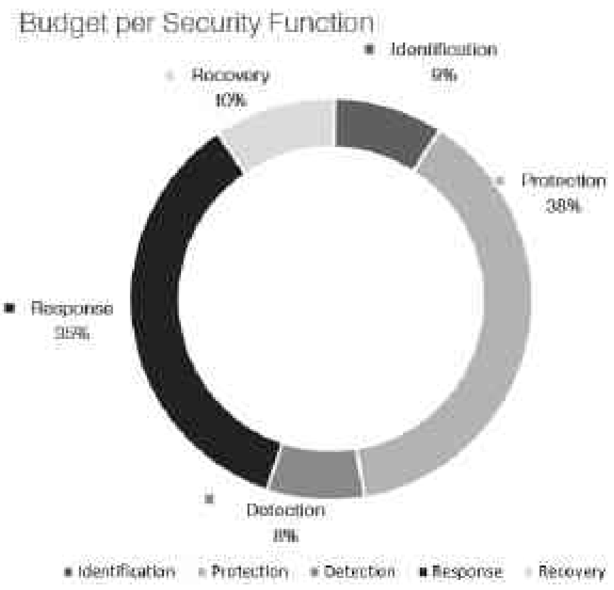
GRI 417-1

6.3.5.1. Information security

The transformation process being experienced by the sector as a result of the development of online sales and their integration with the physical sphere is changing the way companies develop and deliver their products and services to customers.

In the field of information technology, Information Security is continuously evolving and organisations must involve their Management and invest proportionately so as to define and implement an effective strategy to ensure that the risks associated with technological development have the least impact on their operations. Accordingly, we aim to protect the interests of the Company's key stakeholders (customers, shareholders, employees, investors, suppliers, partners, etc.) and guarantee the visibility and involvement of managers in overseeing technology risks and cybersecurity matters.

Against this backdrop, mindful of the importance of continuously improving the Company’s Information Security management model, we have ramped up our investment in security by 8% with respect to the previous year, giving a cumulative increase of 56% in the last three years. This, together with the commitment, support and leadership of the Organisation's Senior Management, makes it possible for us to continue developing initiatives that provide us with technologies and solutions to meet our global strategic objectives, complying with the principles and guidelines established both generally and in the Information Security Policy published on the Company's website. Below is a breakdown of the Company's annual Information Security budget across the five basic cybersecurity functions.



We assign the highest priority to guaranteeing the confidentiality and integrity of information and ensuring the availability of all processes that support sales and distribution channels. The Information Security Department is the area responsible for ensuring this, and the Information Security Committee, made up of members of Senior Management, is the body that supervises implementation of best practices in security management, compliance with applicable regulations and effective and consistent application of ethical values throughout the Company, as set forth in the Information Security Committee Regulations.

Evidencing this commitment, and as a result of a project to advise on compliance with cybersecurity and privacy regulations at an international level, the Statute of the Chief Information Security Officer was approved in 2022. Its purpose is to define the framework of action and competencies of the Information Security function, regulating both its place in the Organisation and the levels of organisational autonomy and independence (reporting to the Chief Executive Officer), internal and external responsibilities and reporting lines. In this connection, the Information Security strategy and risks must be reported at least half yearly to the Board of Directors through the Audit and Compliance Committee. Moreover, within the framework of the aforementioned advisory project, we carried out an analysis of the impact of the new Directive (EU) 2022/2555 Network and Information Security (NIS2), which aims to improve the security of networks and information systems in European territory.

Furthermore, in 2022 we also implemented various actions and initiatives based on the Company’s needs, targets and challenges as identified in the "Next Generation Cybersecurity" strategic plan. This plan, which was developed in 2021 with the help of international experts in various fields, is aimed at maintaining, improving and evolving the maturity of the Group’s Information Security programme. As a result, in coordination with the Personal Data Protection and Privacy area and other relevant areas, we have made progress in several initiatives to boost the protection of our Group's information, the main areas of focus being the prevention of leaks and theft of sensitive information, as well as the availability of critical services. This is further supported by the existence of the Cyber Risk insurance programme, which provides various coverages and services, including own damage (including loss of profit), liabilities and regulatory procedures, as well as crisis management services.

As a result of the increase in cyberattacks on companies worldwide, with no material financial or reputational impact on the Company as of the date of this report, the working groups set up have maintained and further developed their activity. These groups, under the supervision of the Information Security Committee, have been tasked with continuing to design and implement new initiatives, and overseeing those already in place, focusing on the management of vulnerabilities and higher-risk assets with the new tools acquired. In addition, as a consequence of conflict between countries, monitoring tasks have been ramped up, as has the management of the risks associated with this context. For this purpose, the Information Security Department has a specialised Cyber Intelligence team whose main function is the early detection of the potential risks and threats we face by means of continuous monitoring of the digital environment.

In 2022, our global incident responsel team registered as a member of CSIRT.es (Platform of Spanish Cybersecurity and Incident Management Teams), which aims to exchange information on cybersecurity incidents and improve collaboration and coordination in order to respond quickly in any situation that may affect large companies. In 2022, our Security Operations Centre (SOC), whose purpose is the detection, analysis, reporting and remediation of potential security incidents that may affect the Organisation, registered a total of 98 events of interest, the most relevant of which we have reported to the Information Security Committee. None of these events had a material impact on our operations or financial statements.

We also promote security by partnering with public and private organisations, such as the NGO CyberPeace Institute that helps vulnerable communities protect themselves and recover from cyberattacks, or with specialised cybersecurity forums such as the Spanish National Cybersecurity Institute (INCIBE) and the Centre for Industrial Cybersecurity (CCI).

Meanwhile, we have implemented improvements in perimeter security measures in order to optimise the protection of sales and distribution channels, reinforced vulnerability detection at our perimeter and increased the number of external researchers participating in our private vulnerability detection programme. Moreover, exercises continue to be carried out by independent external personnel consisting of simulating attacks targeting the Company in order to try to identify our weaknesses with the aim of improving the Organisation's security status.

In addition to the aforementioned activities, we have worked on automation processes, focusing especially on the optimisation and standardisation of various tasks carried out by the Information Security Department, achieving positive results this year by giving more capabilities to the teams. Furthermore, in the area of corporate identity and access management, we have addressed several initiatives in connection with improving oversight and internal processes with respect to identity management and the granting of permissions, as well as monitoring the management of privileged identities.

With regard to the availability of critical services, we have carried out various exercises to assess and ensure the recovery of critical systems in different scenarios so as to gauge and reduce the risks associated with the continuity of our systems and applications. The infrastructure supporting these services is Tier IV certified, a standard distinguishing data centres that offer the highest level of performance and reliability, guaranteeing a high degree of availability of our systems.

An initiative was also launched to improve the visibility of the security level of our relevant partners, reinforcing the existing control programmes, with the aim of reducing the risk of cybersecurity threats that might affect them. We also continue to pay attention to security in the supply chain, with the Information Security Department having a team dedicated to carrying out audits and implementing stringent controls to verify the level of security and guarantees in the service provided by our suppliers.

We have conducted various external assessments, both mandatory and voluntary, concerning our security model, showing that Inditex's Information Security is consistent with best practices and standards in cybersecurity at both the local and international levels. As a result, we have successfully renewed all major Information Security certifications:

/ Payment Card Industry-Data Security Standard (PCI-DSS) on the protection of our customers' payment card data.

/ ISO/IEC 27001, which evaluates Inditex's Information Security Management System, ensuring the confidentiality, integrity and availability of the Company's information and of the systems and applications that support the sales channels.

/ Korean Information Security Management System (K-ISMS), which evidences our adherence to legal cybersecurity requirements in South Korea.

/ Multi-Layer Protection Scheme (MLPS), which regulates cybersecurity issues in China.

We have also carried out numerous internal audits and reviews, both by third parties and by our Internal Audit Department and the Oversight Area within the Information Security Department, which ensures compliance and proper application of the policies and procedures defined by the department. These reviews notably include the cybersecurity maturity audit carried out by a specialised service provider with the aim of assessing the Inditex Group's level of Information Security and comparing it with other entities subject to exacting standards, such as companies in the Banking sector.

With regard to data protection, we are currently engaged in an initiative to activate our Company's sensitive data protection capabilities. Complementary to this initiative, we have also implemented a range of drives for our employees, collaborators and members of the Board of Directors, aimed at assessing and enhancing their level of security awareness and expertise, by means of the Cybersecurity Culture Plan and the training programme. The latter comprises specific actions aimed at the different groups of users according to their profile and role within the Organisation, covering both general aspects of information security and internal policies. We also expanded the scope of the awareness campaigns, covering 7,743 users and achieving better results than in the previous period.

Finally, user protection has been enhanced through the evolution of privileged identity shielding capabilities and the new email protection solution.

6.3.5.2. Personal Data Protection and Privacy

Throughout 2022, we have worked in alignment with the Company's strategy and objectives, advocating the value of respect for privacy and ensuring an appropriate level of compliance with data protection and privacy regulations.

In this regard, in order to guarantee the data protection of the groups whose personal data we process (customers, employees, candidates, etc.), at Inditex we conduct an analysis of all the trends with an impact on privacy across the retail sector, as well as the obligations entailed by the new regulations and the interpretations of the supervisory authorities, judges and courts. This guarantees compliance with the principles deriving from the data protection and privacy regulations, and in particular, those of transparency and the management of the rights of interested parties.

During the year we worked on a number of cross-cutting projects that have enabled us to advance in the implementation of our privacy programme. They include the following:

/ Project to improve the conservation and deletion of personal data of the main groups (customers, employees and candidates) stored in the Company's main systems.

/ Project to improve the automation of the management of personal data protection rights.

/ Management of third-party risks, with work on the implementation and improvement of the supplier approval procedure in collaboration with other Company departments, to guarantee that the suppliers who may process personal data for which Inditex is responsible have, from the standpoint of their organisational structure, a commitment to compliance in matters of data protection and privacy.

More specifically, in relation to **customers**, the Personal Data Protection and Privacy Department has worked hand in hand with the business teams, supporting them as needed. Thus, we have analysed and reviewed numerous projects aimed at improving the shopping experience, promoting sustainability (such as the Zara Pre-Owned project) or fostering the practice of sport (such as Oysho Training), among others, to ensure that these projects build in privacy from the design stage, in accordance with the corporate procedure.

Projects have also been rolled out to implement in our online platform the requirements pursuant to new privacy regulations affecting the Asian and American markets.

With regard to our **employees, we foster a culture of privacy** in our Company through, among other actions, a course on data protection and privacy in Tra!n (the corporate eLearning tool). This course is aimed at all employees of the Company at a global level, and is mandatory for those employees who work in departments that, due to their functions, process the personal data of different stakeholders. In seven months, we have managed to get 78% of the employees required to take this course to complete it.

Meanwhile, the management of third-party risks has evolved over 2022, with work on the implementation and improvement of the **supplier approval procedure.** Among other matters, this is to guarantee that the suppliers who may process personal data for which Inditex is responsible have, from the point of view of their organisational structure, a commitment to compliance in matters of data protection and privacy.

Lastly, we maintain the structure of our C**ompliance model in connection with data protection and privacy**, based on:

/ Boosting the role of our corporate Data Protection and Privacy Department as a control area (second line of defence).

/ Continuous improvement of the privacy programme.

/ Monitoring by the Group's Data Protection Officer (DPO).

/ Periodic reporting: at least once a year to the Board of Directors through the Audit and Compliance Committee and to the Company's Management through our participation in the Information Security Committee.

7. Reporting principles and indicators

7.1. Additional indicators / 7.2. Reporting principles

At Inditex we have a robust reporting structure with a special focus on indicators and metrics which provide information to interested parties transparently on diverse aspects of our Company.

7.1. Additional indicators

7.1.1. Management of the supply chain indicators

GRI 3-3; 308-1; 414-1; 414-2; AF7; AF8; AF16; AF17

a) Supplier clusters[61]

	2022
Spain	
Number of suppliers with purchases in the year	153
Number of sewing factories associated with suppliers with purchases	92
Number of factories for other processes associated with suppliers with purchases[1]	301
Workforce of manufacturers working for Inditex in Spain	18,661
Portugal	
Number of suppliers with purchases in the year	119
Number of sewing factories associated with suppliers with purchases	403
Number of factories for other processes associated with suppliers with purchases[1]	344
Workforce of manufacturers working for Inditex in Portugal	43,254
Morocco	
Number of suppliers with purchases in the year	183
Number of sewing factories associated with suppliers with purchases	348
Number of factories for other processes associated with suppliers with purchases[1]	37
Workforce of manufacturers working for Inditex in Morocco	94,247
Türkiye	
Number of suppliers with purchases in the year	201
Number of sewing factories associated with suppliers with purchases	907
Number of factories for other processes associated with suppliers with purchases[1]	802
Workforce of manufacturers working for Inditex in Türkiye	379,362
India	
Number of suppliers with purchases in the year	101
Number of sewing factories associated with suppliers with purchases	132
Number of factories for other processes associated with suppliers with purchases[1]	273
Workforce of manufacturers working for Inditex in India	425,077
Bangladesh	
Number of suppliers with purchases in the year	137
Number of sewing factories associated with suppliers with purchases	261
Number of factories for other processes associated with suppliers with purchases[1]	191
Workforce of manufacturers working for Inditex in Bangladesh	929,404
Vietnam	
Number of suppliers with purchases in the year	10
Number of sewing factories associated with suppliers with purchases	98
Number of factories for other processes associated with suppliers with purchases[1]	53
Workforce of manufacturers working for Inditex in Vietnam	111,337
Cambodia	
Number of suppliers with purchases in the year	2
Number of sewing factories associated with suppliers with purchases	95
Number of factories for other processes associated with suppliers with purchases[1]	19
Workforce of manufacturers working for Inditex in Cambodia	77,850
China	
Number of suppliers with purchases in the year	404
Number of sewing factories associated with suppliers with purchases	1,404

[61] Includes information of the main country of each of the clusters.

Number of factories for other processes associated with suppliers with purchases[1]	1,572
Workforce of manufacturers working for Inditex in China	584,601
Pakistan	
Number of suppliers with purchases in the year	59
Number of sewing factories associated with suppliers with purchases	83
Number of factories for other processes associated with suppliers with purchases[1]	91
Workforce of manufacturers working for Inditex in Pakistan	451,909
Argentina[2]	
Number of suppliers with purchases in the year	12
Number of sewing factories associated with suppliers with purchases	15
Number of factories for other processes associated with suppliers with purchases[1]	57
Workforce of manufacturers working for Inditex in Argentina	8,133
Brazil[2]	
Number of suppliers with purchases in the year	1
Number of sewing factories associated with suppliers with purchases	1
Number of factories for other processes associated with suppliers with purchases[1]	6
Workforce of manufacturers working for Inditex in Brazil	5,736

1. Includes raw materials processing, cutting, dyeing and washing, finishing non-textile product processes. For factories performing more than one process, their main process was considered.
2. Includes all suppliers and factories active in the region so as to make the data representative.

b) Supply chain assessment[62]

Audits by region in 2022

Geographic area	Traceability	Pre-assessment	Environmental preliminary assessment	Social	Environmental	Special	Total
Africa	5,400	97	3	390	75	117	6,082
Americas	154	16	2	35	6	41	254
Asia	2,872	1,438	34	3,058	1,225	795	9,422
Europe outside the EU	1,283	245	7	1,177	442	51	3,205
European Union	1,087	279	10	1,295	317	41	3,029
Total	**10,796**	**2,075**	**56**	**5,955**	**2,065**	**1,045**	**21,992**

Internal and external audits in 2022

	Traceability	Pre-assessment	Environmental preliminary assessment	Social	Environmental	Special	Total
Internal	283	35	0	305	41	908	1,572
External	10,513	2,040	56	5,650	2,024	137	20,420
Total	**10,796**	**2,075**	**56**	**5,955**	**2,065**	**1,045**	**21,992**

Social ranking and volume of suppliers with purchase[1]

	2022			2021			2020			2019			2018		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
A	650	38%	37%	653	37%	35%	575	32%	32%	784	40%	41%	661	35%	37%
B	1,018	59%	61%	1,077	60%	63%	1,152	64%	66%	1,051	53%	56%	1,045	56%	59%
C	10	1%	0%	18	1%	2%	27	2%	1%	44	2%	1%	80	4%	2%
Subject to CAP	30	2%	1%	23	1%	0%	24	1%	1%	38	2%	1%	47	3%	1%
PR	21	1%	0%	19	1%	0%	27	1%	0%	68	3%	1%	33	2%	1%
Total	**1,729**	**100%**	**100%**	**1,790**	**100%**	**100%**	**1,805**	**100%**	**100%**	**1,985**	**100%**	**100%**	**1,866**	**100%**	**100%**

1. Supplier A: Complies with the Code of Conduct. Supplier B: Does not comply with some non-relevant aspect of the Code of Conduct. Supplier C: Does not comply with some sensitive, but not conclusive, aspect of the Code of Conduct. CAP Supplier: Supplier in Corrective Action Plan. Supplier PR: Undergoing an auditing process.

62 The audits carried out using Inditex's own methodology are included.

Social ranking and purchase volume of suppliers by region [1]

Africa	2022			2021			2020			2019			2018		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
A	144	72%	68%	149	77%	80%	96	62%	66%	97	60%	64%	67	46%	52%
B	44	22%	25%	36	19%	17%	41	26%	24%	44	27%	24%	59	40%	37%
C	1	0%	0%	0	0%	0%	4	3%	2%	7	5%	6%	13	9%	9%
Subject to CAP	4	2%	2%	1	0%	0%	5	3%	2%	11	7%	5%	5	3%	2%
PR	8	4%	4%	8	4%	3%	10	6%	6%	2	1%	1%	1	2%	0%
Total	**201**	**100%**	**100%**	**194**	**100%**	**100%**	**156**	**100%**	**100%**	**161**	**100%**	**100%**	**145**	**100%**	**100%**

Americas	2022			2021			2020			2019			2018		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
A	9	82%	95%	10	83%	90%	2	22%	19%	8	47%	16%	13	59%	30%
B	2	18%	5%	2	17%	10%	7	78%	81%	9	53%	84%	8	36%	70%
C	0	0%	0%	0	0%	0%	0	0%	0%	0	0%	0%	1	5%	0%
Subject to CAP	0	0%	0%	0	0%	0%	0	0%	0%	0	0%	0%	0	0%	0%
PR	0	0%	0%	0	0%	0%	0	0%	0%	0	0%	0%	0	0%	0%
Total	**11**	**100%**	**100%**	**12**	**100%**	**100%**	**9**	**100%**	**100%**	**17**	**100%**	**100%**	**22**	**100%**	**100%**

Asia	2022			2021			2020			2019			2018		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
A	267	28%	32%	217	22%	26%	194	20%	26%	354	32%	37%	273	26%	30%
B	675	71%	67%	730	75%	72%	780	79%	74%	700	63%	62%	695	67%	66%
C	5	1%	0%	17	2%	2%	14	1%	0%	21	2%	1%	42	4%	3%
Subject to CAP	6	1%	0%	11	1%	0%	1	0%	0%	11	1%	0%	16	2%	1%
PR	2	0%	0%	3	0%	0%	2	0%	0%	21	2%	0%	14	1%	0%
Total	**955**	**100%**	**100%**	**978**	**100%**	**100%**	**991**	**100%**	**100%**	**1,107**	**100%**	**100%**	**1,040**	**100%**	**100%**

Europe outside the EU	2022			2021			2020			2019			2018		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
A	47	20%	23%	53	24%	26%	50	21%	29%	58	27%	37%	76	38%	51%
B	160	70%	71%	160	72%	69%	170	70%	66%	131	61%	58%	89	45%	41%
C	4	2%	0%	1	0%	3%	8	3%	2%	10	5%	3%	14	7%	3%
Subject to CAP	18	8%	5%	8	4%	1%	11	5%	3%	12	5%	1%	18	9%	4%
PR	1	0%	0%	1	0%	1%	3	1%	0%	4	2%	1%	3	1%	1%
Total	**230**	**100%**	**100%**	**223**	**100%**	**100%**	**242**	**100%**	**100%**	**215**	**100%**	**100%**	**200**	**100%**	**100%**

European Union	2022			2021			2020			2019			2018		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
A	183	55%	57%	224	58%	55%	233	57%	44%	267	55%	50%	232	51%	41%
B	137	41%	42%	149	39%	45%	154	38%	56%	167	35%	49%	194	42%	58%
C	0	0%	0%	0	0%	0%	1	0%	0%	6	1%	0%	10	2%	0%
Subject to CAP	2	1%	0%	3	1%	0%	7	2%	0%	4	1%	0%	8	2%	0%
PR	10	3%	1%	7	2%	0%	12	3%	0%	41	8%	1%	15	3%	1%
Total	**332**	**100%**	**100%**	**383**	**100%**	**100%**	**407**	**100%**	**100%**	**485**	**100%**	**100%**	**459**	**100%**	**100%**

1. Supplier A: Complies with the Code of Conduct. Supplier B: Does not comply with some non-relevant aspect of the Code of Conduct. Supplier C: Does not comply with some sensitive, but not conclusive, aspect of the Code of Conduct. CAP Supplier: Supplier in Corrective Action Plan. Supplier PR: Undergoing an auditing process.

c) Continuous improvement of the supply chain

Corrective Action Plans in the social area in 2022 at factories incurring in sensitive breaches of the Code of Conduct

Geographic area	Factories that have begun an improvement process	Factories that have improved their compliance	Factories in the process of improving	% CAPs completed successfully
Africa	20	0	16	0%
Americas	2	1	0	50%
Asia	219	47	136	57%
Europe outside the EU	211	47	103	44%
European Union	35	7	13	32%
Total	**487**	**102**	**268**	**47%**

Corrective Action Plans in the environmental area in 2022 in factories incurring in sensitive breaches of the Green to Wear standard

Geographic area	Factories that have begun an improvement process	Factories that have improved their compliance	Factories in the process of improving	% CAPs completed successfully
Africa	22	3	18	75%
Americas	2	0	2	0%
Asia	291	75	170	62%
Europe outside the EU	136	38	70	58%
European Union	96	4	80	25%
Total	**547**	**120**	**340**	**58%**

7.1.2. Health and safety of our products indicators

GRI 3-3; 416-1; 416-2

Results of the *Picking* programme

The Picking programme enables us to verify that our products comply with the Group's Clear to Wear (CtW) and Safe to Wear (StW) health and safety standards. In 2022, initial compliance with our standards reached 98.4%. In cases of initial non-compliance (1.6%), we apply re-operation protocols that allow these products to be properly corrected, eliminating the presence of restricted substances and improving parameters such as colour fastness to achieve compliance.

Degree of initial compliance

	2022	2021	2020	2019	2018
CtW – Chemical substances	99.2%	99.3%	99.3%	98.9%	99.1%
PTR	99.4%	99.5%	99.3%	98.8%	98.6%
CtW[1]	**98.7%**	**98.8%**	**98.6%**	**97.8%**	**97.7%**
StW – Parameters	99.9%	99.9%	99.9%	99.8%	99.8%
StW – Design	99.8%	99.8%	99.8%	99.7%	99.8%
StW	**99.7%**	**99.7%**	**99.7%**	**99.6%**	**99.6%**
CtW + StW	**98.4%**	**98.5%**	**98.3%**	**97.4%**	**97.4%**

1. For the purpose of comparison with previous reports, in the wake of the publication in 2021 of the Physical Testing Requirements (PTR) standard, the CtW category takes into consideration compliance in both chemicals included in CtW and parameters included in PTR (previously listed under the heading CtW – Parameters).

Degree of initial compliance by geographic area

Africa	**2022**	**2021**	**2020**	**2019**	**2018**
CtW	99.2%	99.1%	99.2%	98.4%	97.7%
StW	99.0%	99.3%	99.2%	98.8%	99.4%
CtW+StW	98.3%	98.4%	98.4%	97.2%	97.1%

Americas	**2022**	**2021**	**2020**	**2019**	**2018**
CtW	98.4%	100.0%	86.3%	100.0%	96.1%
StW	100.0%	100.0%	100.0%	100.0%	100.0%
CtW+StW	98.4%	100.0%	86.3%	100.0%	96.1%

Asia	**2022**	**2021**	**2020**	**2019**	**2018**
CtW	98.4%	98.6%	98.4%	97.5%	97.5%
StW	99.8%	99.8%	99.8%	99.7%	99.8%
CtW+StW	98.3%	98.4%	98.2%	97.3%	97.3%

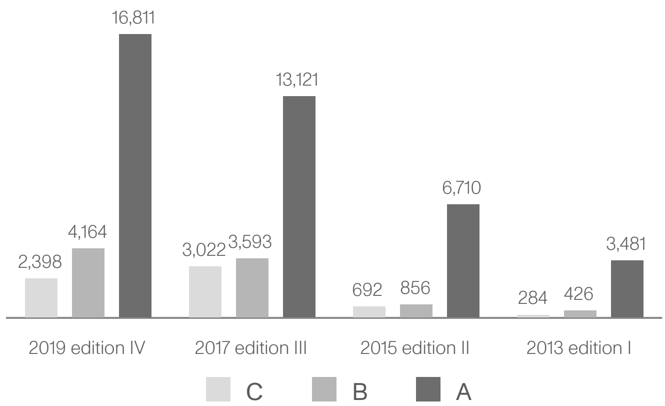
European Union	**2022**	**2021**	**2020**	**2019**	**2018**
CtW	99.7%	99.4%	99.1%	98.8%	98.3%
StW	99.7%	99.7%	99.5%	99.4%	99.5%
CtW+StW	99.3%	99.0%	98.7%	98.2%	97.8%

Europe outside the EU	**2022**	**2021**	**2020**	**2019**	**2018**
CtW	99.3%	99.4%	99.5%	95.8%	99.6%
StW	99.7%	99.6%	99.8%	100.0%	100.0%
CtW+StW	98.9%	99.0%	99.3%	95.8%	99.6%

The List, by Inditex programme

The List, by Inditex contains a register of commercially available chemical products used in the manufacturing processes of textile and leather goods. In 2019 we published findings from the 4th edition of the programme, including a total of 83,257 analyses, which allowed the classification of 27,756 chemical products (although the final published 4th edition includes 23,373 chemical products). It is important to point out that, due to the departure of two participants from the project, the published 4th edition presents less chemicals than those actually analysed and classified in the programme.

	1st edition	2nd edition	3rd edition	4th edition
Manufacturers	10	15	22	24
No. of manufacturer requests	10	5	78	98
(acceptance %)	(100)%	(100)%	(13)%	(4)%
No. of chemical products classified	4,191	8,258	19,736	23,373
No. of analyses	1,774	8,289	34,605	83,257



Chemical products "A": Their use is permitted in Inditex production with no further analysis by the institutions that use them.

Chemical products "B": Their use in the Inditex supply chain is subject to further analyses during production, as indicated in the Green to Wear standard.

Chemical products "C": The use of these chemicals is prohibited in Inditex production.

7.1.3. Environmental impact management indicators

GRI 3-3; 305-1; 305-2; 305-3; 305-4; 305-5

Section 5.5. Environment outlines a set of quantitative environmental indicators along with their performance in 2022 and developments over recent years. These quantitative indicators give us a picture of the progress made thanks to the management of natural and energy resources in the year.

a) Scope of the indicators

The environmental indicator system includes data obtained between 1 February 2022 and 31 January 2023. The data are shown in absolute and relative terms. The latter is calculated latter based on the surface square metres of our facilities and based on the level on net sales, so as to represent the efficiency reached after the Company's activities and the continuous improvement resulting from their management. The scope of the indicators includes the Inditex Group's own facilities, specifically:

/ The headquarters in Arteixo (A Coruña) and all the brands' headquarters: Zara, Pull&Bear, Massimo Dutti, Bershka, Stradivarius, Oysho, Zara Home and Tempe, all of them located in Spain.

/ All the Group's own factories, located in Spain.

/ All the Group's logistics centres.

/ All the Group's own stores.

International offices are not included in the scope. Indicators where the scope differs are shown alongside the data in question.

b) Calculation of relative indicators

Relative indicators are calculated using the following formula:

/ Ratio per square metre (m^2) = (absolute figure for the year/total surface area in m^2)

/ Ratio by net sales = (absolute value for the year/sales (€))[63]

c) Greenhouse gas emissions

The Inditex Group's greenhouse gas (GHG) emissions are calculated and reported following the international guidelines of the Intergovernmental Panel on Climate Change, IPCC (Guidelines for National Greenhouse Gas Inventories, 2006) and the World Resources Institute (GHG Protocol, 2015). The GHG emissions scopes reported are accounted for in accordance with the Company's financial limit. GHG emissions include gases (CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, and NF_3) and are expressed in units of CO_2 equivalent (CO_2eq). Specifically, scope 3 emissions are broken down according to the GHG Protocol categories. For greater transparency, the "Purchased goods and services" category (according to the GHG Protocol) is subdivided into the following categories: raw material extraction, raw material processing, material production, wet processes and final product assembly.

Below is a brief overview of the calculation methodology used for each category of Inditex Group GHG emissions

[63] Includes sales in our own stores and franchises.

Scope	Description	Methodology	Emission factors
Scope 1	Direct emissions related to sources under the direct control of the Inditex Group (combustion in boilers, own vehicles, etc.).	Scope 1 emissions are calculated based on the consumption of the various fuel types and their corresponding emission factors. The emissions associated with occasional leaks (or punctual leaks) of HFC and PFC gases from air conditioning equipment are not included.	DEFRA (Department for Environment Food & Rural Affairs), v.3.0, 2022.
Scope 2	These are indirect emissions related to the generation of electricity acquired and consumed by the Inditex Group.	Scope 2 emissions are calculated based on the consumption of electricity in each market and their corresponding emission factors. The emissions associated with the electricity acquired in international offices are not included.	Location-based method: / IEA (2022), Emission Factors Market-based method: / Contractual instruments for renewable energy: (PPA, EACs, etc.)
Scope 3 - Category 1: Purchased goods and services	All upstream (cradle-to-gate) emissions generated in Inditex's supply chain from the manufacture of products made available to customers.	Extraction of raw materials: emissions are calculated based on the tonnes of the various raw materials consumed and the corresponding emission factors.	Higg Materials Sustainability Index (MSI), 2021
		Spinning and weaving: emissions are calculated based on the energy consumption and the corresponding emission factors. Energy consumption is estimated on the basis of raw materials consumption ratios.	IEA (2022), Emission Factors DEFRA (Department for Environment Food & Rural Affairs), v.3.0, 2022.
		Wet processes and cutting and sewing: Emissions are calculated on the basis of the Scope 3 evaluator, Greenhouse Gas Protocol and Quantis calculator.	Scope 3 evaluator, Greenhouse Gas Protocol and Quantis
Scope 3 - Category 2: Capital goods	Emissions generated as a result of the extraction, production and transportation of capital goods purchased and/or acquired by the Company	Emissions are calculated using the Scope 3 evaluator, Greenhouse Gas Protocol and Quantis	Scope 3 evaluator, Greenhouse Gas Protocol and Quantis
Scope 3 - Category 3: Activities linked to fuel and energy	Emissions generated in the process of extraction, refining, production and transportation of energy and fuels purchased and acquired by the Company.	Emissions are calculated based on the global energy consumption and the corresponding emission factors.	DEFRA (Department for Environment Food & Rural Affairs), v.3.0, 2022.
Scope 3 - Category 4: Upstream transport and distribution	Emissions linked to the upstream transportation and distribution services acquired by the Company.	Their calculation takes into account the tonnes transported and kilometres travelled by each means of transport, along with the relevant emission factors.	GLEC, Global Logistic Emissions Council Framework for Logistics Emissions Accounting and Reporting, v.2.0.
Scope 3 - Category 5: Waste generated in operations	Emissions from the final disposal and treatment of waste generated in Inditex's headquarters, own logistics centres and own factories. Information on waste generated in own stores is not available at the required level of itemisation.	Their calculation takes into account the tonnes of each type of waste generated and the final treatment of each, along with the corresponding emission factors.	DEFRA (Department for Environment Food & Rural Affairs), v.3.0, 2022.
Scope 3 - Category 6: Business trips	Emissions from the transportation of employees for business-related activities in vehicles operated by third parties.	Their calculation takes into account the origin, destination, means of transport used by Spanish agents and the corresponding emission factors. It is extrapolated to the rest of the subsidiaries on the basis of travel expenditure in Spain.	DEFRA (Department for Environment Food & Rural Affairs), v.3.0, 2022.
Scope 3 - Category 7: Emissions from employee commuting	Emissions generated as employees commute between home and work.	Their calculation involves estimating average distances covered by means of transport and commuting patterns based on bibliographic research.	DEFRA (Department for Environment Food & Rural Affairs), v.3.0, 2022.
Scope 3 - Category 8: Upstream leased assets	Emissions associated with third-party assets leased by Inditex.	Not applicable	
Scope 3 - Category 9: Downstream transport and distribution	Emissions from the downstream transportation and distribution of sold products.	Not reported. Inditex is working on improving the internal corporate systems to provide this information with the degree of detail required.	
Scope 3 - Category 10: Processing of sold products	Emissions from the subsequent transformation of sold products.	Not applicable	

Scope	Description	Methodology	Emission factors
Scope 3 - Category 11: Use of sold products	Estimated emissions from the use of products sold by Inditex.	Their calculation takes into account the energy consumed during the use phase based on bibliographic research.	IEA (2022), Emission Factors. Higg Product Module methodology, June 2021.
Scope 3 - Category 12: End of life treatment of sold products	Emissions from the final disposal of products sold by the Company.	Their calculation takes into account the number of units sold and the final destination based on bibliographic research (20% reuse and 80% landfill).	DEFRA (Department for Environment Food & Rural Affairs), v.3.0, 2022.
Scope 3 - Category 13: Downstream leased assets	Emissions from Inditex-owned assets leased to third parties.	Not applicable.	
Scope 3 - Category 14: Franchised	Emissions from franchisees during the operation of franchises.	The electricity consumption of franchises has been estimated from the average consumption of own stores. This consumption is multiplied by the corresponding emission factor.	IEA (2022), Emission Factors
Scope 3 - Category 15: Investments	Emissions from Inditex investment activities	This category includes equity and debt investments. Project finance and investment management and customer service do not apply.	Scope 3 evaluator, Greenhouse Gas Protocol and Quantis

d) Conversion factors used for the calculation

/ 1 tonne of diesel = 1.035 tonnes of oil equivalent (toe).

/ Diesel density = 0.8446 kg/litre, DEFRA (Department for Environment Food & Rural Affairs, v.3.0, 2022)

/ 1 toe = 41.868 GJ.

/ 1 GJ = 277.778 kWh.

7.1.4. Corporate community investment indicators

GRI 3-3; 201-1; 203-1

	2022	2021	2020	2019	2018	2022-2018 change
Corporate Community Investment	87,870,420	63,500,135	71,803,602	49,231,909	46,218,895	90%

Form of contribution (in euros)	2022	% 2022	2021	% 2021	2020	% 2020	2019	% 2019	2018	% 2018	2022-2018 change	
Cash	46,280,569	53%	31,865,805	50%	50,247,787	70%	33,248,048	68%	30,109,825	65%	54%	
Time	9,413,346	11%	6,182,600	10%	5,341,060	7%	3,668,531	7%	3,542,309	8%	166%	Management costs included
In-kind	30,266,626	34%	24,171,628	38%	15,046,374	21%	11,684,094	24%	11,935,563	26%	154%	
Management costs	1,909,879	2%	1,280,102	2%	1,168,380	2%	631,236	1%	631,198	1%	203%	
Total	**87,870,420**	**100%**	**63,500,135**	**100%**	**71,803,602**	**100%**	**49,231,909**	**100%**	**46,218,895**	**100%**	**90%**	

Category (in euros)	2022	% 2022	2021	% 2021	2020	% 2020	2019	% 2019	2018	% 2018	2022-2018 change	
Charitable gifts	1,753,555	2%	1,700,733	3%	1,915,938	3%	1,633,093	3%	1,801,149	4%	-3%	
Community investment	58,720,596	68%	45,748,133	73%	55,242,082	78%	36,668,336	75%	36,179,975	79%	62%	Management costs excluded
Commercial initiatives in the community	25,486,390	30%	14,771,167	24%	13,477,202	19%	10,299,244	21%	7,606,572	17%	235%	
Total	**85,960,541**	**100%**	**62,220,033**	**100%**	**70,635,222**	**100%**	**48,600,673**	**100%**	**45,587,697**	**100%**	**89%**	

Issue addressed (in euros)	2022	% 2022	2021	% 2021	2020	% 2020	2019	% 2019	2018	% 2018	2022 -2018 change	
Education	14,094,888	16%	7,278,201	12%	7,518,126	11%	8,501,897	17%	7,468,318	16%	89%	
Health	6,564,862	8%	3,261,939	5%	24,198,243	34%	2,798,355	6%	3,861,618	8%	70%	
Economic development	3,992,003	5%	3,293,301	5%	1,220,854	2%	1,304,020	3%	1,610,820	4%	148%	
Environment	19,385,452	23%	5,594,131	9%	4,680,860	7%	5,446,742	11%	3,586,327	8%	441%	Management costs excluded
Arts and culture	891,955	1%	1,079,312	2%	988,654	1%	1,221,122	3%	870,924	2%	2%	
Social welfare	9,191,329	11%	19,019,444	31%	21,506,246	30%	19,646,921	40%	19,098,184	42%	-52%	
Emergency relief	31,840,052	37%	22,693,705	36%	10,522,239	15%	9,681,616	20%	9,044,621	20%	252%	
Others	0	0%	0	0%	0	0%	0	0%	46,883	0%	0%	
Total	**85,960,541**	**100%**	**62,220,033**	**100%**	**70,635,222**	**100%**	**48,600,673**	**100%**	**45,587,697**	**100%**	**89%**	

Location of the activity (in euros)	2022	% 2022	2021	% 2021	2020	% 2020	2019	% 2019	2018	% 2018	2022-2018 change	
Spain	28,355,155	33%	21,203,015	34%	41,228,603	58%	17,529,175	36%	20,297,453	45%	40%	
Europe ex-Spain	22,569,569	26%	8,752,685	14%	7,316,927	10%	7,464,704	15%	5,643,921	12%	300%	Management costs excluded
Americas	13,774,978	16%	10,608,807	17%	10,357,432	15%	13,328,564	27%	10,208,058	22%	35%	
Asia and rest of the world	21,260,838	25%	21,655,526	35%	11,732,259	17%	10,278,231	21%	9,438,265	21%	125%	
Total	**85,960,541**	**100%**	**62,220,033**	**100%**	**70,635,222**	**100%**	**48,600,673**	**100%**	**45,587,697**	**100%**	**89%**	

SDG (in euros)	2022	% 2022	2021	% 2021	2020	% 2020	2019	% 2019	2018	% 2018	Total 2022 - 2018
1. No poverty	3,750,457	4.4%	1,796,811	2.9%	199,709	0.3%	52,547	0.1%	161,176	0.4%	5,960,700
2. Zero hunger	99,188	0.1%	509,079	0.8%	171,091	0.2%	399,582	0.8%	163,364	0.4%	1,342,304
3. Good health and well-being	7,670,746	8.9%	9,223,912	14.8%	28,371,255	40.2%	7,375,925	15.2%	7,260,232	15.9%	59,902,070
4. Quality education	7,182,324	8.4%	3,810,370	6.1%	4,958,119	7.0%	5,405,862	11.1%	5,824,809	12.8%	27,181,484
5. Gender equality	5,122,683	6.0%	2,980,153	4.8%	3,422,346	4.8%	2,581,715	5.3%	1,687,518	3.7%	15,794,415
6. Clean water and sanitation	2,597,186	3.0%	1,032,230	1.7%	1,396,363	2.0%	952,531	2.0%	785,861	1.7%	6,764,171
7. Affordable and clean energy	2,500	0.0%	464,644	0.7%	30,684	0.0%	20,000	0.0%	20,000	0.0%	537,828
8. Decent work and economic growth	7,931,367	9.2%	5,869,853	9.4%	7,259,969	10.3%	7,859,961	16.2%	8,334,396	18.3%	37,255,546
9. Industry, innovation and infrastructure	2,501,301	2.9%	844,244	1.4%	397,752	0.6%	1,884,953	3.9%	446,410	1.0%	6,074,660
10. Reduced inequality	17,760,641	20.7%	19,973,638	32.1%	12,901,353	18.3%	9,870,828	20.3%	9,294,145	20.4%	69,800,605
11. Sustainable cities and communities	722,389	0.8%	842,896	1.4%	793,168	1.1%	1,243,389	2.6%	1,206,475	2.6%	4,808,317
12. Responsible consumption and production	22,531,480	26.2%	12,863,973	20.7%	9,729,241	13.8%	8,818,385	18.1%	7,745,279	17.0%	61,688,358
13. Climate action	7,089,561	8.3%	519,761	0.8%	115,627	0.2%	88,294	0.2%	89,427	0.2%	7,902,670
14. Life below water	250,180	0.3%	204,690	0.3%	160,416	0.2%	270,429	0.6%	378,437	0.8%	1,264,152
15. Life on land	131,635	0.2%	824,001	1.3%	250,000	0.4%	289,465	0.6%	379,806	0.8%	1,874,907
16. Peace, justice and strong institutions	155,344	0.2%	89,652	0.1%	346,048	0.5%	621,561	1.3%	608,050	1.3%	1,820,655
17. Partnerships for the goals	461,558	0.5%	370,126	0.6%	132,080	0.2%	865,247	1.8%	1,202,312	2.6%	3,031,323
Total	**85,960,541**	**100.0%**	**62,220,033**	**100%**	**70,635,222**	**100%**	**48,600,673**	**100%**	**45,587,697**	**100%**	**313,004,166**

% management costs excluded

Output indicators	2022	2021	2020	2019	2018	2022-2018 change
Number of hours spent by employees on social initiatives during working hours	313,778	206,087	178,035	122,284	118,077	166%
Number of social initiatives implemented	725	725	703	670	622	17%
Number of garments donated to social causes	7,894,590	5,899,270	4,114,490	3,164,804	3,225,462	145%
Number of direct beneficiaries	3,352,138	2,217,342	3,313,581	2,441,300	2,425,639	38%
Number of community organisations supported	469	427	439	421	413	14%

	2022	2021	2020	2019	2018	Total 2022-2018
Number of children with access to education	20,230	19,556	31,054	43,443	48,794	163,077
Number of people receiving professional training	16,143	14,546	14,399	26,763	32,514	104,365
Number of migrants, refugees and displaced persons served	1,861,489	188,054	172,160	405,335	952,935	3,579,973
Number of people receiving medical care	1,037,184	1,348,727	732,601	930,223	1,078,634	5,127,369
Number of employments created through community investment projects	6,234	5,391	5,524	11,288	16,437	44,874
Number of people accessing water and sanitation	753,616	583,426	359,675	361,978	553,653	2,612,348

	2022	2021	2020	2019	2018	Total 2022 - 2018
Leverage (in euros)	**75,306,852**	**56,044,311**	**38,525,899**	**79,291,268**	**49,827,907**	**298,996,237**

Impact indicators	2022	2021	2020	2019	2018	2022-2018 change
Number of direct beneficiaries where results were measured	**3,283,404**	**2,184,117**	**3,272,473**	**2,406,380**	**2,401,131**	**37%**

Depth of impact (number of beneficiaries that...)	2022	2021	2020	2019	2018	2022-2018 change
Made a connection as a result of the initiative	403,097	203,349	2,147,665	1,108,752	599,741	-33%
Made an improvement as a result of the initiative	2,529,808	1,412,624	791,219	890,818	1,450,128	74%
Made a transformation as a result of the initiative	350,499	568,144	333,589	406,810	351,262	0%

Type of impact (number of beneficiaries that...)	2022	2021	2020	2019	2018	2022-2018 change
Experienced a direct positive change in their behaviour or attitude	653,145	478,076	351,101	374,548	324,788	101%
Developed new skills or an increase in their personal well-being	30,606	31,725	50,079	71,321	59,921	-49%
Experienced a positive impact on their quality of life	2,852,121	2,041,808	1,158,212	1,300,898	1,743,085	64%

Social cash flow	2022	2021	2020	2019	2018
Cash received from the sale of products and services	32,569	27,716	20,402	28,286	26,145
Flow received from financial investments	105	4	6	31	29
Cash received for sales of assets	0	0	36	40	159
Total value added flow	32,674	27,721	20,444	28,357	26,333

Distribution of value added flow	2022	2021	2020	2019	2018
Remuneration to employees for their services	4,753	4,179	3,376	4,430	4,136
Tax on profits paid	1,176	734	452	1,207	1,070
Return of financial debt	17	-22	-17	-49	73
Dividends paid to shareholders	2,914	2,192	1,090	2,741	2,335
Corporate Community Investment	88	64	72	49	46
Cash retained for future growth	705	1,790	-398	1,284	510
Payments made outside the Group for the purchase of goods, raw materials and services	21,666	17,729	15,204	17,669	16,586
Payments made for investment in new productive assets	1,355	1,055	665	1,026	1,577
Total distribution of value added flow	**32,674**	**27,721**	**20,444**	**28,357**	**26,333**

7.1.5. European taxonomy of sustainable activities

1. Regulatory context

The Inditex Group is subject to Regulation (EU) 2020/852 on EU Taxonomy (hereinafter "Taxonomy")[64], which stipulates a series of obligations with regard to the disclosure of information relating to "environmentally sustainable" activities. In the 2021 financial year, it was mandatory to report the proportion of taxonomy-eligible economic activities[65] through the key performance indicators for turnover, investments in fixed assets (CapEx) and operating expenditure (OpEx) for the two environmental objectives currently included in the regulation: climate change mitigation and climate change adaptation[66]. For 2022, it is also mandatory to report alignment[67] for those same objectives, in addition to certain complementary qualitative information[68].

The Taxonomy is a regulation that is still under development, which creates a context of regulatory uncertainty. This leads companies to make decisions based on their own interpretation and to perform continuous analyses in order to ensure that the information provided properly complies with the requirements established, in view of the information being made available.

While on the date this Report was drawn up, the Inditex Group's main activity—the distribution and sale of fashion items—is not yet contemplated in the current regulatory framework, it does apply to other activities linked to the Group's business model.

2. Scope and assessment of Inditex's activities

The scope of the information on Taxonomy includes all the companies over which the Inditex Group has control or joint control (listed in Annex I of the Consolidated Annual Accounts). Within this perimeter, the Group has conducted an analysis of its accounting information in order to determine which activities are associated with those described in the Taxonomy[69], identifying those that are eligible within the framework of the mitigation objective[70]. This analysis is grounded upon the current level of understanding of the descriptions and technical screening criteria included in the Taxonomy, which, as we discuss below, in some cases has implied updating the assessment and calculation criteria applied in 2021.

There follows a presentation of the foremost findings of this analysis in relation with the three key indicators(Turnover, CapEx and OpEx)[71].

Turnover: Inditex is mainly dedicated to the distribution and sale of fashion items, and this activity is its main source of revenue. Since this activity is not currently included in the Taxonomy, **no turnover items have been identified that could be considered eligible.**

CapEx: A core portion of the Group's CapEx corresponds to investments undertaken in relation with store refurbishments and openings.

However, in most cases these actions are related to the design and conditioning of commercial spaces, mostly rented premises, in which, only exceptionally, actions are carried out on the building envelope or insulation (which is what has the ability to influence its energy efficiency). This means that only in these exceptional cases will the Group's activities be considered eligible in accordance with the description of **activity 7.2** (renovation of existing buildings) and **7.3** (installation, maintenance and repair of energy efficiency equipment) for being able to improve energy efficiency of the buildings in which it carries out its activity.

Another significant part of CapEx refers to the construction and refurbishment of the Group's corporate headquarters and logistics centers. In this case, in addition to the taxonomic activities mentioned in the previous section, **activity 7.7** (acquisition and ownership of buildings) is also taken into account. The criteria applied is the same as for store investments, considering eligible actions with the capacity to influence the energy efficiency of the buildings under analysis.

Additionally, the rights of use of commercial spaces (ie, the rental of stores) are part of the CapEx according to the definition of the Taxonomy. Following a criteria consistent with the above, it will only be considered eligible under the description of activity **7.7** (acquisition and ownership of buildings) when the rental corresponds to a building and not only limited to an interior space, since it does not have the capacity to influence the building energy efficiency.

This understanding of activities 7.2, 7.3 and 7.7 is the main reason for the adjustment in the results reported this year in terms of CapEx compared to those reported for the year 2021.

[64] The EU Taxonomy is structured around the Regulation (EU) 2020/852, and is supported by two delegated acts: Delegated Regulation (EU) 2021/2139 (the Climate Delegated Act), which specifies the technical screening criteria to determine taxonomy-aligned activities; and the Delegated Regulation (EU) 2021/2178 (Disclosures Delegated Act), which specifies the content, methodology and presentation of information to be disclosed by companies with regard to sustainable economic activities.
[65] Taxonomy-eligible economic activity means an economic activity that is described in the delegated acts, irrespective of whether that economic activity meets any or all of the technical screening criteria laid down in those delegated acts.
[66] The remaining objectives are: the sustainable use and protection of water and marine resources, the transition to a circular economy, pollution prevention and control, and the protection and restoration of biodiversity and ecosystems.
[67] Taxonomy-aligned economic activity means an economic activity that complies with the technical screening criteria laid down in the delegated acts.
[68] The Disclosures Delegated Act requires certain qualitative information to be specified in detail concerning accounting policies, the assessment of compliance with the Regulation, in addition to contextual information thereon.
[69] Annexes I and II to the Delegated Regulation (EU) 2021/2139
[70] Unlike what was reported in the 2021 financial year—when eligible activities were identified for both the mitigation and adaptation objectives—the current understanding of the technical screening criteria included in the Taxonomy indicates that the activities identified are only eligible for the objective of climate change mitigation.
[71] The composition and calculation of these indicators is explained below.

Moreover, the Inditex Group undertakes other investments linked, among others, with the development of IT solutions and data processing, and the implementation and operation of systems that supervise and optimise energy consumption to boost efficiency, which might be considered to be eligible within the framework of activities 8.1. (data processing, hosting and related activities) and 7.5. (installation, maintenance and repair of instruments and devices used to measure, regulate and control energy efficiency in buildings), respectively. However, these activities represent an insignificant proportion of approximately 0% of the Group's CapEx in fiscal year 2022.

OpEx: In keeping with the definition of this indicator provided in Taxonomy, the percentage of eligible OpEx of the Inditex Group for 2022 has been considered to be approximately 0%.

3. Assessment of compliance with the technical criteria

In accordance with the analysis carried out, the Group considers the following activities to be eligible in 2022 in respect of CapEx:

Taxonomy Activity	Description of the activity	Inditex Group activities
7.2 Renovation of existing buildings	Construction and civil engineering works or preparation of such works	Renovation of store buildings, headquarters and logistics centers when there is the possibility of acting on the building envelope.
7.3. Installation, maintenance and repair of energy efficiency equipment	Individual renovation measures consisting of the installation, maintenance and repair of energy efficiency equipment	Installation, maintenance and repair of energy efficiency equipment at stores, headquarters and logistics centres.
7.7. Acquisition and ownership of buildings -	Buying real estate and exercising ownership of that real estate	Ownership of headquarters and logistics centers as long as there is the possibility of influencing the energy efficiency of the buildings under analysis.

Compliance with the technical criteria of substantial contribution to climate change mitigation

Activities linked to the renovation of buildings in which the action involves the intervention of at least 25% of the building envelope are considered aligned activities. In 2022, only one intervention of this nature has been found.

Compliance with the technical criteria of not causing significant harm (DNSH)

Adaptation to climate change: The Inditex Group has analyzed the potential impacts related to climate change risks, both physical and transition, using five emission trajectories aligned with the socioeconomic forecasts of the Intergovernmental Panel on Climate Change (IPCC's Shared Socioeconomic Pathways - SSPs), and considering short (0-5 years), medium (5-10 years) and long-term (more than 10 years) time horizons. In the case of physical risks, the Group has considered eight sources of risk that are relevant to the Group's business.

After identifying and evaluating the potential impacts derived from the sources of climate risk (among the most relevant are those associated with the interruption of operations at key facilities, damage to physical assets or disruptions in the supply of raw materials), The Inditex Group has defined adaptation measures with the aim of reducing exposure to risks, thus adapting to the consequences of climate change. For more information on climate risk assessment, see section 6.3.4. Climate change: risks and opportunities.

Sustainable use and protection of water and marine resources: The building identified as aligned has been completely renovated, including sanitary facilities such as taps, sinks and toilets that meet the minimum requirements in relation to the maximum flow of water and water discharge established by the Taxonomy.

Transition towards a circular economy: The identified actions comply with the requirements included in the Taxonomy in this context, including the requirement that at least 70% of the non-hazardous construction and demolition waste generated on site is recovered.

Pollution prevention and control: The construction components and materials used in the intervention identified as aligned, conform to the requirements contained in the Taxonomy in this context, including those related to the presence of chemical products or other polluting materials.

Compliance with the minimum social safeguards

To consider any economic activity as aligned, it must be carried out in accordance with OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights. The Inditex Group applies an approach based on the development of due diligence processes in its operations and business decisions, which makes it possible to identify, prevent, mitigate and remedy, if necessary, the impacts on the economy, the environment and people, (including those related to human rights). In this sense, the Group has a Human Rights strategy aligned with the United Nations Guiding Principles on Business and Human Rights, which is based on three pillars for the integration of the promotion and respect for human rights throughout the company. value chain: the Group's Human Rights Policy, due diligence and grievance mechanisms. Likewise, there are also policies and procedures regarding competition, anti-corruption, responsible business, conflicts of interest, and fiscal responsibility. It is worth noting the Code of Conduct and Responsible Practices, whose objective is to ensure a professional, ethical and responsible commitment of the Inditex Group and of all those who are part of it, in the development of their activities, as a basic element of the business culture.

4. Process of calculating the key performance indicators and associated results

The process of calculating the key performance indicators (Turnover, CapEx and OpEx) of eligibility and alignment involves analysing the Group’s consolidated information, excluding intercompany transactions and avoiding double-counting through the processing of accounting information, bearing in mind the adjustments made in the consolidation process, using a single source of information to avoid considering the same item twice, and checking the traceability and accuracy of the information. The Group’s Annual Accounts are used to analyse the turnover and OpEx key performance indicators.

The turnover, CapEx and OpEx key performance indicators represent the proportion of the Group’s turnover, investments in fixed assets and operating expenditure, respectively, that adheres to, whether in the form of eligibility or alignment, the requirements outlined in the Taxonomy. To construct the numerators of the three key performance indicators, the corresponding items identified as eligible or aligned as per the Taxonomy are considered. With regard to the denominators:

/ Turnover: The denominator includes the ordinary revenue in the year. Revenue from Group companies, subsidies or donations, among others, are not taken into account.

/ CapEx: The denominator includes additions to fixed assets, including those derived from business combinations and rights of use. Therefore, the Inditex Group considers all additions to property, plant and equipment, intangible assets and rights of use in accordance with IFRS 16..

/ OpEx*:* The denominator includes the expenses associated with research and development, building renovation measures, short-term leases and maintenance or repairs that ensure the proper functioning of the assets.

The results obtained for each of these key performance indicators are shown below, alongside the respective conclusions.

Results

Turnover

In keeping with the previous sections, no items of turnover have been identified that could be considered eligible as per the current Taxonomy framework. This means that the eligible Turnover results are approximately 0%. Consequently, this indicator has not experienced any changes with regard to the previous financial year, when the reported eligible turnover was 0.01%.

CapEx

The Inditex Group considers to be eligible those actions where there is potential to influence the energy efficiency of the buildings under analysis. As previously stated, this implied updating the criterion used to calculated this indicator in 2021 which led to approximately 95% of the CapEx that was considered to be eligible in 2021 not being considered eligible under this criterion.

Thus, the eligibility value for 2022 (0.65%) would be comparable to 0.4% for the 2021 financial year[72].

Likewise, in line with what was explained above, a 0.3% of elegible and aligned CapEx is recorded in 2022. This CapEx is from the reform of a store in which the building envelope is acted on, optimizing the energy efficiency of the same.

OpEx

In line with the previously exposed above, the OpEx calculation criterion has been updated for this year, with the result that 100% of the OpEx that was considered eligible in 2021 is not eligible with the greater understanding of the taxonomic activities. Consequently, eligible OpEx is observed to be approximately 0% of the Inditex Group's total OpEx in 2022. This figure would be comparable to 0.0% for the 2021 financial year[73]. Therefore, this key performance indicator has not experienced any changes with regard to the previous financial year.

[72] Figure for the restated eligible CapEx in accordance with the changes made to the calculation methodology and applied in 2022. The value reported in the 2021 financial year was 84.39%.

[73] Figure for the restated eligible OpEx in accordance with the changes made to the calculation methodology applied in 2022. The value reported in the 2021 financial year was 46.65%.

Turnover

Economic activities	Code(s)	Absolute turnover	Proportion of turnover	Substantial contribution criteria: Climate change mitigation	Climate change adaptation	Water and marine resources	Circular economy	Pollution	Biodiversity and ecosystems	DNSH Criteria (Does Not Significantly Harm): Climate change mitigation	Climate change adaptation	Water and marine resources	Circular economy	Pollution	Biodiversity and ecosystems	Minimum safeguards	Taxonomy-aligned proportion of turnover, year N[2]	Taxonomy-aligned proportion of turnover, year N-1[2]	Category ("enabling activity")	Category ("transitional activity")
		M€	%	%	%	%	%	%	%	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	%	%	F	T
A. TAXONOMY ELIGIBLE ACTIVITIES																				
A.1. Environmentally sustainable activities (Taxonomy-aligned)																				
Turnover of environmentally sustainable activities (Taxonomy-aligned) (A.1)		0	0%														0%	NA[1]		
A.2 Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities)																				
Turnover of Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		0	0%																	
Total (A.1 + A.2)		**0**	**0%**														**0%**	**NA[1]**		
B. TAXONOMY NON-ELIGIBLE ACTIVITIES																				
Turnover of Taxonomy-non-eligible activities (B)		32,569	100%																	
Total (A + B)		**32,569**	**100%**																	

1. The report of alignment report is mandatory in 2022 for the first time, so no information is provided for 2021.
2. Values in this column represent the percentage of aligned activities over the total for each indicator (A+B).

CapEx

Economic activities	Code(s)	Absolute CAPEX 2022	Proportion of CAPEX	Substantial contribution criteria: Climate change mitigation	Substantial contribution criteria: Climate change adaptation	Substantial contribution criteria: Water and marine resources	Substantial contribution criteria: Circular economy	Substantial contribution criteria: Pollution	Substantial contribution criteria: Biodiversity and ecosystems	DNSH Criteria (Does Not Significantly Harm): Climate change mitigation	DNSH Criteria (Does Not Significantly Harm): Climate change adaptation	DNSH Criteria (Does Not Significantly Harm): Water and marine resources	DNSH Criteria (Does Not Significantly Harm): Circular economy	DNSH Criteria (Does Not Significantly Harm): Pollution	DNSH Criteria (Does Not Significantly Harm): Biodiversity and ecosystems	Minimum safeguards	Taxonomy-aligned proportion of CAPEX, year N[2]	Taxonomy-aligned proportion of CAPEX, year N-1[2]	Category ("enabling activity")	Category ("transitional activity")
		M€	%	%	%	%	%	%	%	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	%	%	F	T
A. TAXONOMY ELIGIBLE ACTIVITIES																				
A.1. Environmentally sustainable activities (Taxonomy-aligned)																				
Renovation of existing buildings	7.2	9.84	0.30%	100%	0%	NA	NA	NA	NA	Y	Y	Y	Y	Y	NA	Y	0.30%	NA[1]		T
CAPEX of environmentally sustainable activities (Taxonomy-aligned) (A.1)		9.84	0.30%														0.30%	NA[1]		
A.2 Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities)																				
Installation, maintenance and repair of energy efficiency equipment	7.3	3.83	0.12%																	
Acquisition and ownership of buildings	7.7	7.52	0.23%																	
CAPEX of Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities)) (A.2)		11.35	0.35%																	
Total (A.1 + A.2)		**21.18**	**0.65%**														0.30%	NA[1]		
B. TAXONOMY NON-ELIGIBLE ACTIVITIES																				
CAPEX of Taxonomy-non-eligible activities (B)		3,257.44	99.35%																	
Total (A + B)		**3,278.62**	**100.0%**																	

1. The report of alignment report is mandatory in 2022 for the first time, so no information is provided for 2021.
2. Values in this column represent the percentage of aligned activities over the total for each indicator (A+B).

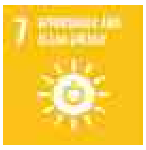
OpEx

Economic activities	Code(s)	Absolute OPEX	Proportion of OPEX	Substantial contribution criteria: Climate change mitigation	Substantial contribution criteria: Climate change adaptation	Substantial contribution criteria: Water and marine resources	Substantial contribution criteria: Circular economy	Substantial contribution criteria: Pollution	Substantial contribution criteria: Biodiversity and ecosystems	DNSH Criteria (Does Not Significantly Harm): Climate change mitigation	DNSH Criteria (Does Not Significantly Harm): Climate change adaptation	DNSH Criteria (Does Not Significantly Harm): Water and marine resources	DNSH Criteria (Does Not Significantly Harm): Circular economy	DNSH Criteria (Does Not Significantly Harm): Pollution	DNSH Criteria (Does Not Significantly Harm): Biodiversity and ecosystems	Minimum safeguards	Taxonomy-aligned proportion of OPEX, year N[2]	Taxonomy-aligned proportion of OPEX, year N-1[2]	Category ("enabling activity")	Category ("transitional activity")
		M€	%	%	%	%	%	%	%	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	Yes/No	%	%	F	T
A. TAXONOMY ELIGIBLE ACTIVITIES																				
A.1. Environmentally sustainable activities (Taxonomy-aligned)																				
OPEX of environmentally sustainable activities (Taxonomy-aligned) (A.1)		0	0%														0%	NA[1]		
A.2 Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities)																				
OPEX of Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities)) (A.2)		0	0%																	
Total (A.1 + A.2)		**0**	**0%**														**0%**	**NA1**		
B. TAXONOMY NON-ELIGIBLE ACTIVITIES																				
OPEX of Taxonomy-non-eligible activities (B)		1,270.58	100%																	
Total (A + B)		**1,270.58**	**100%**																	

1. The report of alignment report is mandatory in 2022 for the first time, so no information is provided for 2021.

2. Values in this column represent the percentage of aligned activities over the total for each indicator (A+B).

7.1.6. Inditex's contribution to the SDGs. Key indicators

SDGS	Targets	Section	Main indicator or related content (2016 GRI version if not stated otherwise)
	1.2	Communities	GRI 203-2
	2.1	Communities	GRI 203-2
	2.4	Communities	GRI 203-2
	3.4	Our people	GRI 403-2 (2018)
	3.4	Suppliers	Supply chain workers benefiting from health and safety programmes
	3.8	Communities	GRI 203-2
	3.9	Our products	Chemical substances included in the Manufacturing Restricted Substances List (MRSL)
	3.9	Environment	GRI 305-1; GRI 305-2; GRI 305-3
	4.4 and 4.5	Our people	GRI 404-1
	4.4 and 4.5	Communities	GRI 203-2
	5.1	Our people	GRI 405-1; GRI 401-3; GRI 405-2
	5.1	Suppliers	Supply chain workers benefiting from gender, diversity and inclusion programmes GRI 406-1
	5.1	Communities	GRI 203-2
	5.1	Good governance, corporate ethics culture and solid compliance architecture	GRI 405-1
	5.2	Suppliers	GRI 414-2
	5.5	Good governance, corporate ethics culture and solid compliance architecture	GRI 2-9 (2021)
	6.4	Suppliers	Number of environmental audits carried out and the resulting Corrective Action Plans
	6.4	Environment	GRI 303-3 (2018)
	6.4	Communities	GRI 203-2
	7.2	Environment	GRI 302-1
	7.2	Communities	GRI 203-2
	7.3	Environment	GRI 302-4

	8.5	Our people	GRI 2-7 (2021); GRI 405-2
	8.5	Suppliers	Workers involved in the Workers at the Centre 2019-2022 programmes
	8.5	Communities	GRI 203-2
	8.5	Good governance, corporate ethics culture and solid compliance architecture	Policies formalizing Inditex's commitment to decent work
	8.6	Our people	GRI 401-1
	8.6	Communities	GRI 203-2
	8.7	Suppliers	GRI 408-1; GRI 409-1
	8.8	Our people	GRI 2-30 (2021)
	8.8	Suppliers	Actions taken for the protection of workers in the supply chain within the framework Workers at the Centre 2019-2022 GRI 407-1
	8.8	Communities	GRI 203-2
	9.2	Tax responsibility and transparency	GRI 201-1
	9.4	Our products	Initiatives developed by the Sustainability Innovation Hub
	9.4	Environment	LEED and BREEAM certifications in own distribution centres, headquarters and stores
	9.4	Communities	GRI 203-1
	9.5	Responsible risk management	Technology-related information security initiatives
	10.2	Communities	GRI 203-2
	10.3	Our people	GRI 405-2
	10.7	Suppliers	Workers benefiting from protection of migrants and refugees programmes
	11.1	Communities	GRI 203-1
	12.2	Our products	GRI 301-1; GRI 301-2
	12.2	Environment	GRI 302-2
	12.2	Suppliers	Identification of suppliers and manufacturers
	12.2	Communities	GRI 203-2
	12.4	Our products	GRI 301-2
	12.4	Environment	GRI 306-1 (2020)
	12.5	Environment	GRI 306-3 (2020); GRI 306-4 (2020)
	12.8	Our customers	Number of enquiries received by the various customer service channels
	13.1	Environment	GRI 305-5; GRI 302-1
	13.1	Suppliers	GRI 308-1
	13.1	Communities	GRI 203-2
	13.1	Responsible risk management	GRI 201-2
	14.1	Our products	Actions within the framework of the commitment to Zero Discharge of Hazardous Chemicals
	14.3	Environment	GRI 305-1
	14.3	Communities	GRI 203-2

	15.1	Our products	Projects with recycled raw materials with less impacts
	15.1	Environment	GRI 304-2
	15.2	Communities	GRI 203-2
	16.3	Communities	GRI 203-2
	16.3	Good governance, corporate ethics culture and solid compliance architecture	Grievance mechanisms
	16.5	Good governance, corporate ethics culture and solid compliance architecture	GRI 205-1
	16.7	Our shareholders	Requests attended by the Individual Shareholders' Department
	16.7	Good governance, corporate ethics culture and solid compliance architecture	GRI 2-10 (2021)
	17.3	Communities	GRI 203-2
	17.16	Our people	Cooperation relationship with international entities
	17.16	Our products	Cooperation relationship with international entities
	17.16	Environment	Cooperation relationship with international entities
	17.16	Suppliers	Cooperation relationship with international entities
	17.16	Communities	GRI 203-2
	17.16	Good governance, corporate ethics culture and solid compliance architecture	Cooperation relationship with international entities
	17.17	Suppliers	Public-private partnerships
	17.17	Communities	GRI 203-2

KEY:

Indicators selected by Inditex based on the guidelines in: Business Reporting on the SDGs: An Analysis of Goals and Targets.

Indicators established by Inditex that correspond to disclosures present in the GRI standards.

Internal indicators established by Inditex.

7.2. Reporting principles

7.2.1. How we report

GRI 2-5

This **2022 Integrated Management Report** shows the information concerning Inditex's performance in the 2022 financial year (from 1 February 2022 to 31 January 2023). In it, we aim to provide all our stakeholders with truthful, relevant and accurate information on our accountability for the year 2022, as well as showcasing our objectives, progress and initiatives in the year.

The information included in this Report is both financial and non-financial. It therefore includes the Group's Consolidated Annual Accounts, followed by the Integrated Management Report, also comprising this Statement on Non-Financial Information (SNFI).

The Statement on Non-Financial Information has been prepared by the Board of Directors of Inditex, following a favourable report from the Audit and Compliance Committee and the Sustainability Committee, both responsible for supervising the information included therein. The SNFI has also been favourably evaluated by the Inditex Social Advisory Board (the Group's advisory and consultative body in matters of sustainability and made up of external and independent people). Subsequently, it will be submitted to the Group's Annual General Meeting for examination and, where appropriate, approval, as a separate item on the agenda.

Act 11/2018 of 28 December, which entered into force in 2018, amends the Code of Commerce, the revised text of the Spanish Companies Act approved by Royal Legislative Decree 1/2010, of 2 July and Law 22/2015, of 20 July on Statutory Audit, as regards non-financial information and diversity (hereinafter, Act 11/2018), which supersedes Royal Decree Law 18/2017, of 24 November which transposed Directive 2014/95/EU of the European Parliament and of the Council, regarding disclosure of non-financial information and information on diversity into the Spanish legal system.

Through the Statement on Non-Financial Information, we fulfil the legislative requirements pursuant to Act 11/2018 on non-financial reporting and diversity, as well as the European Union Taxonomy Regulation (Regulation (EU) 2020/852 of the European Parliament and of the Council on the establishment of a framework to facilitate sustainable investment), and amending Regulation (EU) 2019/2088.

Said Act 11/2018 establishes that certain undertakings, including Inditex, are obliged to prepare a Statement on Non-Financial Information' which must be included in the Directors' Report or in a separate report corresponding to the same financial year. The SNFI must include, among other matters, the necessary information to understand the performance, results and situation of the Group and the impact of its activities in respect of environmental and social issues, respect for human rights and the fight against corruption and bribery, as well as matters regarding the workforce. It must also include, if applicable, such measures taken by the company to promote equal treatment and equal opportunities between women and men, non-discrimination and inclusion of people with disabilities and universal accessibility.

Moreover, Article 8 of the EU Taxonomy Regulation (Regulation (EU) 2020/852) establishes that certain undertakings, including Inditex, are obliged to provide information on how and to what extent the undertaking's activities are associated with economic activities that qualify as environmentally sustainable, and the proportion of their turnover, investments in fixed assets and operating expenditure associated with these environmentally sustainable activities. This year, as part of the Regulation, the Group will report information not only on eligibility but also on alignment.

The scope of the reported information includes all the companies over which Inditex has control or joint control (listed in Annex I of the Consolidated Annual Accounts, in which any variations in comparison with those of 2021 are specified). Relevant information is also provided on the Company's supply chain, made up of independent suppliers and manufacturers not owned by the Inditex Group.

In addition to responding to those legislative requirements that apply to the Company, we also follow the guidelines of the main reporting initiatives and entities:

/ The principles of the International Integrated Reporting Framework.

/ GRI Universal Standards 2021.

/ The principles of the United Nations Global Compact.

/ AA1000 APS (2018) ACCOUNTABILITY Standard Principles.

/ Principles of the Sustainability Accounting Standards Board (SASB) framework.

/ Recommendations of the Task Force on Climate-Related Financial Disclosures (TCFD).

/ Guide entitled Business Reporting on the SDGs: An Analysis of Goals and Targets, compiled by the Action Platform for Reporting on the Sustainable Development Goals.

/ Recommendations of the European Securities and Markets Authority (ESMA): European common enforcement priorities for annual financial reports.

/ Recommendations included in the European Commission Communication 2017/C215/01 – Guidelines on non-financial reporting, and in EU Supplement 2019/C209/01 on reporting climate-related information.

Voluntary reporting frameworks, principles and standards

The Inditex Group's 2022 Integrated Annual Report follows the criteria set forth in the **Integrated Reporting Framework;** compiled by the International Integrated Reporting Council (IIRC), which this year joined the International Financial Reporting Standards Foundation (IFRS Foundation). Inditex is a member of the IIRC Business Network, and has followed its principles since the initiative began, having taken part in the IIRC's pilot edition in 2011.

The principles under which this Integrated Report has been prepared include the use of the Global Reporting Initiative (GRI) Standards or GRI Standards, in their most up-to-date version: **GRI Universal Standards 2021**. This international framework is cited in article 49.6.e) of the Commercial Code introduced by the aforementioned Act 11/2018.

We have followed the GRI standards since 2007 and are members of the GRI Community, a community of companies from different sectors that collaborate, demonstrate leadership in reporting and share knowledge and best practices.

GRI | COMMUNITY MEMBER 2023

In determining the contents to be included in the Statement on Non-Financial Information, and how to report on them, the Company has followed the indications provided in GRI 1: Foundation 2021, which establishes the following key concepts:

Impact	**Material topics**
Inditex addresses the effect that it has or may potentially have, as a consequence of its activities and/ or business relations, on the economy, the environment and people (including the impact on human rights).	Inditex's reporting covers those issues and indicators that reflect the Organisation's most significant social, environmental and economic impacts or those that substantively influence the valuations and decisions of its stakeholders.
Due Diligence	**Stakeholder groups**
Inditex applies to its operations and business decisions an approach based on the development of due diligence processes, which enables the Group to identify, prevent, mitigate and justify the way in which we manage the impacts on the economy, the environment and people (including those that affect human rights).	Inditex identifies its stakeholders and systematically engages with them so as to respond to their expectations and interests.

In application of the materiality topics, this Report addresses the issues which reflect Inditex's impact on the economy, environment and people (including impact on human rights) and which may substantially affect the assessments and decision-making of its stakeholders. These issues are identified and assessed by means of a materiality exercise involving the main stakeholder groups. We also apply a dual materiality approach, including an assessment of how these issues may impact our Company.

ⓘ More information in section 4.2.2. Materiality analysis of this Report.

To facilitate navigation and as a reference for readers, we include a GRI Content Index in this Report.

Accordingly, Inditex has prepared the report in accordance with the GRI Standards for the period from 1 February 2022 to 31 January 2023.

We also adhere to the **principles of the United Nations Global Compact,** of which we have been members since 2001. Thus, this Report also serves as a Communication on Progress, with the GRI Content Index showing the different parts of the document that are related to each of the Global Compact Principles.

COMMUNICATION ON PROGRESS

This is our **Communication on Progress** in implementing the Ten Principles of the **United Nations Global Compact** and supporting broader UN goals.

We welcome feedback on its contents.

Furthermore, we have also used the **Sustainability Accounting Standard Board (SASB)** reporting framework as a reference in preparing this Report, although this year it is a part of the International Financial Reporting Standards Foundation (IFRS Foundation) and it is supervised by the International Sustainability Standards Board (ISSB). Specifically, the guidelines of the Apparel, Accessories and Footwear sector standard have been followed and an SASB reference table listing the disclosures and metrics pertaining to this standard has been included.

ⓘ More information in section 7.2.5. SASB reference table of this Report.

For the third consecutive year, we report detailed information on climate change risks and opportunities, as recommended by the Task Force on Climate Related Financial Disclosures (TCFD). Details of this information are available in this Report under a specific chapter, the structure of which corresponds to the four blocks described by TCFD: Governance, Strategy, Risk Management, Metrics and Goals.

ⓘ More information in section *6.3.4. Climate change: risks and opportunities* of this Report.

In addition, for the sixth consecutive year we have used the guide entitled **Business Reporting on the SDGs: An Analysis of Goals and Targets**, developed by the Action Platform for Reporting on the Sustainable Development Goals, organised jointly by the United Nations Global Compact and the Global Reporting Initiative (GRI), to which Inditex has belonged since its inception and which came to an end in 2020. Accordingly, accurate information is provided on our contribution to the United Nations Sustainable Development Goals (SDGs). This year, and since 2021, Inditex has been part of the Business Leadership Forum organised by GRI to catalyse the power of corporate reporting on the SDGs in order to drive action towards achieving these goals.

ⓘ More information in section *7.1.6. Inditex's contribution to the SDGs. Key indicators,* of this Report.

Lastly, as an important aspect in the preparation of integrated reports, we have considered the recommendations of the **European Securities and Markets Authority (ESMA), published in its report European common enforcement priorities for 2022 annual financial reports**. This year they have referred mainly to the dissemination of climate information, EU Taxonomy and aspects relating to the scope and quality of the information reported. Information on the above is provided throughout this Integrated Report. Moreover, It has also been prepared with reference to the Recommendations included in the European Commission Communication 2017/C215/01 – Guidelines on non-financial reporting, and in EU Supplement 2019/C209/01 on reporting climate-related information.

Non-Financial information control system

In order to ensure that the information included in the SNFI is truthful and accurate, and that it meets our stakeholders' expectations also with regard to their reliability and robustness, at Inditex we have implemented an Internal Control System of Non-Financial Reporting (ICNFR). The objective of this system is to provide reasonable assurance on the reliability of the information included in our SNFI. Therefore, the ICNFR mainly comprises the control activities on the information gathering processes and the activities of supervision of the main indicators included in the SNFI (the scope of which is defined annually taking into account qualitative and quantitative criteria, as well as the results of the materiality analysis).

The Group's ICNFR has been developed in line with the international reference standard on internal control COSO (Committee of Sponsoring of the Treadway Comission). It was implemented for the first time within the framework of the preparation of the SNFI 2020 and in an exercise of continuous improvement it has been enriched and provided with more exhaustive controls year after year, a process that will continue to be developed in future years.

External assurance

The information disclosed in the Statement on Non-Financial Information has been subject to the independent verification of Ernst & Young. The scope and results of this independent verification are described in the Verification Report attached hereto. This report has been reviewed in accordance with the revised International Standard on Assurance Engagements (ISAE) 3000, Assurance Engagements Other than Audits or Review of Historical Financial Information, and with Guideline no. 47 on attestation engagements of the Statement on Non-Financial Information issued by the Instituto de Censores Jurados de Cuentas [Institute of Certified Public Accountants] of Spain. Based on these two standards, in addition to the review carried out of the contents required by Act 11/2018, a selection of 42 disclosures from the GRI Standards have been reviewed. These disclosures were selected based on the materiality analysis performed by Inditex annually with its stakeholders. These disclosures are listed in the GRI index alongside the symbol: ☑

The outcome of the verification corroborates that the declared GRI Standards application option is appropriate.

7.2.2. Balance of material topics

GRI 2-4; 3-2; 3-3

Material topic	GRI standards	Content	Coverage[1]	Involvement[2]
1. Ethical behaviour and governance	GRI 3: Material topics 2021 GRI 205: Anti-corruption 2016 GRI 206: Anti-competitive behaviour 2016 GRI 405: Diversity and Equal Opportunity 2016 GRI 415: Public Policy 2016	3-3 205-1 to 205-3 206-1 405-1 415-1		
2. Risk management and control systems	GRI 3: Material topics 2021 GRI 418: Customer privacy 2016	3-3 418-1		
3. Stakeholder engagement	GRI 3: Material topics 2021	3-3		
4. Responsible communication	GRI 3: Material topics 2021 GRI 417: Marketing and labelling 2016	3-3 417-1 to 417-3		
5. Value chain transparency and traceability	GRI 3: Material topics 2021	3-3		
6. Responsible purchasing practices	GRI 3: Material topics 2021	3-3		
7. Value creation	GRI 3: Material topics 2021 GRI 201: Economic performance 2016 GRI 203: Indirect economic impacts 2016 GRI 207: Tax 2019 GRI 413: Local communities 2016	3-3 201-1 to 201-4 203-1 to 203-2 207-1 to 207-4 413-1 to 413-2		
8. Innovation	GRI 3: Material topics 2021	3-3		
9. Quality of employment	GRI 3: Material topics 2021 GRI 401: Employment 2016 GRI 402: Labour/Management relations 2016 GRI 403: Occupational health and safety 2018 GRI 405: Diversity and Equal Opportunity 2016 GRI 406: Non-discrimination 2016 GRI 407: Freedom of association and collective bargaining 2016	3-3 401-1 to 401-3 402-1 403-1 to 403-10 405-1 to 405-2 406-1 407-1		
10. Human Rights	GRI 3: Material topics 2021 GRI 405: Diversity and Equal Opportunity 2016 GRI 406: Non-discrimination 2016 GRI 408: Child labour 2016 GRI 409: Forced or compulsory labour 2016 GRI 414: Supplier social assessment 2016	3-3 405-1 to 405-2 406-1 408-1 409-1 414-1 to 414-2		
11. Safe and healthy environments	GRI 3: Material topics 2021 GRI 403: Occupational health and safety 2018	3-3 403-1 to 403-10		
12. Talent management	GRI 3: Material topics 2021 GRI 401: Employment 2016 GRI 404: Training and education 2016	3-3 401-1 to 401-3 404-1 to 404-3		

Material topic	GRI standards	Content	Coverage[1]	Involvement[2]
13. Socially sustainable production environments	GRI 3: Material topics 2021 GRI 407: Freedom of association and collective bargaining 2016 GRI 408: Child labour 2016 GRI 409: Forced or compulsory labour 2016 GRI 414: Supplier social assessment 2016	3-3 407-1 408-1 409-1 414-1 to 414-2		
14. Climate change	GRI 3: Material topics 2021 GRI 302: Energy 2016 GRI 305: Emissions 2016	3-3 302-1 to 302-5 305-1 to 305-7		
15. Environmental footprint minimisation	GRI 3: Material topics 2021 GRI 303: Water and effluents 2018 GRI 306: Waste 2020 GRI 308: Supplier environmental assessment 2016	3-3 303-1 to 303-5 306-1 to 306-5 308-1 to 308-2		
16. Protection of natural resources	GRI 3: Material topics 2021 GRI 304: Biodiversity 2016	3-3 304-1 to 304-4		
17. Product sustainability	GRI 3: Material topics 2021 GRI 301: Materials 2016 GRI 416: Customer health and safety 2016	3-3 301-1 to 301-3 416-1 to 416-2		
18. Circularity	GRI 3: Material topics 2021 GRI 301: Materials 2016 GRI 306: Waste 2020	3-3 301-1 to 301-3 306-1 to 306-5		

1. Indicates where the impact is effected, inside or outside of the organisation, or both.
2. Indicates the organisation's involvement with respect to the impact.
Direct: The organisation is directly linked to the impact.
Indirect: The organisation is linked to the impact through its business relations.

Inside the organisation | Outside the organisation | Inside and outside the organisation | Direct | Indirect

7.2.3. Index of the contents required by Act 11/2018

Index of the contents required by Act 11/2018[74]

Information requested by Act 11/2018	Materiality	SNFI page where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
General information			
A brief description of the business model that includes its business environment, its organisation and structure	Material	113-114, 119-122, 125-128	GRI 2-6 (2021)
Markets in which it operates	Material	111, 125-128	GRI 2-1 (2021) GRI 2-6 (2021)
Organisation's objectives and strategies	Material	105, 107-108, 125-130, 132-133, 186, 221-224, 266-269	GRI 2-22 (2021)
Main factors and trends that may affect its future development	Material	105, 107-108, 125-131, 173-174, 180, 291-292	GRI 3-3 (2021) GRI 2-22 (2021)
Reporting framework used	Material	343-345	GRI 1 (2021)
Materiality principle	Material	142-144	GRI 3-1 (2021) GRI 3-2 (2021)
Environmental issues			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	125-133, 185-190, 193-194, 197, 210	GRI 3-3 (2021)
Detailed general information			
Detailed information on the current and foreseeable effects of the company's activities on the environment and, where applicable, health and safety	Material	201-203, 206, 209	GRI 3-3 (2021)
Environmental assessment or certification procedures	Material	187-189, 201-206	GRI 3-3 (2021)
Resources dedicated to the prevention of environmental risks	Material	204-206	GRI 3-3 (2021)
Application of the principle of precaution	Material	197-203, 210	GRI 2-23 (2021) and GRI 3-3 (2021), with regard to the application of the principle of precaution
Amount of provisions and guarantees for environmental risks	Material	197-203, 210	GRI 3-3 (2021)
Pollution			
Measures to prevent, mitigate or repair emissions which severely affect the environment; taking into account any form of atmospheric pollution specific to an activity	Material	197-200, 204-206	GRI 3-3 (2021) GRI 305-7
Including noise and light pollution	Non-material	142-144	Not applicable
Circular economy and waste prevention and management			
Prevention, recycling and reuse measures, and other forms of recovery and disposal of waste	Material	125, 186, 193-194, 202-203	GRI 3-3 (2021) GRI 301-3 with regard to recovered packaging products for reuse and recycling GRI 306-1 to 306-2 (2020) GRI 306-3 with regard to waste generated at the headquarters, logistics centres and own factories GRI 306-4 to 306-5 (2020)
Actions to fight against food waste	Non-material	142-144	Not applicable

[74] In addition to the selected GRI Standards disclosures, disclosures linked to the Draft of the Apparel and Footwear sectoral supplement of the Global Reporting Initiative's G4 Guide (AF) are also indicated in the index.

Information requested by Act 11/2018	Materiality	SNFI page where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
Sustainable use of resources			
Water consumption and water supply according to local limitations	Material	207	GRI 303-1 to 303-3 (2018) GRI 303-5 (2018) with regard to total water consumption from own sources
Consumption of raw materials and measures taken to improve the efficiency of their use	Material	187-193	GRI 301-1 to 301-3 AF18, AF20
Direct and indirect energy consumption	Material	202-203	GRI 302-1 GRI 302-3
Measures taken to improve energy efficiency	Material	129, 131-133, 201-206	GRI 3-3 (2021) GRI 201-2
Use of renewable energies	Material	129, 199, 203-206	GRI 302-1 AF21
Climate change			
Greenhouse gas emissions generated as a result of the company's activities, including the use of the goods and services it produces	Material	199, 202, 326-328	GRI 305-1 GRI 305-2 GRI 305-3 GRI 305-4
Measures taken to adapt to the consequences of climate change	Material	131-133, 197-206, 267-269	GRI 3-3 (2021) GRI 201-2
Voluntary reduction targets set for the medium and long term to reduce greenhouse gas emissions and the means implemented for this purpose	Material	200-206, 326-328	GRI 3-3 (2021) GRI 305-5
Biodiversity protection			
Measures taken to preserve or restore biodiversity	Material	192, 197-198, 209-211	GRI 3-3 (2021) GRI 304-3 with regard to measures taken to preserve biodiversity
Impacts caused by the activities or operations in protected areas	Material	194, 202, 209-211	GRI 3-3 (2021) GRI 304-1 GRI 304-2
Social issues concerning staff			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	147-180	GRI 3-3 (2021)
Employment			
Total number and distribution of employees by country, gender, age and occupational classification	Material	147-152	GRI 2-7 (2021), regarding employees by labor contract and type, by gender GRI 405-1
Total number and distribution of employment contract modalities and annual average of permanent contracts, temporary contracts and part-time contracts by gender, age and occupational classification	Material	167-168, 262-264	GRI 2-7 (2021), regarding employees by labor contract and type, by gender
Number of dismissals by gender, age and occupational classification	Material	168	GRI 3-3 (2021) GRI 401-1
Average salaries and their evolution broken down by gender, age and occupational classification or equal value	Material	172-173, 265	GRI 3-3 (2021)
Wage gap, equal or average remuneration of jobs in society	Material	171-172	GRI 3-3 (2021) GRI 405-2 with regard to the remuneration of women compared to men by gender, age and occupational classification
Average remuneration of directors and officers, including variable remuneration, allowances, indemnities, payment to long-term savings pension schemes and any other payment broken down by gender	Material	265	GRI 3-3 (2021)
Implementation of policies to disconnect from work	Material	159	GRI 3-3 (2021)
Number of employees with disabilities	Material	154	GRI 3-3 (2021) GRI 405-1

Information requested by Act 11/2018	Materiality	SNFI page where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
Organisation of work			
Organisation of working hours	Material	169-171	GRI 3-3 (2021)
Number of hours of absenteeism	Material	177	GRI 3-3 (2021) GRI 403-9 with regard to absenteeism hours
Measures designed to facilitate the enjoyment of amicable settlement and to promote the corresponding exercise of these by both parents	Material	158-159	GRI 3-3 (2021) GRI 401-3 with regard to information relating to Inditex Spain
Health and safety			
Occupational health and safety conditions	Material	173-175, 177-180, 230-231	GRI 3-3 (2021) GRI 403-1 to 403-8 (2018)
Work-related accidents, in particular their frequency and severity, as well as occupational diseases; broken down by gender	Material	175-177	GRI 403-9 (2018) with regard to occupational accident injuries GRI 403-10 (2018) with regard to work-related ill health
Labour Relations			
Organisation of social dialogue including procedures for informing, consulting and negotiating with staff	Material	169-171	GRI 3-3 (2021)
Mechanisms and procedures the company has to promote the involvement of workers in the management of the company, in terms of information, consultation and participation	Material	170-171	GRI 3-3 (2021)
Percentage of employees covered by a collective bargaining agreement by country	Material	169	GRI 2-30 (2021)
Assessment of collective bargaining agreements, particularly in the field of health and safety at work	Material	169-171	GRI 3-3 (2021) GRI 403-4 (2018)
Training			
Policies implemented in the field of training	Material	160-161	GRI 404-2
Total number of training hours by occupational category	Material	162	GRI 3-3 (2021) GRI 404-1
Universal accessibility			
Universal accessibility for people with disabilities	Material	154-156	GRI 3-3 (2021)
Equality			
Measures taken to promote equal treatment and equal opportunities between women and men	Material	150-153, 228-229	GRI 3-3 (2021)
Equality plans, measures taken to promote employment, protocols against sexual and gender-based harassment	Material	150-158	GRI 3-3 (2021)
Policy against all types of discrimination and, where applicable, diversity management	Material	150-158	GRI 3-3 (2021)
Respect for human rights			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	134-142, 221-236, 274-280	GRI 3-3 (2021)
Application of due diligence procedures			
Application of due diligence procedures in the field of human rights and prevention of the risks of human rights violations and, where applicable, measures to mitigate, manage and repair potential abuses committed	Material	134-142, 222-224, 230-231, 235-236	GRI 2-23 (2021) GRI 2-24 (2021) GRI 2-26 (2021) AF16
Allegations of cases of human rights violations	Material	364	GRI 3-3 (2021) GRI 406-1 AF12, AF13, AF14, AF16

Information requested by Act 11/2018	Materiality	SNFI page where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
Measures implemented to promote and comply with the provisions of the ILO fundamental conventions relating to respect for freedom of association and the right to collective bargaining; eliminating discrimination in employment and occupation; the elimination of forced or compulsory labour; the effective abolition of child labour	Material	135-142, 169-171, 224-229, 232-236, 270, 362, 364	GRI 3-3 (2021) GRI 407-1 GRI 408-1 GRI 409-1
Fight against corruption and bribery			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	270-280	GRI 3-3 (2021)
Measures adopted to prevent corruption and bribery	Material	270-280	GRI 3-3 (2021) GRI 2-23 (2021) GRI 2-24 (2021) GRI 2-26 (2021) GRI 205-1 to 205-3
Measures to combat money laundering	Material	270-280	GRI 3-3 (2021) GRI 2-23 (2021) GRI 2-24 (2021) GRI 2-26 (2021) GRI 205-1 to 205-3
Contributions to foundations and non-profit entities	Material	140-142, 240-245, 359	GRI 2-28 (2021) GRI 201-1 with regard to community investment GRI 415-1
Information on the company			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	125-129, 130, 140, 182-184, 216-219, 221-256	GRI 3-3 (2021)
Company commitments to sustainable development			
The impact of the company's activity on employment and local development	Material	237-256	GRI 3-3 (2021) GRI 203-2
The impact of the company's activity on local populations and on the territory	Material	221-256	GRI 3-3 (2021) GRI 413-1 GRI 413-2
Relations maintained with local community actors and the modalities of dialogue with them	Material	137-141, 221-256	GRI 2-29 (2021) GRI 413-1
Partnership or sponsorship actions	Material	140-141, 221-256, 329-331	GRI 3-3 (2021) GRI 201-1 with regard to community investment
Subcontracting and suppliers			
Inclusion of social, gender equality and environmental matters in the procurement policy	Material	135, 215-220, 227	GRI 3-3 (2021) GRI 308-1 GRI 414-1 AF6, AF7
Consideration of its social and environmental responsibility in relations with suppliers and subcontractors	Material	187-189, 215-220, 233	GRI 2-6 (2021) GRI 308-1 GRI 414-1
Monitoring and audit systems and their results	Material	217-220, 321-324	GRI 2-6 (2021) GRI 308-2 GRI 414-2 AF2, AF3, AF8, AF12, AF13, AF14, AF16
Consumers			
Measures for consumer health and safety	Material	184, 190-192	GRI 3-3 (2021) GRI 416-1
Claims systems, complaints received and their resolution	Material	183-184	GRI 3-3 (2021) GRI 418-1
Tax information			
The benefits obtained country by country	Material	282	GRI 3-3 (2021) GRI 207-4 (2019)
Tax on profits paid	Material	283-286	GRI 3-3 (2021) GRI 207-4 (2019)

Information requested by Act 11/2018	Materiality	SNFI page where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
Public subsidies received	Material	284	GRI 201-4
Regulation EU (2020/852) - Taxonomy			
Requirements of the Regulation	Material	332-338	Inditex's own methodology developed based on the article 8 of the European Taxonomy

7.2.4. SASB reference table

Topic	Accounting Metric	Code	Disclosure
Management of Chemicals in Products	Discussion of processes to maintain compliance with restricted substances regulations	CG-AA-250a.1	Pages 187-192, 214, 219, 224, 325-326
	Discussion of processes to assess and manage risks and/or hazards associated with chemicals in products	CG-AA-250a.2	Pages 187-192, 214, 219, 224, 325-326
Environmental Impacts in the Supply Chain	Percentage of (1) tier 1 supplier facilities and (2) supplier facilities beyond tier 1 in compliance with wastewater discharge permits and/ or contractual agreement	CG-AA-430a.1	In 2022, 99% of the suppliers and 97% of the factories under the scope of our Green to Wear environmental standard had authorization for all their hydric resources; 99% of suppliers and 98% of the factories had wastewater discharge permits and in 95% of suppliers and 92% of factories the direct or indirect discharge complies with the legal limits or the limits agreed with the External Effluent Treatment Plant. On the other hand, 75% of the suppliers and 82% of the factories under the scope of our Green to Wear environmental standard, meet the Foundational level of ZDHC in its direct discharges. Also, in line with our commitment to ZDHC, 84% of suppliers and 67% of factories comply with ZDHC limits applicable to the substances included in ZDHC Wastewater Guidelines v.1.1 in its direct and indirect discharges. As a consequence of the environmental audits, Corrective Action Plans are carried out in those cases in which it is necessary. During these plans, Inditex teams support suppliers and/or factories to correct the non-compliances detected, in accordance with the Company's philosophy of continuous improvement of the supply chain.
	Percentage of (1) tier 1 supplier facilities and (2) supplier facilities beyond tier 1 that have completed the Sustainable Apparel Coalition's Higg Facility Environmental Module (Higg FEM) assessment or an equivalent environmental data assessment	CG-AA-430a.2	All of our suppliers and manufacturers are audited against our Code of Conduct for Manufacturers and Suppliers, which includes a section on environmental compliance. Specifically, 94% of the suppliers and 88% of the factories active in 2022 which carried out any wet process, and that therefore are under the scope of our Green to Wear standard, have been environmentally audited. These facilities process a large majority of the products that include any of these wet processes. More information on pages 115-116, 215, 220-224, 322-324

Topic	Accounting Metric	Code	Disclosure
Labor Conditions in the Supply Chain	Percentage of (1) tier 1 supplier facilities and (2) supplier facilities beyond tier 1 that have been audited to a labor code of conduct, (3) percentage of total audits conducted by a third-party auditor	CG-AA-430b.1	All our suppliers and manufacturers are audited against our Code of Conduct for Manufacturers and Suppliers. This verification is carried out initially through a pre-assessment audit - carried out to all companies before they can become part of our supply chain - and subsequently periodically through social audits. Specifically, 65% of the suppliers and 56% of the factories active in the year 2022 were audited either through a pre-assessment or social audit during this same period. To contextualise this data, it is necessary to take into account that the periodicity of the social audits varies depending on the ranking obtained in the previous audit. In this sense, the interval between audits of suppliers or manufacturers with A or B rankings will be longer than in those with a C or D ranking. In fiscal year 2022, 96% of suppliers were ranked A o B. In 2022, 2,075 pre-assessment audits were carried out (98% carried out by external auditors), and 5,955 social audits (95% carried out by external auditors). Regardless of whether the audits are performed by internal or external auditors, the methodology used is Inditex's own audit methodology. More information on pages 115-116, 215, 220-224, 322-324
	Priority non-conformance rate and associated corrective action rate for suppliers' labor code of conduct audits	CG-AA-430b.2	Pages 215-218, 322-324
	Description of the greatest (1) labor and (2) environmental, health, and safety risks in the supply chain	CG-AA-430b.3	Pages 222-236, 291-298
Raw Materials Sourcing	(1) List of priority raw materials; for each priority raw material: (2) environmental and/or social factor(s) most likely to threaten sourcing, (3) discussion on business risks and/or opportunities associated with environmental and/or social factors, and (4) management strategy for addressing business risks and opportunities	CG-AA-440a.3	Pages 187-191, 206-209, 210, 215-216, 232-236, 291, 298, 305-309
	(1) Amount of priority raw materials purchased, by material, and (2) amount of each priority raw material that is certified to a third-party environmental and/or social standard, by standard	CG-AA-440a.4	Pages 187-189, 215-216
Activity Metrics	Number of (1) tier 1 suppliers and (2) suppliers beyond tier 1	CG-AA-000.A	In 2022, Inditex's supply chain comprised 1,729 suppliers - equivalent to tier 1 and defined as direct suppliers with which Inditex maintains a commercial relationship - which, in turn, used 8,271 factories for the Group's productions - equivalent to suppliers beyond tier 1. Fashion item suppliers with production of over 20,000 units in the spring/summer and autumn/winter 2022 campaigns are included. Suppliers with lower productions account for 0.22% of total production. Factories declared by suppliers in the product traceability systems for the orders of the spring/summer and autumn/winter 2022 campaigns are included.

7.2.5. GRI Content Index

Statement of use	INDITEX has reported in accordance with the GRI Standards for the period 01/02/2022 to 31/01/2023
GRI 1 used	GRI 1: Foundation 2021
Applicable GRI Sector Standards	Not applicable

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
General Disclosures					
GRI 2: General Disclosures 2021					
	The Organization and its reporting practices				
	2-1 Organizational details	125, 195 Industria de Diseño Textil, S.A. For further information about the nature and legal form of the Company, refer to the 2022 Annual Corporate Governance Report available at the corporate web page of Inditex, Compliance section, Good Corporate Governance heading. As for the location of the Company's headquarters, it is as follows: Avenida de la Diputación s/n Edificio Inditex, Arteixo, A Coruña, Spain. Information about the location of the operations is available at the Appendix I of the Annual Accounts: “Composition of the Inditex Group” available at the corporate web page of Inditex, Investors section, Financial Information heading.			
	2-2 Entities included in the organization’s sustainability reporting	For further information about the entities included in the consolidated financial statements, refer to the Appendix I of the Annual Accounts: available at the corporate web page of Inditex, Investors section, Financial Information heading.			
	2-3 Reporting period, frequency and contact point	The Annual Report provides an account of Inditex Group’s economic, social and environmental performance during financial year 2022, which runs from 1 February 2022 to 31 January 2023. It is a report which is published annually, and its date of publication for this fiscal year is 15/03/2023. Contact Details Shareholders Office accionistas@inditex.com Tel.: +34 901 33 02 12 Fax: +34 981 18 53 65 Investors Relations ir@inditex.com Tel.: +34 981 18 53 64 Fax: +34 981 18 53 65 Communication and Corporate Affairs press@inditex.com Tel.: +34 981 18 54 00 Inditex S.A. Edificio Inditex Avda. de la Diputación, s/n 15143 Arteixo, A Coruña, Spain +34 981 18 54 00 www.inditex.com			

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
	2-4 Restatements of information	113, 115-116, 142-144, 167-168, 214, 346-347 In respect of information presented for a different time horizon or covering a different entity than in previous reporting periods, the nuances of such changes are disclosed alongside the indicator in question.			
	2-5 External assurance	97-100, 345			
	Activities and workers				
	2-6 Activities, value chain and other business relationships	119-122, 125-128, 135-141, 214-215		√ Pg. 97-100	
	2-7 Employees	115-116, 147-152, 167-169 The employee breakdown by type of contract permanent/temporary) by region is: the Americas, 94% permanent (6% temporary); Spain, 87% permanent (13% temporary); Europe excl. Spain, 78% permanent (22% temporary); and Asia and rest of the world 66% permanent (34% temporary). The employee breakdown by type of working day (full/part-time) by gender is: for women, 38% full-time (62% part-time), and for men, 49% full-time (51% part-time). By region is: the Americas, 28% full-time (72% part-time; Spain, 52% full-time (48% part-time); Europe excl. Spain, 35% full-time (65% part-time); and Asia and rest of the world, 61% full-time (39% part-time). The employees with no guaranteed hours represent the 1.2% of the total workforce (1.2% women, 1% men), and the 2% of the part-time employees (1.9% women, 2% men). This group is concentrated in markets in Asia and rest of the world.		√ Pg. 97-100	Principle 6
	2-8 Workers who are not employees		Information on non-employee workers controlled by the Group is not available in the Company's systems with the required breakdown. Inditex is working on improving its systems to report this information.		
	Governance				
	2-9 Governance structure and composition	259-268, 270-272 For further information about the Company's governance structure and practices, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-10 Nomination and selection of the highest governance body	260-261 For further information about the Company's governance structure and practices, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-11 Chair of the highest governance body	260 For further information about the Company's governance structure and practices, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
	2-12 Role of the highest governance body in overseeing the management of impacts	137-138, 143, 259-261, 266-268, 271-280 For further information about the Company's governance structure and practices, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-13 Delegation of responsibility for managing impacts	259-268 For further information about the Company's governance structure and practices, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-14 Role of the highest governance body in sustainability reporting	The Board of Directors is the body responsible for reviewing and authorising the issuance of the Integrated Directors' Report which includes the Statement on Non-Financial Information.			
	2-15 Conflicts of interest	271-273 For further information about the related-party transactions and conflicts of interest, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-16 Communication of critical concerns	137-140, 266-268 For further information, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-17 Collective knowledge of the highest governance body	261-266 For further information about the Company's governance structure and practices, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-18 Evaluation of the performance of the highest governance body	268-269, 271-273 For further information about the evaluation of the highest governance body's performance, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-19 Remuneration policies	171, 265-269 For further information, refer to the Annual Report on Remuneration of Directors for 2022 and the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-20 Process to determine remuneration	171, 265-269 For further information, refer to the Annual Report on Remuneration of Directors for 2022 and the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-21 Annual total compensation ratio	171, 265-269 For further information, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
	Strategy, policies and practices				
	2-22 Statement on sustainable development strategy	105, 107-108			
	2-23 Policy commitments	140-141, 197-202, 210, 259, 261 Code of Conduct and Responsible Practices available at the corporate web page of Inditex, Group section, Ethical Commitment heading.			Principle 10
	2-24 Embedding policy commitments	130, 134-135, 215-220, 259, 266-268, 270-279			Principle 10
	2-25 Processes to remediate negative impacts	134-136			Principle 10
	2-26 Mechanisms for seeking advice and raising concerns	271-279			Principle 10
	2-27 Compliance with laws and regulations	The Inditex Group did not receive any significant fines or non-monetary sanctions for non-compliance with laws or regulations applicable to it through any of the channels available to that end in 2022.			
	2-28 Membership associations	129, 140-141, 192, 208, 237-239			
	Stakeholder engagement				
	2-29 Approach to stakeholder engagement	137-144			
	2-30 Collective bargaining agreements	169-171			Principle 3
	Material topics				
	3-1 Process to determine material topics	137-144			
	3-2 List of material topics	142-144, 346-347			
1. Ethical behaviour and governance					
GRI 3: Material topics 2021					
	3-3 Management of material topics	105-108, 125-139, 142-144, 147-149, 259-261, 268-273, 346-347 For further information, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.		√ Pg. 97-100	
GRI 205: Anti-corruption 2016					
	205-1 Operations assessed for risks related to corruption	270 The Code of Conduct and Responsible Practices addresses the prevention of corruption in all its manifestations. That Code is applicable to 100% of the Group's business units and is available at the corporate web page of Inditex, Group section, Ethical Commitment heading.			Principle 10
	205-2 Communication and training about anti-corruption policies and procedures	271-280		√ Pg. 97-100	Principle 10
	205-3 Confirmed incidents of corruption and actions taken	277-278		√ Pg. 97-100	Principle 10

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
GRI 206: Anti-competitive behavior 2016					
	206-1 Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	278			
GRI 415: Public policy 2016					
	415-1 Political contributions	Inditex's Code of Conduct and Responsible Practices expressly stipulates that all dealings between Inditex and governments, authorities, institutions and political parties must be framed by the principles of lawfulness and neutrality. Any contributions made by the Company, whether in cash or in-kind, to political parties, institutions or public authorities must be made in accordance with prevailing legislation. So as to guarantee transparency in this respect they must be preceded by a report from the legal advisory department certifying their absolute lawfulness.			Principle 10
Other disclosures: Grievance procedures					
	AF4 Policy and procedures for receiving, investigating, and responding to grievances and complaints	271-280			
2. Risk management and control systems					
GRI 3: Material topics 2021					
	3-3 Management of material topics	105-108, 125-139, 142-144, 287-302, 346-347			
GRI 418: Customer privacy 2016					
	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	In 2022 there have been 8 cases where data protection authorities have contacted the company requesting information. Of these, only two cases remain open at year-end (one of them is a pending case from 2018 due to the processing times of the local authority). Throughout this financial year, no resolution has been determined that implies economic or other sanctions. In addition, there have been two cases affecting the security of personal data that the Company has deemed necessary to notify the data protection authorities. In both cases, the authorities have determined that the information provided is sufficient and they have been closed without any further action on their part. Moreover, the Inditex Group did not receive any significant fines concerning breaches of customer privacy or losses of customer data through any of the channels available to that end in 2022.		√ Pg. 97-100	
3. Stakeholder engagement					
GRI 3: Material topics 2021					
	3-3 Management of material topics	105-108, 125-139, 142-144, 346-347			
4. Responsible communication					
GRI 3: Material topics 2021					
	3-3 Management of material topics	105-108, 117-118, 125-139, 142-144, 291-301, 346-347 For further information, refer to the 2022 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
GRI 417: Marketing and labeling 2016					
	417-1 Requirements for product and service information and labeling	181-184, 187, 316-318 The Group's product health and safety standards are compulsory across the entire production chain (100%).			
	417-2 Incidents of non-compliance concerning product and service information and labeling	The Inditex Group did not record any significant incidences of noncompliance with regulations and voluntary codes concerning product information and labelling through any of the channels available to that end in 2022.			
	417-3 Incidents of non-compliance concerning marketing communications	The Inditex Group did not record any significant incidents of non compliance concerning marketing communications through any of the channels available to that end in 2022.			
5. Value chain transparency and traceability					
GRI 3: Material topics 2021					
	3-3 Management of material topics	105-108, 125-139, 142-144, 214-215, 322-324			
6. Responsible purchasing practices					
GRI 3: Material topics 2021					
	3-3 Management of material topics	105-108, 115-116, 125-139, 142-144, 187-190, 219, 227, 346-347			
Other disclosures: capacity building					
	AF5 Strategy and scope of efforts to strengthen capacity of management, workers and other staff to improve in social and environmental performance	135, 160-165, 190-192, 197-199			
Other disclosures: Business integration					
	AF6 Policies for supplier selection, management, and termination	214-220 Inditex's Code of Conduct for Manufacturers and Suppliers stipulates the standards and requirements to which suppliers looking to form part of Inditex's supply chain are bound. It is available at the corporate web page of Inditex, Group section, Ethical Commitment heading.		√ Pg. 97-100	
	AF17 Actions to identify and mitigate business practices that affect code compliance	217, 219-220, 326-328			
Other disclosures: Employment					
	AF24 Policy on the use and selection of labour brokers, including adherence to relevant ILO Conventions	169-171, 215, 223-224, 235-236 Inditex analyses and controls compliance with its Sustainability Strategy by its suppliers by means of a specific Code of Conduct for Manufacturers and Suppliers compliance programme.			
7. Value creation					
GRI 3: Material topics 2021					
	3-3 Management of material topics	105-108, 125-139, 142-144, 147-149, 281-286, 346-347			
GRI 201: Economic performance 2016					
	201-1 Direct economic value generated and distributed	113, 331			

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